

Psyc 330 The Psychology of Wealth

Numbered Transcript

PSYC 330 • Dr. Keith Campbell

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Lecture 1: Finance Meets Psychology

At a glance — Campbell launches the psychology of wealth, connecting finance to psychology and setting up basic financial literacy.

- 1.1 Welcome to the psychology of wealth. This is going to be fun, I hope. And if it's not, we're all going to go through it and have a good time anyway.
- 1.2 I'm talking about the psychology of wealth, and you're probably thinking, "What is that? I've never really heard about that before." And the reason is there really isn't a well-established field of wealth psychology. There aren't people who call themselves wealth psychologists. There might be, maybe there will be now. But what I'm talking about is the use of psychological concepts, theories, and methods to better understand and enhance wealth creation. It's essentially the application of modern psychological science to understand wealth acquisition and creation.
- 1.3 I'm coming at this from the perspective of a psychologist. I'm a social personality psychologist. I'm not a wealth manager. I'm not rich. My expertise is in the psychology part more than the wealth part. But the key part when you start looking at wealth is that wealth is a mental game. You know this historically because the economists for a long time talked about what they called homo economicus, if I pronounced that correctly. It's the economic man.
- 1.4 This is a man who's rational, who's self-interested, so selfish and smart and makes wise rational decisions. That person does really well financially and works really well when you run financial models, which smart people are going to do. The problem is that person doesn't exist. I mean, there's probably a few like Warren Buffett types, but most people have real trouble being machines. We're humans. We're homo psychologicus. We're weird, human, and we evolved for a different reality than we have now.
- 1.5 So understanding wealth and how to acquire wealth means understanding psychology. So what am I talking about when I talk about psychology? I'm going to talk about individual differences. I'm talking about things at the individual level—so individual processes like affect and emotion, happiness or fear, greed, cognitive processes, judgment and decision making, personality processes, attitudes and values—so mostly I'm going to focus on an individual level. I'm going to talk about relationships in the last lecture because a lot of—when we're dealing with wealth in the real world— a lot of this flows through relationships. It flows from parents to kids. It flows through spouses. It flows through families. I'm going to get there, but I'm going to mostly focus on individual psychology.
- 1.6 I'm not talking about the economics of wealth—I'm going to touch on it a little bit. I'm not talking so much about the sociology of wealth, the more culture of wealth. I'm going to touch on a few of these things, but it's mostly going to be about the psychology of wealth. I'm also—and I'll probably say this 20 times for legal reasons—

I'm not giving anybody any psychological or financial advice. I have no qualification to give psychological advice. I'm not a clinician; I'm a professor. And I can't give any financial advice; I have no license to do anything. Trust me on the psychology stuff. That's all I'm going to say.

- 1.7** So when I'm talking about wealth, what am I talking about? People like to talk about, "I'm spiritually wealthy," or, "I'm wealthy in friends," or, "I've got a lot of flowers, I'm wealthy in flowers," or whatever people say. I'm talking about money wealth, like crass material, cash, not just your cash, assets. But when I talk about wealth, it's going to be financial assets that do not need to be immediately spent for survival. It's basically it. Things like cash or stocks or equities or real estate. Guys in the south, where I live, they love to own forests for some reason. People love forests except when hurricanes come. Cryptocurrency, the kids love. I'll talk about those and I'll define some of those things, too. But again, it's really just talking about normal individual psychological processes as they apply to the financial wealth.
- 1.8** Some of the challenges in doing this course—the first one is there really isn't a set field of study of the psychology of wealth. As I said, there isn't one group of people that do this at most universities. What you find are people that are in economics, people in sociology, people in consumer finance, people in counseling or family therapy, some social psychologists, personality psychologists, financial therapists. They're all coming together talking about this same family of issues. Some people are more economic-focused, some are more psychology-focused. But this is really an emerging field. This course is part of me putting it together in my own mind, to be honest with you.
- 1.9** The second real challenge is that academics don't understand money at all. I hate to say this, but it's the truth. People don't go into academia because they want to get rich. People, if they want to get rich, go into finance or they become attorneys or surgeons. They don't become academics. So academics don't really like wealth. They don't really understand it. It freaks them out a little bit. They feel a little bit insecure about it—I'm just generalizing, stereotyping. I apologize to my colleagues and myself. When academics study finances, they study poverty. They spend a lot of time studying poverty and how to reduce poverty by paying people monthly payments. So there's a lot of sociology of poverty. I'm not focusing on that. I'm trying to focus on the other side, the wealth side, rather than the poverty side of it, where most of the academic stuff is.
- 1.10** The third thing that makes this really challenging is that the financial or economic world is really complicated. For me, as a social scientist, what makes it super complicated is what's your unit of measure? You'd say, "It's easy. All you need to do is measure dollars; wealth is dollars." I go, "Dude, what's a dollar?" It's complicated because a dollar today is not the same as my grandmother's dollar. It's not the same as a dollar from four years ago because dollars change in value over time through the process of inflation. It's typically going in that direction. They lose value over time.

- 1.11** The way our financial system works in the U.S. is we have dollars, and they target a 2% inflation rate. That means your dollar—if everything works perfectly and all the bankers do their job and the dance works, which it never really does—goes down in value 2% a year. It's like burning 2% a year in value. That's the win. That's how the system works. So you get in these really weird positions where you're like, "Hey, last year I got a 2% raise. How much of a raise did I get? Did I make more money this year or less money?" You go, "That's a tricky question." On one hand, you're making 2% more dollars, so you're making more money. On the other hand, we've had 4% inflation, so dollars are worth 4% less, so you're actually making less than you were before.
- 1.12** The term we use is nominal and real. People talk about—what the answer to that question is, "Nominally, I'm making more money than I did last year because I have more dollars. But in reality, I'm making less money because the dollars I make are worth less." So there's always this issue of inflation and nominal versus real that makes financial thinking hard. I'm going to talk about a few other things, too. But I'm sneaking in a little bit of a finance class in this first lecture. I'm just telling you ahead of time. So that's a big issue.
- 1.13** Another big one—and we talk about this a lot—is that wealth is the last taboo. I don't know if this is true or not, but I say it enough that I started to believe it. People will talk about religion all the time. I was on the Uber ride over here talking about religion, politics, all this stuff. People talk about food. They talk about health. They're like, "Yeah, I got cancer. I don't believe in God and think we should have World War III." And you're like, "Oh, that's cool. We can talk about this." But like, "How much money did you make?" "Well, I'm not talking about that." No one talks about money. They'll brag about something. They'll say, "I made all this or I made this," whatever. But people don't really sit down and talk about money.
- 1.14** I'll talk about couples at the end—even couples don't do this. Lots of people don't know what their net worth is. Money is a real taboo subject. Even though we're such a financially-oriented society, money is still a taboo topic. It's not a normal thing for people just to discuss. I don't know my buddy's net worth. We don't sit around and go, "What's your net worth? What's mine?" It doesn't happen.
- 1.15** Finally—and you probably notice this—we get very little financial training in universities or high schools. People ask me, "Why don't they have a course in college, 'How to deal with money and not be an idiot?' Why did you teach me perception? I can tell visual illusions, but I don't know how to balance my checkbook." Lots of people think there's a plot, that this was a plot to bankrupt all young people in the country. I don't think it was a plot. I think historically, where you learned about money in education was in what was called Home Ec or Home Economics. It was a system where they taught young people, especially young girls or women, how to manage a household budget. So you had Home Ec, and that would be in a college of like Family and Consumer Sciences, or something like that.

- 1.16** Well, that Home Ec went away. It's changed now into maybe financial planning or consumer financial planning and wealth management, which is taught in those, but it's still taught out of what used to be Home Economics. If you want to be a money manager and manage normal money for normal people, you don't go to a business school and study finance—you can, but they're not teaching you that. They're teaching it more in these Family and Consumer Science programs. It's a really marginal area in academics, which is really unfortunate. There could be a plot as well just to keep everybody poor and bankrupt. I don't know. But I think historically, it just got pushed out of the curriculum.
- 1.17** In terms of some basic definitions, I'll go through—like I said, this is going to be a little bit of finance here. What is wealth? Wealth is your net worth. What is your net worth? Your net worth are your assets minus your liabilities. It's not too complicated to figure this out. Most people don't do this. If I was like, "Hey, I'm in Arizona. I want to go start a golf course." I'd go to a local bank over here at the Sunnyvale bank. I'd say, "Hey, I want to start a golf course." They say, "Great. We'd love to do business with you. What's your personal financial statement or PFS?" That's the first thing the banker is going to ask for.
- 1.18** I'm going to give them a piece of paper, and on one side, it's going to have all my assets: here's my house, here's my car, here's all my stocks, here's my bank account. Then on the other side—those are my assets—the other side would be liabilities: my mortgage—that's going to be my debt on my house. It's the same root as the word for death, mortgage. I love it. And then I'm going to maybe have a note on my car or a car loan. And maybe I'll have a credit card debt. Maybe I'll be carrying a little bit of credit card debt. So I'll take all my assets minus all my liabilities, and I come out with a number. Lots of people are going to do that and go, "Dude, my number is zero." I'm going to be like, "Welcome to America. But the idea of building wealth is you build up those assets and you get those liabilities a little lower. And that's it. It's just very simple math.
- 1.19** One of the challenges, though, is when you go, "Here's all my wealth. I own this big ranch in Arizona, and I own this car," and then someone goes, "Okay, I need \$10,000, and you're a rich guy." I'm like, "Oh, no. I mean, I'm rich, but I can't get \$10,000." "What do you mean? I thought you were rich." Well, it turns out you can think about wealth in two different ways. You can think about wealth being liquid, which means you can access it in a day or two. If you have money in a bank, you can get to it in a day or two, usually. Sometimes they make a little hassle. If you have money under your bed, you can just grab it. If you have a house, you can't get money from it.
- 1.20** You can't just go to a bank and say, "I've got a house, so I want to get money from it." You can sell your house, but that's going to take you more than a week. It's going to take you a month or two or three or six right now. You can go borrow against it, but that's going to take you a few weeks to set up a loan. So some wealth is going to be

liquid—I mean, you have access to it—and some is going to be illiquid. If you have a business, everyone goes, "Oh, you're so rich, you have a business." You're like, "What am I going to do with this? I got to sell it. No one's going to buy it." So liquidity makes a big difference.

- 1.21** Another term we're going to come into a lot—and a lot of the research is not on wealth, but it's on income for reasons that income is pretty easy to measure. Most people don't know how much wealth they have. Income is the money coming in. It's how much you make from your job, from your hustle, whatever you're doing—your trade, your profession. The money coming in is income. Then people go, "Dude, you have this great job. You live in New York and you make \$200,000 a year. You're rich." And you're like, "Dude, that's my gross income. That's what the gross is, but after that income comes to me, before it gets to me, everyone takes a little bite of it. I pay taxes, I pay insurance, I've got FICA, I pay for my retirement, I got all this stuff." So there's a difference between gross and net income. So that's something we have to run into or think about.
- 1.22** Another term we use a lot in the psychology of wealth is socioeconomic status or SES. So people talk about, a lot of research is on SES. The challenge with socioeconomic status is that it conflates or combines things like wealth and education together. Now, it sounds like the more education you get, the wealthier you get, but that's not how it works. I wish it did because I did two years of postdoc. But I'm not hanging with Warren Buffett, even though I got out of school when I was like 30.
- 1.23** Socioeconomic status is different. You can have people—so I'm friends with rabbis, priests, whatever, they get a lot of social status. I can go to a party with a buddy who's a priest, "Here's my bro; he's a priest." Like, "Cool." "I got a buddy who's a rabbi." "Cool. That's cool." You're not making a lot of money doing that, but it's a cool thing to do. So there's things—you could be a poet. You could have a friend, he's a hippie poet. "That's pretty cool. You're a poet. Did you publish?" "Oh, yeah, I published in this book like three people bought." You got socioeconomic status.
- 1.24** And then you can be really rich—we're Americans, so you can be really rich and you have status even if you're just an ogre. But those things are distinguishable. If you just look at socioeconomic status, what you're often measuring is education. A lot of that education doesn't turn into wealth as a lot of young people are discovering now.
- 1.25** Another issue that comes up is the distribution of wealth. Most variables fall into a normal distribution or what we call a bell curve or whatever you want to call it. So most people are in the middle. You get a few people that are high and a few people that are low. So if I look at intelligence, most people are doing their best, you get a few people who are real smart, a few people are dummies, but most of us are in the middle just trying to make it work. With anything that has to do with production or creativity, the distribution you tend to get is different.

- 1.26** One real common term for this is the 80/20 rule. What you'll see in a lot of areas is about 20% of the people are doing 80% of the work. If I were trying to buy my new ranch in Arizona, if I looked at the local realtors, I'd find out that about 20% of the realtors in town did 80% of the business. If I go into academia, it turns out about 20% of the professors are publishing about 80% of the research. You start looking at wealth, and what happens is you find that something like that. It's not going to be 20% who own 80% of the wealth, but it's going to be something like that. Maybe 10% of the people own—or what— 1% own 50% and 10% own 80% or something. I get these numbers mixed up.
- 1.27** But what you have is this distribution with a really long tail, just a very long tail. Sometimes, as I said, they call this the 80/20 rule. They will call this a Pareto distribution or Pareto function sometimes. It's named after an Italian mathematician, I think, Pareto. Economists sometimes call this the Matthew effect when you're talking about wealth, which is essentially the rich get richer. But what you end up with is that wealth is not a normal variable; there's these huge extremes. It's just wonky. It means predicting wealth is really hard because you get some people with this enormous wealth that just— Anyway.
- 1.28** That's a few of the challenges or a few of the variables we'll talk about with finance. In terms of psychology, I like to always break things from smaller to bigger, and that's what I'm going to try to do with these lectures. What I'm going to focus on in the next five talks are going to be happiness and emotionality, so the wealth-happiness question, which is a big one that's been around a lot. I'm going to look at decision-making, biases, judgments, heuristics, more of the cognitive side of financial decision-making, which has been historically really important area. Then I'm going to look at human motivation and attitudes and values and how those are linked to wealth. Then go up to the level of personality and individual differences. I'll talk about intelligence a little bit, but mostly focus on personality because I'm a personality psychologist mostly. And then, like I said, do relationships at the end.
- 1.29** So the psychology piece I'm studying is going to be more the emotion, values, personality, decision-making piece. I'm not going to focus on clinical problems. I mean, there's lots of issues with clinical disorders and wealth. I'll talk a little bit about financial therapy and some lighter level of that, but I'm going to focus more on normal stuff.
- 1.30** Okay, so how does psychology relate to wealth? Well, you can think about this happening in a couple of different directions. First, you can think of a certain psychological set, a mindset, how people are wired, certain psychological processes are going to be predictive of wealth. Certain personality structures, certain attitudes, certain values are more likely to predict wealth over time. So psychology could be driving wealth. So a lot of what we'll talk about is that, but it could also go the other way around. Acquiring wealth could alter psychology. You can imagine a situation

where people get wealth, like win a lottery or make a lot of money or whatever, and that's going to change their psychology.

- 1.31** If you've got causation going both ways—psychology effectively is affecting wealth and wealth is affecting psychology—what you end up with is a dynamic. These things are working back and forth in a system. The wealth is driving the psychology, the psychology is driving the wealth, and it's working together in a complex way.
- 1.32** I'm going to break this down, but probably what's going on in real life are these things are tied together pretty tightly. Also this stuff's happening in multiple levels. Like I said, you can think about people are thinking about wealth maybe at a cognitive level, an emotional level, "I feel really good about money." Then there's maybe the more personality level or self level, "Am I a rich person? What does it mean to be a wealthy person?" Then there's the relational level, "How do my wife and I agree about money? Are we going to fight about money? Are we going to be a team about it? How are we going to go about it?" Then there's the familial process, "What do I do with my kids in money? How do I get my kids money? If I give them money, are they going to be spoiled brats or are they going to be rich? I don't know what to do."
- 1.33** So it's happening simultaneously at all these different levels of psychology. Whenever we're thinking about financial processes, we're thinking about them at different psychological levels, at interpersonal levels, and the causations work in both ways. Again, these things get complicated pretty quickly.
- 1.34** I thought I'd start—again, a little finance here—what are the basic principles of wealth creation? This is real basic, basic, basic stuff. The money coming in needs to be more than the money coming out. That's like the first state of affairs. This is a hard one for people to get, but you need to have more money coming into a system than is going out of a system. It's really hard to get there, especially after all this inflation we've had because everything costs twice what it did. I can't believe we lived through the '70s again. I didn't think it would happen, but we did. So you have to have more money coming in than what's going out. That's going to create an excess supply of money.
- 1.35** You got this excess supply of money. What do you do with it? Well, you can go blow it on golf and frisbees or whatever people do. That wouldn't be creating wealth. That'd be creating experience. Or what you can do is take that excess and you can put it into savings or investment and wait. The trick is that you can't just keep the money in cash.
- 1.36** If you get a bunch of money in cash and you hide it under your bed, what's going to happen is it's going to drop in value every year, so you're going to lose it pretty quickly. So after you have some savings, usually what people do is say, "I need to put this money into an investment that it's going to grow faster than inflation." That's the thought process. And so growing wealth is essentially transitioning those excess savings or excess income into some vehicle or asset that's going to grow over time and then being really patient and not touching it for a long period of time.

- 1.37** We have systems set up that do this automatically, like a retirement account like a 401k. If you put your money in there, they make it really hard for you to get it out. You're like, "Man, I shouldn't have put that money in my retirement account. I need it for a motorcycle." "Dude, sorry, 10% penalty." So we have systems that make this easier sometimes. But that's what it takes— excess return that's put away from your life. You're essentially delaying gratification for years because you're not spending the money and are allowing it to grow and appreciate.
- 1.38** This is a key point. Making and investing money are different skill sets. The same way dating and being married are different skill sets. It takes one psychology to go make money— "I got to hustle, I got to move, I got to be energized, I got to do this stuff, I'm making money." People saving money—you don't want to be energized all the time. Warren Buffett doesn't get up every day and go, "I got to make 10 trades today." The guy is like, "Dude, I make five trades in my whole life. I just think about it all day." So it's a little different. It's a little different skillset. And the challenge is you get people who are good at making money, but they aren't good at saving it. And people who are really good at saving money might not be wired well enough to make it.
- 1.39** How do we make money? In our economy, there's different paths. The most common thing people do is they get a job. Sometimes we call this W-2 income. You go work for somebody and you get a paycheck every two weeks or every month, depending on your role. You can also get a trade or a profession. One thing that's very common is that you get a trade: you become a plumber, an electrician, an HVAC guy, a merchant mariner. All those skills are super valuable; they're always in demand. I'm talking to plumbers and electricians all the time. The trade is a really good thing to do.
- 1.40** If you're like, "Man, I don't like working that hard and I want to be a little more arrogant," you can do what I did and get a profession. You can become an attorney or an accountant or a physician or a professor or an engineer or something. Those things usually have licenses and have a little more education involved.
- 1.41** You can start your own thing. You're like, "Man, this is the new world. We got this social media. I can be anything I want to be. I'm going to be an entrepreneur. I'm going to start something new." So that's another way. Some people are just, "I'm wired to be an entrepreneur. I couldn't work for anybody. I couldn't do a profession. Too many rules. I'm just going to be entrepreneurial."
- 1.42** And then there's other things you can do. You can marry somebody rich. That would be awesome. Or you could have rich parents that gave you money or like an uncle or something. I had a great uncle. I still do. He took me fishing a lot. I did a lot of fishing trips I couldn't afford, thanks to my uncle. You can get money in other ways as well.
- 1.43** But the general thing is having some expertise. Usually more expertise means more pay. If you're a family physician, you don't make as much as if you're a surgeon. If you're a specialized surgeon, you make more than a general surgeon. That's how. It's

usually specialization plus work. That's how it works. It's not a fair system. Some people work much harder than others and they get paid a lot less than other people because they lack expertise or they're getting—a lot of reasons. But money and expertise work, equal money.

- 1.44** Investing money. What you do in investing is you use excess dollars that you have and you're buying financial assets like stocks or bonds or real estate or whatever you want, and you're holding it for the long time. That's the whole game. You make a decision, but you're not—I mean, you can trade if you want, but that's more of a job than investing. So you buy something and you hold it for a long period of time. I'll talk about this in a second when I talk about financial literacy.
- 1.45** When people are interested in people's understanding—well, let me tell you a story. I'll start with a story. I was teaching a graduate course on wealth science. I just made this up. I thought it would be really fun. I got a bunch of super smart graduate students, started talking about this class, and one of my students who is just a genius, he's like, "I don't know what a stock and a bond is." I thought, "I guess I probably need to start a little step back in this course." He didn't have any financial literacy because like every other American, he never got the course in college where they taught you the difference between a stock and a bond. So what happens is in a lot of the research, they're doing all these studies on people's investment preferences and things, and people don't even know what the questions are about. So this financial literacy is really important.
- 1.46** Here's a definition from Lusardi, 2008, I like. "Financial literacy is knowledge of basic financial concepts such as the working of interest compounding, the difference between nominal and real values"—notice I already taught you that; I just snuck it in"—and the basics of risk diversification." Generally, what you find is people with financial literacy, make better financial decisions and everything else. So I thought, "You know what I got to do in this class? I got to go through the financial literacy list." I already snuck in the nominal and real values. I got to talk about diversification and compounding interest. So that's a pretty good example of financial literacy.
- 1.47** There's a million financial products you can buy, and there's hundreds of people who will sell you lots of them. I always try to simplify things. So when I boil all this down, the simplest model I've seen: here's what you can do with your money if you want to invest it—you can save it, you can loan it, or you can own it. That's the simplest way I can break it down in my mind to make sense of it. What does that mean?
- 1.48** I get my extra 100 bucks that I saved for my week. I didn't spend it. I can save it. How do I save it? I can put it under my pillow—people don't do that as much anymore because that's risky. Or I can put it in a bank. I can just go open a savings account at a bank and save my money. What's the upside of doing that? It's really safe because banks have federal insurance and they have guards and no one's going to steal—I mean, I've never been worried if I have my money at a local bank that it's going to be

gone, that I'm going to get a call from my bank loan officer, "Sorry, we got robbed and your money is gone, Keith. You have no [money]." It doesn't happen anymore. It used to, before the Great Depression, but it doesn't anymore.

- 1.49** The downside of putting your money in savings is you have no growth. You put money in a bank and they give you a percent or something, I don't even know if they give you that. And you're like, "Inflation is 2%, my money is growing 1%. I'm not going to be beating this thing. Thirty years out, I'm not going to be doing real well." But I can get my money, so it's liquid. So there's pluses and minuses. But that's probably not going to get you wealthy, putting your money in a savings account.
- 1.50** The next thing on the list, which is common, are things like loans, investing in loans. What are loans? We have lots of terms that are things like loans. A note is a loan. A mortgage, as I mentioned before, is a loan. You can invest in mortgage-backed securities. It'd be a little hard; you'd have to buy a fund, but you could invest in people's mortgages. A bond, like a savings bond, a U.S. savings bond, is a loan you can invest in. A treasury bill—so we have these different bills, notes, bonds, mortgages. They're all the same thing. They're all loans that you can buy and invest in.
- 1.51** You also can buy corporate debt. So all the big public companies—Apple or Disney or IBM, if it's still around, or Tesla or whatever—what they do is if they need money, they just go and say, "Hey, lend us money. We'll pay you 3%." You're like, "I'll lend money to Apple. They seem pretty stable. They'll probably pay me back." So you can go buy corporate debt. I was going to say, the other thing is municipal bonds. So my city, they go, "I need a new water treatment plant. I'm going to go borrow \$20 million." They go sell the \$20 million of debt and you go invest in that. So you can invest in debt.
- 1.52** The upside of loans is they pay more than savings accounts. So generally, if you put money in a Treasury market, you're going to make more than in a savings account. Generally, loans pay more than savings. The downside is you get a little lower liquidity and they don't return as much as equities. So there's some trade-offs with that. But the bond market is where a lot of people put a lot of money. So bonds. And again, these are all loans.
- 1.53** I wasn't going to do this, but I did this to my class, so I'm going to do it to you—if you look up a dollar bill, if you pull a dollar bill out of pocket and look at it, it says "U.S. Treasury Note." A note? It's a loan. A dollar is essentially like a little mortgage. It just doesn't pay any interest and you can trade it, backed by the full faith of the federal government. "Well, I appreciate that. Thanks for the faith. But what does it do?" It's a dead instrument. It's very interesting when you look at money. I'm not doing a class on that. I just find that very interesting: why is it called a note?
- 1.54** Okay, so now you get to the fun stuff. Let's say I want to own something. I want to buy something. There's lots of things you can own. You can go, "I can buy commodities. I can go buy gold. I can buy silver. I can buy a piece of land. I can buy oil." Oil is hard to

buy if you're not super rich, but you can just buy an oil fund. You can buy a business. You could be like, "I'm going to go buy a Subway shop," or, "I'm going to buy a Chuck E. Cheese franchise," or, "I'm going to buy a vape store; those seem to be doing really well. I'm going to be the vape king of Athens, Georgia." You can do that.

1.55 You can buy a rental house. That's a great business. You make one sale a year, you get a tenant, you get a one year lease. "I did my sale, now all I got to do is make sure the toilets work and everything and the HVAC works, and I'm good." So you can do that.

1.56 But what's wonderful in the United States and other places is that you can also buy tiny pieces of public companies. So giant companies like—I don't know, what are the cool companies now?— Microsoft or Apple or Google or Alphabet, I guess, Meta, all these giant companies, you're like, "I want to own Meta just like Mark Zuckerberg." You can. You can go buy a little piece of it; it's called a share. So you can buy a share of a public company, and that's called a stock or equity. That's pretty much it. You can invest in the best companies in the world, cheap. You can buy Warren Buffett—you can invest along Warren Buffet, buy the cheap shares of Berkshire Hathaway or whatever you want. There's lots of ways of owning it.

1.57 The upside of investing and ownership of something is that you have much more growth. You have much more potential upside. If I bought my golf course down the street here and it worked, I could be the golf king of Scottsdale. You also have more downside risk, too. I should say the term risk is a funny term because we use it in a lot of different ways. In psychology, risk often means, "I like jumping out of airplanes and drinking too much and going to parties." That's risk-taking. In investing, when they talk about risk, they're talking about volatility, up and down, the volatility of an asset. So if you buy a business, you buy a stock, they go up and down more. There's more risk in that. If you go to the business schools and talk about risk, they talk about insurance, ameliorating risk via insurance, which I'm not talking about here. So owning it seems to be great in terms of growth, but you lose a lot of liquidity and you have a lot of risk.

1.58 Remember, I told you I was going to do everything on that financial literacy course, so this is the next thing. This is called why we diversify assets. What somebody figured out—and I attribute this usually to Harry Markowitz back in modern portfolio theory, which I think goes back to the '50s. Again, I'm not a finance guy—but what they found is: if you invest in this one company, it could go way up and way down, and maybe you're going to be great, and maybe it's going to be terrible, but you're not going to have a lot of control of that. But if you invest in ten companies and you aggregate that risk across ten companies, what would happen is maybe that one goes up and that one goes down, but overall, you're going up a little bit. Maybe what we should do is instead of just buying one thing, we should buy diversified portfolios or diversified collections of things and hold on to those because that will help protect us from downside risk.

1.59 That is essentially what happened to most investing. Most people in our country who are investing, if they're not totally technical pros, are going to buy some diversified

portfolio, meaning they're going to buy a bunch of things that are supposed to grow, and they're supposed to grow a little differently, if that makes sense. So diversification helps with the downside protection, but you still get some of the upside. That's the basic idea.

- 1.60** So save it, loan it, or own it—all those things have different benefits and costs. Most people, what they end up doing is a little bit of each. Where people make the money is owning it. If you have risk: the more concentration you have, the more risk, the more it can go up and the more it can go down. But diversification is the way we get around a lot of that. Now I have covered, I think, two-thirds of the financial literacy.
- 1.61** The next thing I'm going to cover is compound returns or compound interest. This is what blows people's minds. There's a fake quote attributed to Albert Einstein, and he might have said this—I mean, I can't tell—but, "Compound interest is the eighth wonder of the world." He probably never said that, but I like that. The reason for that is that we are designed as humans—it's probably just an evolutionary thing. We live in a linear world. We're used to change going like this. It's very hard for us to conceptualize exponential growth because exponential growth looks like this [hand traces almost a flat line that suddenly curves sharply upward]. Boom. It just does that. It's very hard for us as humans to model that in our heads.
- 1.62** I'll see sometimes on social media, people being like, "Oh, look at that boomer; bought that house for \$100,000, and now it's worth \$1,000,000. That's so unfair." I'll just run the internal rate of return on that: "What's the growth rate on that?" It'll be like 5%. Yeah, you own something for 45 years, it's going to go up in value. You just can't comprehend how much 5% return over that much time is. I suggest anyone try this when you see someone complaining about how much a house went up in value. Run the numbers. It's very hard to think about this compound interest.
- 1.63** What I found teaching my kids this is that the easiest technique I've known is what's called the rule of 72. The rule of 72 is simply that 72 divided by the rate of return of your investment equals the time for your investment to double in value. If you take 72, divide it by the rate of return, the solution to that equation is the number of years it's going to take your investment to double. Let me give you some examples of this. Very simple.
- 1.64** If I'm getting a 10% return on my investment—I invested in your company and it's going up in value 10% a year, when's it going to double? If I divide 72 by 10, I get 7.2. What that means is my investment is going to double in 7.2 years. If I put \$100 or I'll say \$1,000 in your company and it's growing at 10%, in 7.2 years, I should have \$2,000. That's the asset. That's the rate of return with the 10% rate of return as you double every 7.5 years. You can just do the math and make it easy. Imagine I'm making a 7.2% rate of return. That's going to double in 10 years. If my investment is 7.2% rate of return, I divide 72 by 7.2 and I get 10. So it's going to double every 10 years.

- 1.65** Very easy to figure out, "Hey, Keith, I bought this new stock. It's going to grow 7.2% a year. What's it going to be worth in 30 years? I bought \$1,000 of it." Well, let's see, you bought \$1,000 [of it]. In 10 years, it's going to be \$2,000, in 20 years, it's going to be \$4,000, in 30 years, it's going to be \$8,000. That's how you do it. You just double, double, double.
- 1.66** If I get 5% rate of return—I'm making this real simple here—it doubles in 14.4 years; it's just 7.2 doubled. So if I'm getting a 5% rate of return, it's going to double in 14 years. Now, think about that. Five percent doubles in 14 years, 10% doubles in seven years. The rate of return is going to matter a lot for how much money you end up with in 40 years. And if you think about, let's say I put my money in the bank and I get my 2% rate of return: 72 divided by 2 is 36—I wrote it down good—36. It's going to double in 36 years. I'm going to be dead before that money I put in the bank doubles. So that's an interesting way to think about it.
- 1.67** Here's a number I wrote down, so I got this right. If I invest \$1,000, it's 7.2%. In 40 years, that's going to be \$16,000. That's a 16% return. So \$1,000, I get 40 years, so 7.2%. Ten years, I've got \$2,000. Twenty years, \$4,000. Thirty years, \$8,000. Forty years, \$16,000. Fifty years, \$32,000. Holy smokes. I got 32 times return on my money over my lifetime because I was invested at 7.2%. Do you see that? That power of compounding is huge.
- 1.68** The easiest way I think about it is I just do this with doubles in my head. If I'm looking at real estate, real estate in certain markets usually appreciates about 5% a year. I'm like, "What's this house going to be worth in 10 years?" I'm going to go, "It doubles in about 14 years. So in 10 years, it's probably going to go up 75%." That's all the math I do. Not too hard. What's this—my house right now—"What is it going to be worth when we retire?" It's soon; I'm getting old, man. But if I had a few years left, I'd sit with my wife and go, "We've got 20 years. Let's say it's going to double one and a half times," and you do the math that way. Does that make sense? I thank you for nodding.
- 1.69** It's very hard for people to understand what massive returns you get if you're getting a high rate of return. And if you start talking to the New York finance pros, like private equity guys, they're trying to make 15%, which means they're trying to double that in 15 into 72, which would be five, thereabouts. So they're trying to make their money double in about five years. Think about that—if you could double your money every five years, you'd be very wealthy over time.
- 1.70** When you talk to young people about money, they're like, "I want to save in the bank." Then you'd start telling them about exponential growth, and they're like, "Dude, I'm buying stocks. I don't care. I just have to get—" It's such a huge difference. Now you all understand compound returns, and I think we've done the entire—you now are financially literate as a group, and I feel really good about that.

- 1.71** I'm going to talk about a few more things, though, that I think are important psychologically with markets. Everything you want to buy, all the assets you want to buy, trade on markets. They're like a market for things. If you want to buy big stocks in the United States, you buy it on the New York Stock Exchange. Originally, I think it was a bunch of guys on Wall Street that would stand under a tree and they'd trade shares of stock under a tree. I think that's the story. I don't know. I make these stories up sometimes and just go with it. That's the New York Stock Exchange. You buy things on that exchange. They used to have a big room where they had specialists. They would literally trade the shares and yell at each [other]. My brother-in-law was one of those. Now it's all electronic.
- 1.72** You want to trade in insurance, you go to Lloyd's of London. That was originally a coffee shop, and some kid would look at the ships that were coming in, and they'd write notes, "Who came in? How much they had?" And people started making insurance deals on there, and then it became this huge insurance company.
- 1.73** Real estate trades on the multiple listing service or MLS. If you want to buy real estate, you go, "Where's that marketed?" You have a listing service. In the real estate, people take care of it, but you can just look on Zillow and see it, too. That trades on MLS.
- 1.74** If you want to buy collectibles, like, "Dude, I'm really into Beanie Babies," or people buy the shoes—I don't know why I'm thinking about this. I haven't thought about this ever, but they invest in athletic shoes. They've got closets of shoes. I'm like, "Whatever. People are into things." You buy those on a market like eBay or something, or maybe there's a shoe market, maybe there's Super Shoe or something. I don't know. Or Christie's, like auction houses for high-end—if I want to buy like Jerry Garcia's shoes, it would be like a Christie's or Sotheby's auction or something.
- 1.75** Everything trades on markets. All this trading is done in a marketplace. When you're dealing with markets, you have market psychology. So all of a sudden, our individual psychology gets sucked into market psychology. The way markets work is they tend to move from risk-taking, what they might call a bull market or a risk-on market or everybody wants to buy the stuff market or a hot market; there's different terms for this. Then they would transition from a hot market to a bear market or a risk-off market or a cold market, or you might call it a buyer's market and a seller's market—I guess it would be a seller's market and then a buyer's market—and that's just the nature of markets. They go up and down.
- 1.76** But because people are humans and we do what the economists call the herding behavior—I don't know why I say the economists; I guess that psychologists might call it herding behavior, too. I'd probably call it social influence—but because of herding behavior or crowd behavior, people get really interested in markets at the same time. When everyone starts buying something, everyone starts buying something.

- 1.77 So if everyone was buying those tennis shoes and they were like, "Dude, shoes—" Pretty soon I'd be like, "Man, maybe I should get some of those shoes. My friends who are buying those shoes are getting rich." And I'm usually the last guy to buy, so I go buy a bunch of these Air Jordans. I buy a crate of Air Jordans or Kanye shoes because I'm playing like, I'm taking a big risk. So I buy a crate of these and then the market tops and somebody's like, "Dude, those are tennis shoes." And you're like, "Damn, they're tennis shoes." And you can't wear them and collect them. You're like, "No." And then the market goes off and it collapses and then everyone sells them all. And then somebody goes, "Man, maybe it's time for me to buy tennis shoes." And he starts buying them off, and that's just the—
- 1.78 Some of them never come back. Some markets go up and they don't come back, but often, like real estate markets have classic cycles in there. We're in a down cycle right now. But two or three years ago, people were killing each other to buy houses. Now people can't give homes away. It's just the nature of these things.
- 1.79 These big market swings are called speculative bubbles. Often we say, is there a bubble in the housing market? Is there a bubble in the stock market? That bubble is like a lot of speculation, lots of people trying to buy an asset, herding, and at the same time, it makes the asset very expensive. It's hard to see when you're in it. Another term people have used historically for this is manias. People get manic or maniacal. I've never used that term in investing, but I like a maniacal investment in something. I don't even know what's hot right now because I'm not cool. I guess some crypto things or something are hot. I don't know. But there's lots of examples of these historically.
- 1.80 I think that the most famous early example was the Dutch tulip bubble, which is somewhere in the 1600s. I did read this whole thing, I promise, but I don't remember exactly. People started importing tulips from the new worlds they were acquiring, and the tulip started getting valuable, and more people started buying tulips. So people started bringing in just crappy tulips, and they were bringing in bulk, like a thousand. They'd buy this big bulk of just mediocre tulip bulbs and stuff. Junk tulips. And the tulip market went crazy. And then people were like, "Dude, they're tulips," and it collapsed. That's what happens. That was a famous one.
- 1.81 The South Sea Bubble was a famous one. The railroad bubble, when they started building railroads in the U.S., was just like chips, just like the dot-com. The dot-com bubble— you guys probably remember the tech and dot-com bubble. It looks like you've been old enough to probably remember that one. Beanie Babies was a famous bubble because that's when everyone's like, "Beanie Babies. I got Princess Claire for 6,000 bucks." That one made me sad. Real estate in '08—everybody I know in real estate industry still has PTSD from the Great Financial [Crisis]. I still do. I still wake up in a cold sweat sometimes going, "Oh, my God, no one will buy my house." That house is still for sale, but it's a totally different buyer, so I feel okay. It's for about five times more than I sold it for, but it keeps coming down.

- 1.82** So what happens is that the nature of investing, because it involves these markets, we tend to herd into markets at certain times, make dumb decisions, and then we sell because we go, "Oh, that was a dumb one," and then we sell. Then it comes back, but we already sold it after it crashed. And so we end up in these boom and bust cycles. It's just something to think about.
- 1.83** The other thing I want to say is this happens with jobs, too. I see this happening with jobs. Certain jobs will get hot. I remember people saying, "Everyone, you've got to learn to code." "I want to read some history." "Don't be smart. That's for the old days. You need to learn to code." And now everyone's like, "Dude, learn to code? Nobody codes anymore. We have AI. They vibe code"—I don't know what that is; I just heard people say it—"Only idiots learn to code. You need to be studying the humanities and reading the ancient Greeks. That's what we really need. It's hard. Even with careers, you get stuck with markets.
- 1.84** I take a lot of yoga in university towns for a long time. And my God, I've had people, I've had more yoga teachers with more advanced degrees because these things cycle. Yeah. I got to speed up here. I'm sorry, I was going to tell another story, and I'm not—oh, I will. Okay. When I went into academia, the story they would tell is, "Don't worry, there are going to be so many professor jobs when the baby boomers retire." And they've been saying this for 30 years. Guess where the baby boomers are? They're still right down the hall sitting in their office smoking their pipe because they can't afford to retire. Anyway, jobs cycle, too.
- 1.85** So what do we do with market psychology? There's a few ways you handle this. The main thing to think about is how to be countercyclical. The secret is: when everyone's buying something, you're selling it, and when everyone's selling something, you're buying it. You've got to be wired—you've got to have a real strong stomach to do that because you have to be able to do the exact opposite. The famous financial saying around is, "Buy when there's blood in the streets." I don't know if that's Warren Buffett or Rothschild or I just made it up, but that's one of those classic ones. When things look really bad, when it feels like you want to puke, that's when you're supposed to buy. So it's going against your psychology. It's hard.
- 1.86** Second is diversify. I talked about diversified portfolios, but I also want to say: diversify out of different classes of assets. If you're like, "I own Queen Elizabeth Beanie Baby. I own the Beanie Beanie Babies. I have a really diversified portfolio." I'm like, "Dude, that's really a lot of Beanie Babies. It's not as diversified as you think." So really think about diversification a little more.
- 1.87** And then the other thing is just learning how to ride markets, to ride the risk. My poor daughter, when she wanted to go into finance, I said, "Go buy a little Bitcoin, just a little bit with your own money, just see how you feel." It was so funny. She'd be like, "This is awesome. I love this." And then two months later, "God, why did I buy this? This is the

worst thing ever. Oh, it's just going to hell." I'm like, "You're riding the market cycle." It sucks, doesn't it? It's all psychology. When you're up, it's great. When you're down—

- 1.88** You learn to ride the cycles. And what happens is when you start investing in any area, or talking to people who are professionals in investing, they've gone through a few cycles. And they tell a war, "Oh, yeah, you think this is bad? You should have seen the blow-off we had in '02 with the natural gas collapse in Myanmar. It was the worst bear market of all time, but we survived." So you have enough experience. And that's why, when I talk to people who invest, if they have a lot of gray hair—I'm not an investor; I'm a psychologist—if they have a lot of gray hair, I tend to trust them more because I feel they've got more, it's like they have more scars. You got to learn a lot of this stuff the hard way.
- 1.89** In conclusion of this secret financial literacy lecture that you didn't know you signed up for—we're going to talk about psychology the rest of the time—the idea is that wealth accrues to people who can make excess income and then save it and invest it wisely over time. Warren Buffett made most of his wealth after he turned 65. I find that statistic mind-blowing because Warren Buffett is our archetypical rich dude, great investor, and he made it when he got old. That's just time value. That's just compounding money. If you want to get rich, it's going to take decades to get wealthy or generations, unless you take a lot of risk or you marry somebody rich, which is totally—that's plan A, but if plan A fails, you either take huge risk and you don't diversify and you get lucky, or else it's going to take a long time. That's just the nature of it.
- 1.90** All else equal, certain people are going to be better generating and investing wealth. But as I said, those are going to be a little different skills. People who are making money are going to be able to hustle more, a little more extraversion, more discipline, more hard work. And then patience and delayed gratification and stress tolerance are really going to help with keeping money. When I talk about personalities, like conscientiousness is good for both. Anyway, I'll get there.
- 1.91** The nature of markets makes investing really, really hard because when markets are hot, everything in you wants to be part of that market. When markets are dead, you're like, "I don't want anything to do with it." You're usually doing the wrong thing. Your psychology is usually telling you the wrong thing. This entire process of financial life is complicated.
- 1.92** In the next lecture, I'll talk about how it starts to link to happiness. Thank you very much.
- 1.93** I was wondering if you could do a little more of a breakdown on nominal and the difference between that.
- 1.94** Yeah, so what happens is the value of, let's say, a dollar changes every year, and it usually drops every year. If you want to compare a dollar in one year to a dollar 20

years ago, you have to make those adjustments to adjust for that change in value. So what they'll do is they'll say, "We're going to do this analysis and we're going to hold everything constant in something like"—they might say—"we'll hold it in \$2,000," or, "We'll do this analysis and hold it in \$2,020, and we'll adjust for that. We'll basically adjust for inflation in our analysis." That would be considered real dollars. Nominal dollars are the dollars you get each year. Did that make more sense?

1.95 It's hard because a dollar isn't like—it's not a thing; it's not like a piece of gold or something. Even that has some variability to it, but it changes every year. I guess the simplest way to say it is, if you're doing an analysis to talk about real dollars, what you do is put in a control for inflation.

1.96 Thank you, guys. You are awesome. I appreciate it. One down. Nice.

Lecture 2: The Happiness Paradox

At a glance — The happiness paradox — how money relates, and fails to relate, to well-being.

- 2.1 All right. Now that we have some understanding of our basic financial literacy, what I'm going to hit with the psychology in this first lecture is the relationship between wealth and happiness, the bright side and a little bit of the dark side of that as well.
- 2.2 This is one of the oldest questions involving wealth. People are like, "You want to make money so you can be happy," because that's the goal. People go, "I'm going to get money to be happy," and that makes a lot of sense. But if you think about it, it also doesn't make perfect sense, so it's worth talking about. We're going to talk about wealth and happiness.
- 2.3 The first question is: What is happiness? Happiness has to do with positive feelings, but psychologists have a few different things, a few different constructs or ideas that we use when we're talking about happiness that are a little different. The first form of happiness, which is often called hedonic happiness, like the word hedonism, is positive emotionality. It's basically feeling good. I call this emotional happiness, positive emotionality, hedonic happiness, hedonia—I feel good. That kind of happiness. That's really important.
- 2.4 The second kind, which is often called eudaimonic happiness, if you're sticking with the Greek, translates to "good demon"—I'll go into that in a second—is also called life satisfaction. It's more of an evaluation of your life and some sense of meaningfulness in there. So eudaimonia, a daimon, D-A-I-M-O-N in Greek, that's where we get the word demon. It was a part of your psyche that stayed with you that was good and that would help you. So eudaimonia is this positive, meaningful, life satisfaction type happiness.
- 2.5 So if somebody says, "Hey, Keith, are you happy?" My answer could be, "Yeah, I'm feeling really these positive emotions right now because we just won a football game and I'm really happy." Or it could be, "Yeah, I look at my life and I'm really proud of my wife, and how my kids are doing. I got these great dogs, and I love my dogs. I'm pretty satisfied. I'm pretty happy." Those are a little different things, but they're both happiness. Those have been studied; often, people will blur them. Sometimes they study life satisfaction, sometimes it's more emotional happiness.
- 2.6 The third form of happiness, which is not studied as much, but it's really interesting, is this idea of richness in life. So some people are like, "My idea of a happy life is a life that's filled with experience, an experience-dense life. Like, "Are you happy?" "Oh, yeah, man, I went to"—I'm trying to think of places to say that aren't at war right now, and I can't think of any, so it's not working too well—"I had these adventures, I met these people, and it was good. And yeah, we had some bad stuff, too, but God, all in all, it was such a cool experience. I'm really pumped."

- 2.7** All those things are happiness in different forms. So when we talk about wealth and happiness, we've got to be a little careful about what we mean. The big question: Is wealth related to overall happiness? Without getting into the details, the answer is yes. You generally find a link between people having more wealth, more income, even, and how happy they are. But the answer is complicated. It's not as simple as more money equals more happiness. It doesn't work that way. If it did, all the celebrities would be the happiest people everywhere. You'd be like Princess Di— "I'm a princess and rich. I'm the happiest." It's not how it is, obviously. You see lots of very wealthy people that are miserable. It's not quite that simple.
- 2.8** What I want to talk about in this lecture is I'm going to look at five different relationships. I'm going to first look at basically cross-sectional ideas: if you look at a sample of people, how is happiness and wealth related? That's an interesting question. Then I'm going to look at some of the causal data on income and happiness: if you give people more income—because they have some experiments on this—do they become happier? You can actually look at it a little bit scientifically that way. Then I'm going to look at changes in time and wealth at the societal level and the link to happiness. It's called a paradox. I'll give you a hint. Then I'll talk about a few of the dark sides of wealth and money because I always think those are useful to talk about. And then I'll end up talking about happiness, positive or negative emotions, basically, and how those can influence financial decision-making. Again, I'm trying to talk about how wealth leads to psychology, and psychology leads to wealth. That's a theme here.
- 2.9** In terms of the money-happiness phenomenon, people have looked at this for a long time. Probably the original idea was that there's a linear relationship: more money, more happiness. A study done in the early 2000s, Stevenson and Wolfers, argued that this relationship was actually more curvilinear, which is a fancy way of saying there's a curve to it. What they found was that— and this is with income, not wealth—at lower income, there's a pretty decent relationship between happiness and how much income you have.
- 2.10** If you go from, say, making 30,000 a year to 70,000 a year— 70,000, 75,000 is about that inflection point they're interested in—that makes you happier. But going from 70,000 to 100,000, maybe not as much, or 100,000 to 150,000, not as much. So the idea was that there was this link between wealth and happiness, but it stopped once you had enough money to take care of problems. The idea was that getting out of poverty would make you happier, which it sure does and certainly should, but beyond that, having three Lambos isn't going to make you happier than two Lambos.
- 2.11** That idea caught a long time. There was a response to that research by Daniel Kahneman and Deaton in 2010 that was interesting. They broke down types of happiness. They said that the emotional happiness maybe tapers off at about \$75,000. Again, with inflation, this is your real and nominal dollars. This would probably be \$100,000 today if they did this again. But life satisfaction keeps going up. The idea they

argued was that when you get to a certain amount of wealth, you peak at the emotional happiness, but you can get greater life satisfaction with more wealth, with more income. You go from \$75,000 to \$200,000, you're going to be more satisfied with your life. Maybe you can do—and I'll talk about why—maybe you can do more stuff, maybe you can get a cooler outfit, maybe get a better girlfriend, whatever.

2.12 The latest data I looked at from about three, four years ago looks like even just hedonic or emotional happiness keeps going up. So there probably is something curvilinear, but more wealth, or at least more income, more happiness. That just seems to be the association, but it's stronger getting out of poverty than getting more and more and more.

2.13 I don't know, Jeff Bezos maybe lost a billion dollars today. I don't know, maybe made a billion dollars. I don't know. I didn't look at the stock market. I don't think that influences his happiness one way or another. But going from somebody who doesn't have a real stable living arrangement to where they can pay rent for sure on a house and get food, like, dude, that's going to help a lot. So I think that curvilinear model is pretty accurate, but more is better. I love this country. You've got to have a guide story. You've got to have a pole story to drive a culture.

2.14 So how about experimental manipulations of income? People have done this a lot. You've probably heard about some of the recent research on universal basic income, or UBI, the economists are experimenting with. There's a lot of interest in this as well. The fantasy is that we're going to have robots do all our work and we're just going to be reading poetry all the time. I have a feeling it's not going to quite work out as well for us, but that's the theory. So people are experimenting with this.

2.15 There is a meta-analysis or study of studies, combining a bunch of studies done by McGuire a few years ago, looking at the association between well-being and manipulated income. If you increase people's income for a couple of years, do they get happier if you supplement people's income? The answer is yes, but it's a really pretty small effect. The effect they found was an effect size of D of 0.13, which means about 13% of a standard deviation in happiness. I don't know if that means anything to you. It's a tiny little bit. It's like growing somebody in height. Maybe you grew a half inch or something; it's a change. If everyone changed that much, it'd be a lot, but it's not a huge big deal.

2.16 This was done with income. They haven't really done this work with wealth because academics, like I said, aren't really interested in making people rich and making them feel bad. Shigehiro Oishi and some others have argued that wealth might have bigger effects. I think it's probably true. There have, though, been some natural studies on people who get wealth by chance, and these are lottery winners. So these aren't real experiments. I mean, there was no academic manipulating the lottery to say—God, that would be an awesome study. Facebook does that. They did that a few times and got in

trouble. I mean, you can't. Anyhow, I'm not doing that, but you just see who won the lottery.

- 2.17** They did a lot of this research in the '70s, and I would teach this a lot when I talked about happiness. What they found with lottery winners is a lot of them would win the lottery, and then five years later, they're not any more happy. Two years later, they're not much more happy. They didn't really work. The argument for this is what we sometimes call the hedonic treadmill or adaptation effects.
- 2.18** The idea of the hedonic treadmill—which I think is a pretty good image— is imagine it's a treadmill, so you think you're moving forward, but you're really not making progress. And it's hedonic, meaning it's the happiness treadmill. It's emotional. So what happens is you're like, "Hey, I got this new car. I feel good." But then very quickly, there's adaptation. You're like, "Yeah, this is my car. I'm a Porsche guy." My good feeling doesn't feel as good as it did when I first got the car. I start going back, and then I start going, "God, those Ferrari guys seem really cool. Porsche guys are a dime a dozen." So we get used to what we have, and then we want more.
- 2.19** This is what's weird about this—I took my youngest to England recently, and we did the history tour. [Being] a king would be cool because you could behead people if they pissed you off and stuff. You had some power that you don't have. But our lives—I live better than most kings did historically. I've got a better mattress, I've got better food. They got to eat pheasants. They could capture a barracuda or whatever they'd have, eating a camel brain or something. But I have better food, I've got a better mattress. I've got better AC. I've got a better toilet. I don't own one of those Japanese ones, but I could, and that would be better than any king ever had, ever.
- 2.20** So we live really well, but we don't feel that. I don't wake up every morning and go, "Thank God I was born now and not 400 years ago because look how nice my mattress is; it's not made out of horse hair." We adapt to things very quickly, and that makes it a problem. What we found originally, and the research was that lottery winners—it didn't make people happier, which was weird. But again, it's adaptation. There's some other stuff that happens. You win the lottery, and you lose all your friends because they all want your money.
- 2.21** There is some more recent research done in Scandinavia, and the Scandinavians do a wonderful job keeping records of their entire population. They know everything about their population. So when you look at big data coming out of Sweden or Norway or whatever, it's often the best. The last data I've seen out of Sweden looked at lottery winners and found that there was sustained life satisfaction. So maybe not emotional happiness, but overall, life satisfaction seems to be sustained with wealth. I'd like to do the experiment—and my usual answer to this when people are like, "Winning the lottery wouldn't make you happy." Well, I'm willing to give it a shot. But if it doesn't work, it doesn't work. Generally, I think giving people wealth will increase happiness,

but these effects are small and it's probably more life satisfaction than just feeling good, just being pumped about life.

- 2.22** There's a little bit of a paradox that if wealth leads to happiness, if a country becomes wealthier, should everyone in the country get happier? That would make sense. It would make sense that as the country got richer, all the people would be happier because they have a higher standard of living. When people have looked at this, it's not really that clear. It's something they call the Easterlin paradox. It's that as countries get wealthier—even though at the individual level, wealthier people tend to be happier—as countries get wealthier, the whole country doesn't necessarily get happier; it doesn't seem to change. I think some of that is adaptation, and there's some other stuff as well.
- 2.23** There's a hundred studies where different groups will go, "Who are the happiest countries?" The answer is always Denmark for some reason. The last one I looked at, actually, Denmark didn't come out as first. I think it was second. But when you look at the list of happy countries, to the extent we have equivalent measurements of happiness across countries, which is a questionable thing, what you usually see are Scandinavian countries, Northern Europe is happy, Switzerland, Israel, Australia. The U.S. is a little lower in a lot of these. And if you look at what makes a country happy, GDP, gross domestic product, matters, but that's just one piece of it.
- 2.24** It's also a sense of individual freedom. It seems to matter. You can do what you want in the country. Social connection as well: having friends, [being] connected to family, really important. And high trust or low corruption. So you're getting low corruption, high social connection, high freedom, and high GDP. That's your happiest country.
- 2.25** In the U.S., our social connections are getting lower. We love making money. We love freedom. But sometimes what we sacrifice to do that is our social connection. We're having, they've called it a loneliness epidemic. I mean, our last surgeon general called it that. We're very socially disconnected, atomized, and isolated. It's probably another lecture I could give on that. And we're becoming a little more corrupt as a society and a little lower trust. We're not perfect. If we could get our social connection up, I think we'd be a little happier. But that's generally what happens.
- 2.26** I think the bottom line with this is that money will lead to happiness, especially leaving power, if you have the social connection and the autonomy and choice. But it's not going to be as fast a process as you think, as people get used to wealth very quickly because of that hedonic treadmill.
- 2.27** Like I said, there isn't a lot of work on richness in life and wealth. I always think that if you had a lot of money, you're going to have a richer life. Part of me thinks, of course, you would, because then you could do all these adventures and stuff. On the other hand, you might get, "God, I got all this money, I got to keep—" I become fearful and protective and start hoarding that I never do anything.

- 2.28** And when I look at people that are having fun—my older daughter just got back from four months living in New Zealand waiting tables. I'm like, "That sounds like a rich, fun adventure." I was jealous. Every day I'd see pictures and be like, "I wish I were there." She wasn't making a whole lot of money waiting tables, but she was having a richer life than I was. So I think it's a complicated question. A lot of times, that freedom is really important for richness.
- 2.29** Okay, so that's the higher-level view of wealth and happiness. How do you drill down into here and start thinking about specific reasons for this link between wealth and happiness? What would be those psychological mechanisms behind that? The first one, and I use this term a lot, and I will probably use it a lot, and I hope it makes some sense to somebody, but I say money is a multiplier. Because a lot of people are like, "Money makes you bad." I'm like, "Dude, money doesn't make you bad. It just makes you more how you are." If you're a jerk and you get rich, you can be the biggest jerk on Earth, and people will still smile at you. If you're compassionate and you get rich, you can be the most charitable person on Earth. So money multiplies what's already there.
- 2.30** I thought about changing this to money as a magnifier, and then I didn't. But the idea is what money does is, it lets you do whatever you want. It magnifies or multiplies whatever is already there. And because of that, it can be linked to growth and a sense of agency—people use this term agency a lot, and no one ever defines it. I will give you a quick definition. It's the psychological sense that one can reach goals and regulate their own behavior in the pursuit of those goals. I'm shortening it a little bit from Bandura. But the sense of agency is like self-efficacy; it's a sense of control. It's a sense I can get things done I want to do. Money will allow you to have that sense of self-control that I think can be really helpful.
- 2.31** The risk is that money can also lead to hedonism. So what happens is— I mean, I see this. I live in Athens, Georgia, which is known for football and music, not for academia. I'd like to call myself a football professor— what you notice is that the kids will make a whole lot of money playing sports. The students playing sports now make a lot more money than the faculty or the deans or anybody else. And that's fair. They bring in more money, too. No judgment. But what happens is as soon as you get your first paycheck, you go, "I'm going to go buy a new sports car. I'm going to buy this. I'm going to buy that."
- 2.32** What happens is there's an impulse for hedonism: I'm going to start acquiring stuff. I got money. I'm going to buy this. I'm going to buy this. That feels good for a little bit, but that's not going to make you happy in the long run at all. I promise. No one has ever just bought stuff and got happy forever. It doesn't quite work; it's materialism. So that's one of the risks.
- 2.33** Second idea, and this is, I think, super important about wealth, it's got this stress buffering role. What happens is you go through your life, you're like, "Everyone"—not everyone, but the average American—and I know this is going out to an international

audience, and I think this is probably true for the average British person or the average person in Ghana—is you got enough money coming in to live your life and you have a plan, like "I got enough to pay my rent, I can eat, I can do this, I can take care of stuff, and everything is going great," and you're driving your car, and then your transmission breaks. You're like, "Uh-oh." Then you go to the store and they're like, "Yeah, it's a transmission. That's only \$5,000." You go, "Huh? That's 10% of my income. I don't have \$5,000." And then you go into a panic.

2.34 You either put the money on debt—if you're in the U.S., you can go put it on a credit card. Other places don't have this option. You start borrowing money from friends, you sell your car, you start—it makes your life very, very hard. If you have money, you go, "Here's \$5,000. Thanks. Thanks for fixing my transmission," and you don't stress. So the stress buffering role is really, really important for money.

2.35 But here's the catch. Money will help me solve what we call instrumental problems or instrumental stressors. I can use the money to get a new transmission in my car. My kid's in a jam, and I'm like, "Here's some money, get out of the jam. Don't worry about it. I'll take care of it." It's awesome.

2.36 But money doesn't help with emotional stress necessarily. So you're like, "I fixed my transmission, but it doesn't fix my broken heart." I'm like, "Oh, I failed this struggle. I have these childhood issues. I'm struggling with this." "Here's a million dollars, Keith." I'm like, "Yeah, it's not helping me." I can buy a bunch of tequila with that to bury my pain, but I can't really do anything with it. For pain, you need something else. So it helps with the stress from instrumental things, not necessarily emotional stress as much. A little bit—you can pay for a better attorney if you're getting a divorce or something.

2.37 This is a more positive one. Money can help you be generous. It can help you help people. So wealth, it might not help your own— it might not help your own emotional stressors, but you can help other people's instrumental stressors. It can help them meet their goals. If your kids are like, "Dad, I want to study music at the fancy music school." I'm like, "Dude, I can pay for the music school." Or if you don't have the money, your kid's like, "Hey, dad, I got into X University," and I'm like, "That's \$300,000. Have you thought about University of X down the street, which is free?" If you have resources to help other people, you can help people and be generous, and that feels good. So you're going to get happy just by being a good person.

2.38 I don't know, many of you have probably worked in the service industry. That's a rite of passage for a lot of people. I was a bellman. I worked one day in a restaurant, and it was too hard for me. Really, I have so much respect for servers. If you're in the service industry, you very quickly figure out who's an egomaniac, selfish jerk who's famous and who's not. You talk to people in the service industry in L.A. or New York, they see all these people, and they know who's cool and who's tipping people and being a bro, and who's a selfish, arrogant jerk. That reputation gets out there all the time, and you see

very big differences. You see some people that are wealthy that are super generous, and some that are just really tight and angry. Anyway, money is a multiplier. It can bring out different sides in different people.

- 2.39** Another on the social side—this is a little more crass, but it's true— is that wealth helps you find mates. People will find you more attractive if you have money. There's different research on this, the people that run those Tinder things or Grindr, whatever, all the swipecy apps, they probably have all the data on this that they're not sharing. This is one study I know from some behavioral economists, the Hitchhiker study. But it was really interesting.
- 2.40** They tried to look at how much money was worth, and this is just one example. They found that high income is desired—for men, high income in a woman gives them about 4% increase, 3.9%, technically, about 4% increase in contact. So you're about 4% more likely to be contacted if you're a woman, if you make \$150,000 versus \$50,000. For men, it's double that. So for women, finding men attractive, \$150,000 is about 8.9%, about 9% more likely to be contacted than if you make \$50,000. It's just attractive. So if you're rich or wealthy, it's going to be easier to find mates.
- 2.41** That song they had—"I want a guy who's 6'2, blue eyes in finance"—and stuff that was very popular. It sounds a little materialistic, but it's true. And "in finance" was a code word for wealthy. It wasn't like, "Because I really want to talk about the work and putting together PowerPoints and stuff." No, they just want someone wealthy. Anyway, wealth is really good socially. It helps you form a family. I hate to say it, but that's just the way it is.
- 2.42** Finally, I was looking at trying to look for some good twin data to figure out some of these effects. There's a study by Wendy Johnson, Bob Krueger—these are people up in Minnesota, where they do all the best twin work in the country. They looked at this with a bunch of genetic controls and found that the wealth-happiness link was primarily about feeling good about yourself, feeling wealthy, which gives you a sense of, "I'm satisfied with myself, I feel some esteem, and I also have control over my life."
- 2.43** So a lot of the mechanism here is wealth. It's like, "Yeah, I feel good. I'm a wealthy person that's valuable in our society, so I feel good about that, and I can do what I want." So control is a big part of this. It's not just like this Scrooge McDuck from the old cartoons with a big pile of dollar bills and gold diving into it and stuff like that. It's not that that's making people happy. They're not getting happy by rolling—these are like old movie scenes—rolling in dollar bills on a bed in Vegas. I've never fantasized about that in my entire life. That just sounds creepy, and that money is a little gross. Yeah, you can not do that. But the idea of having some control over my life, of feeling like I've accomplished something, being able to pay for my kids' braces, all those things make wealth pretty useful. That was the link between wealth and happiness at a global level.

- 2.44 Another question you can ask is: Is there a more specific form of happiness that you might call financial happiness, or economic life satisfaction, or financial satisfaction, or financial well-being, or economic well-being, or money happiness?—I'm trying to think of other terms. There's a lot of different terms they've used for this. The answer seems to be yes. There seems to be a more specific form of happiness people report—and they talk about this in other domains as well, where people go, "Yeah, I feel good about my money."
- 2.45 So one of my friends who's a wealth manager, he'll ask his clients on a scale from 1 to 10 or 0 to 10—one, you haven't slept in the past month, and 10, you're the happiest you've ever been. How do you feel about your money? People go 1 to 10, they can answer it. "I'm a five." Why? "I just bought all this Bitcoin and it scares me," or, "I can't pay my rent," or, "My friends are all rich and I'm not," whatever the case is. So this is something that people have a very—it's very easy for people to know intuitively. There's lots of different measures of this. There's some that are more complicated, lots of items. But again, it's a very simple judgment people can make about how they feel about money.
- 2.46 What's interesting is that this has a couple of real benefits. First of all, financial happiness—if you're financially happy, you're less likely to make dumb financial decisions. People who are financially unhappy or panicky are like, "I've got to change everything. Things are bad. I don't feel good with money. Maybe I should invest in something. I should invest in my buddy's new business. I should sell my house. I'm freaking out. I got to do something." People who are happy are like, "Yeah, I'm not going to do anything. I'm going to let the market work. I'm not going to make any decisions." That's usually the best thing to do.
- 2.47 So people who are high in financial happiness usually don't. They can make decisions calmly, but they're not under panic. People who are low in financial happiness are more likely to make panicky financial decisions, which are usually bad.
- 2.48 I wasn't planning to say this, but this is a very important lesson in economics— this is what they tell you is never panic, but if you panic, panic first. That's what makes panic so hard. So you never panic, but if you're going to panic, be the first person to panic. Meaning, "I own all these Beanie Babies. Man, I think they're going to drop in value." Dude, sell them all. You panic, just be the first one to panic. Don't wait for everyone to panic and then panic. You panic first. Or else what you do is chill and let the market ride, and just go, "I'm going to pick up all those sweet Queen Elizabeth babies on the bottom when people are selling them. I'm coming in and hoovering them up."
- 2.49 Speaking of rich dudes, I checked in one of the Hoover guys when I was a bellman, and he tipped me like a hundred bucks on Christmas, and I always thought, "What a cool guy." I always thought he was a good dude ever since then. I thought I'd share that story about—I'm not going to talk about the cheap people. The worst tippers were always teachers. God, I'm sorry. It's us. It's like academics. It's like, "You should just be lucky to

have talked to me." "Really? How about a dollar?" Sorry. Physicians are pretty cheap, too, but I'll just call out myself.

- 2.50** So being financially happy helps you stay financially calm and not make dumb financial decisions, which are really easy to do. Probably the kids watching TikTok, there's probably a million dumb ideas out there every day. I see some of them sometimes, and I laugh, and I go, "Oh, God, people don't know this is not a joke."
- 2.51** The other thing about financial happiness is that it's really important for global or overall life happiness and life satisfaction. If you want to have a happy life, the financial is an important part of that. Community happiness is important. Being happy with your physical self is really important. Being happy with your relationships is really important. Being happy with your work is important, but financial happiness is a big deal.
- 2.52** If you're financially miserable, it makes it hard to be happy in your life. So it's an important thing, even if you're like, "I don't care about money." I'm like, "That's fine, but just be happy about it." If you're like, "I'm really happy about my money, I'm happy about my wealth, and I don't think about it too much"—fine. But if you're not happy with it, it's going to drag down a lot of the rest of what's going on.
- 2.53** I've set this up thus far that money is good and that money will bring you happiness, but maybe not as much as you think. It's not alone. If you're Scrooge McDuck swan-diving in a pile of bills, it's probably not going to make you that happy. So I've been talking about some of these upsides of wealth, but there's also some dark sides of wealth that you see. I'm not going to talk about the real clinical stuff, like I said, but I'm going to do a little bit about things you run into in some of the consumer finance literature and the financial therapy. It's going to be consumer financial behavior literature, technically, and financial therapy. So I'll talk about some of the dark sides.
- 2.54** The first one is this idea of materialism. Materialism can mean a lot of things. What I'm talking about here is substituting relationships for material goods. That sounds weird. I spent a lot of years studying narcissism. It would not be unusual for me to talk to somebody who would say, "Yeah, you've got this great girlfriend. Would you give her up for a new Porsche?" And the person saying, "Oh, yeah." That's gross and weird. Why?
- 2.55** Well, because what I'm interested in is having my ego needs met. If I can get my ego needs met from a car, that would be better than a person because a car is easier, and I can always get a new one. There are no headaches; they don't whine. You're like, "That sounds crazy." Well, that's the problem with it. You get so focused on wealth acquisition that you destroy your relationships, and everything becomes a material acquisition.
- 2.56** So the story—I'm trying to think of a couple of stories of these. The fairy tale we have about this is King Midas—and I haven't done a Jungian analysis, so I'm probably wrong about this—but the general idea is King Midas is like everything you touch turns to

gold. You're King Midas. You're like, "That sounds awesome." But then your wife comes in, you're like, "Hey, honey," and then she turns into gold, and your kids turn into gold. And you're like, "Wait a second. I just killed everyone I love by turning them into gold. There must be a lesson there somewhere. It must be something."

2.57 So if you get so hung up on acquisition of wealth and resources that you start using that as a substitute for love or using that as a substitute for relationships—I'm not going to get into wonky self-determination there—but it's this idea that maybe it's a substitute need, that I'm not getting love, so what I'm doing is filling that hole up with wealth. You see this with people sometimes. It's a dark side. It's using wealth to fill up a hole that you should fill up with love or something else.

2.58 The flip side of this, which I think is really interesting, is that once you have wealth, your friends become fake and unreliable. Not necessarily all of them, but you don't really know. This happens with power of all sorts. I first noticed this in Washington, DC, where you'd see a really unappealing congressman walking down the street with five attractive young people following him. Why is that happening? People want to be around power. So this guy's got power, and then people want to be around power. If you have wealth, everyone wants to be your friend because they want some.

2.59 So what happens is you go, "Jeez, I just won the lottery. I'm super rich. All my cousins are calling me. My high school roommate, whom I haven't talked to in 40 years, is calling me and asking me if I have enough life insurance. That's odd."—thank you, somebody getting that joke because it happens all the time. What happens is you lose your ability to trust people.

2.60 And so you see people that are really wealthy, they go, "I can only hang out with other people who are really wealthy because I know we're on the same page," or, "I can hang out with my friends from when I was seven because we share that bond when we ding-dong ditched the old lady's house and the guy came out and chased us around the corner and grabbed us by our collars and scared us to death." I still remember that, and I'm still scared. I don't think people are allowed to do that anymore. He was a Marine. He picked me up about that high, and I never rang that doorbell again. It was awesome. So it makes it hard to keep relationships going. And that's unfortunate, but that's the nature of it— I don't know why I'm picking this up. I'm still talking.

2.61 The third one is that wealth is like ego-fuel. It's like, "I want to have the biggest ego possible." And I'm like, "Here, I'll just start shoveling some wealth in that, like shoveling coke into the engine of a steam train." The more wealth I shovel on you, the bigger your ego is going to get. It's awesome because wealth allows you to self-enhance. What can I do if all of a sudden I was wealthy?

2.62 Well, if I'm super wealthy, I can change my whole physical appearance. I look at some of these tech dudes—they have hair. They didn't have hair, and all of a sudden, they have hair. And then they got bodies. They look like—I don't know. I was going to say

Venus, but that would be a female. I'm thinking of a dude—but anyhow, they look like Greek statues. They're spending some money on trainers and maybe some special secret sauce I don't know about. You can make yourself look really good, you can be a big deal, and you can buy a car—I don't get the Lambos. I always joke about Lambos. I've never understood them. I drove in a Ferrari once, and I was like, "This is so low to the ground and uncomfortable. I don't even know why I drive this thing." But again, everyone's got an ego. It's just different.

- 2.63** So what can happen is that that wealth can become ego-fuel and turn you into an egotistical monster and basically build this false self-structure, this self-presentation of being better than you are because you have a bunch of money. It makes it very easy to do this.
- 2.64** The story I was thinking about with this was The Naked Emperor, and I don't know if it quite fits, but the story of The Naked Emperor—the emperor is a big deal. He comes out one day naked. No one's going to tell him he's naked because he's so rich. And eventually, some kid, who doesn't know the rules, goes, "You're naked." And then he goes, "I guess I'm naked." So the problem is you can get your ego so big, you stop being aware of what's going on in the environment around you. It puts you at risk, and you lose friends and everything else.
- 2.65** So ego-fuel could get you in trouble, but it can't get you hair—I still don't know how they do that. The other thing is, they get the skin that some of these people have. I don't understand it because I'm in Georgia, and I go out to California, and everyone looks like, "What are you doing? You're just doing different—" Anyway. They've got better stuff, better magic.
- 2.66** And then the final—I don't know if this is final because I have more— is this existential emptiness that happens with wealth. You see this with celebrities sometimes, where they just—you get everything you want. What happens in life when you have every single thing you want? You look inside, and when you look inside— don't ever look inside, because when you look inside, it's never really that good. It's like you can just look at yourself and be like, "Dude, I'm not happy looking at myself." Never think about yourself; just do stuff.
- 2.67** If you take away the struggle from people, because they have everything, they either look inside and they feel nothing, and they can't build anything because they already have everything. So I was thinking about this—I grew up with a lot of wealthy people in Southern California and watched some make it and some collapse. I remember one young man shot himself. He had kids, and he ate a gun. I was talking to my uncle about it. I said, "Bill, what happened to this guy?" And he looks at me and goes, "He never had the chance to be his own man." "What?" "Yeah, his parents just set him up, gave him money. He never took chances, he never got to do it on his own, he never felt good about himself." Wow, that's heavy.

- 2.68** I talked to a lot of these wealthy boomers and solid—I am a fly fisherman, so in the old days, I used to sit around a lot of campfires with rich guys because my uncle would take me fishing—and they were always complaining about their kids because their kids were always losers because they had all this money. And I'd always ask, "What's your advice? What would you do? What would you do if you could do it over again? What works for people?" And they said, "If you ever got a kid, you got a family business, you tell them, 'You've got to go make it somewhere else and then come back. You can't start here.'"
- 2.69** They'd always say, "Go make it somewhere else," like the prodigal son—you go out there, do something, come back, because that's the only way you're going to feel good about yourself. Because if I give you everything and you start it, if you're born on third base, you can never feel good about yourself. I basically took away your ability to feel good about yourself by giving you everything. All I gave you was a giant existential crisis.
- 2.70** So that's something—and the other thing is good luck having your parents give you a hundred million dollars and then feel empty and go tell somebody to feel sorry for you. Like going to the bar: "Dude, you seem really—" "Yeah, I got a hundred million bucks, and I just didn't make it on my own. Now I'm just in Switzerland skiing, eating caviar and fondue, and feeling empty." No one's going to be like, "Dude, give me a hug." You don't get anything for it. It's one of those things. It's weird to think about, but that struggle—when humans don't struggle, we get antsy and weird and don't like ourselves. You've got to struggle. So sometimes I think that's one of these risks of wealth is taking away that struggle.
- 2.71** I don't know if I mentioned this, but the reason I was up all night last night is my daughter—my wife and I sent her to Madeira, I don't know if I mentioned this, to go on a trip with some girls for a couple of weeks, three weeks, with no cell phones. They basically take their phones and make them live like they're wild animals from the '90s, like savages from the 1980s. They can't call their parents. So I got 42 text messages and 18 calls last night, and I was up all night, and now the phone is gone, and my daughter asked to go survive on her own in some strange place. And it's expensive. You have to pay a lot for the 1980s for your kids. It's too bad we can't just burn the phones. Oh, God, now I'm going to get canceled for being a phone burner.
- 2.72** But anyway, my point is: I'm doing that so my daughter struggles. It's going to be a struggle, and she's going to succeed, and then she's going to feel good, and she's going to have a sense of efficacy and a sense of confidence. And I pray she's going to come back and feel like a better person. But you don't get to be that person without going through the hardship. The same way, like you say, with the hero's journey, "Everyone wants to be a hero. No one wants to take the journey." You need the struggle, and wealth can stop with that struggle. Okay, that's the basic psych.
- 2.73** This is some of the stuff that comes out of the financial therapy literature. What I wanted to talk about—these are people that, basically, their job is working with

finances, with individuals, either money management, financial therapy side of things, and look at some of these issues. What I want to talk about right now is the Klontz money behavior inventory, which looks at more disordered financial behavior, more troubled financial behavior, more the dark side of wealth.

- 2.74** This is work done by Brad Klontz, who I'll talk about later. He's one of the people doing really interesting work on the intersection of financial planning and financial management psychology, which is a really cool field. He's doing a lot of work and his colleagues in there. What do they find when you do this systematically and look at problems with money?
- 2.75** Compulsive buying is a big thing you see. People get money—I'm going to give you example items from the scales here because these are actual psychological scales: "My spending feels out of control." That's what a compulsion is. It's a little out-of-control spending. Compulsive buyers are people that just buy stuff, and they're doing it for emotion-regulation reasons. It feels good to buy stuff.
- 2.76** In the old days, there were very few places like L.L. Bean, if you know that company in Maine, it would be open 24 hours a day, and you could call up and order something all the time. They had a catalogue—this is before the internet. People would get lonely at 11 at night and would be like, "I'm going to go order a new shammy shirt just so I can go talk to a nice girl from Maine." Pick up the, "Hey, how are you doing?" You're like, "I feel good." And then you get a shirt and you get a little—it becomes like a drug a little bit. So compulsive buying is an issue.
- 2.77** Another one—which this is an entire course itself—is pathological gambling. I thought gambling was going away because the last time I went to Vegas, I was like, "This is like the seventh Ring of Hell. I don't even understand this." Anyhow, it's great. No judgment. That was a little judgment on the seventh Ring of Hell, but no judgment. But it turns out when I talk to my younger students, everybody's gambling on the internet for sports and stupid—not stupid, it could be really important things. There's an insane amount of gambling going on.
- 2.78** Pathological gambling is when gambling goes bad. One item is, "I borrow money to gamble." What happens with this, the course is, people start to gamble. If they're fine, if they don't lose too much money, they don't do too much, it can be just fun, like going out for a drink. But what happens is they get behind, and then they go, "Oh, I'm behind. What I'm going to do is make it up with a big score. I have an inside tip on how many points George is going to win the game by." And so what they do is go borrow money from their mom to make this big bet on the three-point gap or whatever between the teams, and then they lose that one, and then their mom hates them, and then it's a disorder. So gambling can go bad real fast, which is why it was illegal for so long in so many places, because it's not something humans are real great at. We just don't handle it great.

- 2.79** Number three on the list is compulsive hoarding. I like this one, too. One of the items is: "I have trouble throwing items out." I think that's the low level. At the high level, it's, "I have a lot of trouble. I've kept every newspaper for the last 16 years." And I'll see these things sometime in my local neighborhood lists of like, "I've got 25 years of Newsweek magazine if anyone wants it." And I'm like, "No." Someday it'll be really valuable, but it's okay. Hoarding is when people compulsively get stuff and they don't want to get rid of it.
- 2.80** Obviously, this can be a challenge because you end up with a bunch of junk. And the path of life, as many of you probably have seen, is you get stuff and then you get older and you go, "I've got to get rid of all this stuff before you die." And pretty soon, your parents are calling you and saying, "Hey, would you like these chairs?" And you're like, "No." And they're like, "Well, somebody's got to take the chairs because either that or we're having a fire sale." Or else what you do is spend your whole life collecting stuff for your kids, and then you die, and then the day after you die, they call up the auction agent. "Sell it all. We're going to the Bahamas." So anyway, compulsive hoarding is a problem.
- 2.81** Workaholism is another one. People get rewarded for working. Work is easy in a lot of ways. You go to work, you've got a job, people call you Mr. Campbell, and they write you a check at the end of the week or the month or whatever. It's awesome. What can happen to people is they can get so attached to work that they can become workaholics. An example question: "I have an irresistible urge to work," or, "I have trouble enjoying time away from work." People that can't take a vacation. I mean, I was always like this a lot of years. You take a vacation, you're on the beach with your phone, and you're trying to get Wi-Fi, making a deal or something.
- 2.82** Workaholism, again, is like an addiction our culture encourages. "Yeah, he's a real hard worker. He's 'first went in, last went out'." They're like, "That's a good thing." Like, "Yeah, he's doing meth every day, first thing in the morning, last thing in the afternoon—that's a bad thing." So whatever it is, we like it. This is a huge literature. I have a friend, Melissa Clark, who does a lot of work on this. It's really an important literature. But that's one of the risks with the darker side. You can see it with money; the acquisition becomes compulsive.
- 2.83** Then a few more here—number five is financial dependence. This is something really interesting with money. The item from the scale is "money comes with strings attached." So what happens is people can gift money to their children, to their spouse, to their parents, to their friends, whatever, and sometimes that gift is a gift. So if I gave somebody a Christmas gift, "Here's a bottle of wine," I'm not checking in like, "Hey, remember I gave you that bottle of wine? You've got to give me a glass." I don't do that; that would be creepy.
- 2.84** But what happens sometimes in relationships, especially in families, is people get money, and it comes with strings. So people are like, "Mom is supporting me, but that

means I've got a call twice a week and I've got to look a certain way and I can't get that tattoo or else mom's going to be really upset. I've got a little bit of handcuffs on." So if you go to New York City—my joke, and it's probably true, is that everybody in marketing in New York City has their parents paying their rent. You can survive in finance in New York, but I don't think you can survive in marketing very well. And so that money, that financial enabling, is where you're giving people money, but you're not giving them freedom. You're giving them strings.

- 2.85** Financial denial—this is a big one. I said money is the last taboo. People get very emotional about it. They don't understand it. They always wish they had more. No one has enough—even Elon Musk is raising [money]. Everyone's raising money; no one has enough money. And so financial denial is just going, "I'm in denial about this." So example items are like, "I avoid looking in my bank account." "I'm overspending."
- 2.86** I see this with student loans. The student loan thing is a cultural disaster, I think. Again, it's just an opinion. I did write an article on student debt in the '80s, believe it or not, saying it was a bad idea. So I was on record. I wrote an article with my dad on it because my dad was a finance guy and knew it was a disaster. I didn't, but he was right. So people will just deny their situation and get in huge amounts of debt. And it's easy to get in debt. People get in trouble with denial. Again, just poor coping with money. Don't blame people.
- 2.87** Financial enmeshment—this is an interesting one. It's a little bit like enabling with strings, but it's a little more pathological. Enmeshment is a term we use—and I said I wouldn't do clinical stuff, but it's a clinical term. It's when parents and children don't have a clear role of authority, and the child takes on some parental roles.
- 2.88** You're a child, your parents maybe got—your mom's got a little bit of a drinking problem, and a lot of times you're driving her home at night, even though you're 15. Or you're doing stuff, you're making a lot of financial decisions for your parents because they don't know what they're doing or they're screwed up. And so you're not being treated right by your parents. So inappropriate involvement in minors or children in financial matters, stuff like that, not keeping it clean. That's another one that they talk about. That's a pretty good list.
- 2.89** So finally, I said I was going to talk about the effect of happiness on financial behaviors. I was looking for examples of this. Wouldn't you know— like I said, I think this field is turning on right now. This is what happens: things get popular. There's a paper published last year in *Nature Human Behavior*, a big meta-analysis. Again, a study of studies, more than 75,000 people. They looked at the association between emotions and financial decision-making. What they found was that happiness seemed pretty good. Happiness predicted risk-taking, comfort with financial risk—so they had people allowed to make riskier investments— and patience. People who are happier are more willing to take risks and more willing to be patient, which is generally what the right thing to do is.

- 2.90** It got a little interesting with negative emotions. Stress or sadness and worry, anxiety and depression, predicted the opposite. So people were more stressed out, didn't want to take risks, and weren't as patient. So you see that. But you do see some risk-taking associated with things like stress and anger. So with negative emotions like anger or stress or hostility, sometimes you see more risk-taking. I won't go into it, but this is a very common pattern you see in psychology, where people who are fearful generally do not take risks, but sometimes, when you're a little more impulsive, you do.
- 2.91** So happiness itself does seem to be beneficial for financial decision-making. There is probably some system there where money is making you a little—wealth is making you a little happier, and that happiness or financial happiness is making you make a little better financial decisions, and that's making your wealth grow, which is making you a little happier, which is making you a little better, happier for financial decisions, and you're being a little patient. You could see how that could become a positive feedback loop between wealth acquisition and happiness and more wealth.
- 2.92** And you could see how, if you're freaked out and panicky, you can't really get wealth, which makes you freaked out, and you never get in a good state where you've got some wealth going. Thinking about this, no one's done this research over time that I know of where they really track it as a system, but I think that's probably what's going on.
- 2.93** In conclusion, for wealth and happiness. Wealth is associated with happiness overall, like people think, but it's more complicated than people think. It's mostly important to get out of poverty. Poverty isn't awesome. It's very hard. It's very challenging for adults. It's very challenging for children. Getting out of that is your first step for happiness. But getting a Lambo is probably going to make you a little happy. Not as good as getting out of poverty, but it probably feels pretty good. I've never done it, but from what I can imagine, it's probably pretty good, but not as good.
- 2.94** Wealth is probably best for life satisfaction, probably better for life satisfaction than just being happy, happiness or richness. I'd like to see more data on it, but generally, with money, you can get the life you want. You have choices. You can go, "I built a life I really like. I have the money to do it." Not always pomp, but I have the money to do it.
- 2.95** The reason money leads to happiness is probably that, financially, you have control over your life, you can reduce stressors, you can make people happy, and you feel good about yourself, you get some self-esteem or pride because it's so important in our culture.
- 2.96** There's a specific level of financial or economic happiness or money happiness that seems to be important. People who feel good about money in their life feel good about other things. It's something maybe to work on if it's useful. But money can lead you astray. Things like materialism or compulsive spending or enmeshment or all that weird family stuff can be of a nightmare. All this stuff is complicated. There's always risk.

- 2.97** My general feeling is: if you can be a little bit happy, be patient, and be willing to take some risk, that's going to help you grow money, and that's going to feed back to happiness. Try to stay happy financially as best you can because that's probably going to pay off the most. Again, it's complicated. Thank you very much.
- 2.98** Is there any point at which wealth has a negative correlation with happiness? Do you get so wealthy that there's no struggle, and you get that emptiness?
- 2.99** I don't think there's an average level point where, on average, the least happy people are the people who have 10 million or more. I don't think it works at that level. I think what happens is that at that level, you're seeing variability, and you're seeing some people slide into that lack of struggle, "What do I do? Who am I? I don't really want to look." And then you're seeing other people like, "Man, this is an opportunity now that I have this wealth to really create something great for myself and people I love." And so probably you're getting a dispersion. So the average looks like this, but it's probably dispersed like that.
- 2.100** Can you go a little more into financial denial?
- 2.101** Financial denial? Yeah, denial is a way of coping—and I'm not using this in the classic Freudian sense. I'm using this in a little more modern sense—but it's a way of coping by not just ignoring the issue completely. So financial denial is, "Dude, I know my finances don't look good. I know I owe \$300,000 for that crappy psychology degree I never used. I'm freaked out about it. I'm not even going to look." It's like blinders. "I just put my blinders on and keep going. Yeah, it's going to work out." So it's a way of denial that—avoidance coping would be a term you use clinically. "I'm using avoidance coping. It feels good in the moment because I'm not thinking about it, but eventually it's going to catch up with me." Yeah. Avoidance coping. I like that.

Lecture 3: Money and Mind

At a glance — Money and mind — cognitive biases, heuristics, and financial decision-making.

- 3.1 In this lecture, we get into a little more hardcore psych. I want to talk about cognitive biases, heuristics, and financial decision making.
- 3.2 As I mentioned at the beginning of the course, economists have this idea of homo economicus or rational self-interest, that people are smart and make rational economic decisions. People in the investment world figured out pretty quickly that this model didn't really work.
- 3.3 In the 1970s—which seems like yesterday to me—and in the '80s, academics started getting very interested in understanding systematic biases people use or mental shortcuts people use, which we call heuristics—a heuristic is essentially a mental shortcut—when making financial or other decisions, often involving rates or frequencies or things like that. "How risky are sharks?" They'd study stuff like that.
- 3.4 This literature is known by different things. In psychology, what we talk about sometimes is the heuristics and biases literature, or heuristics and cognitive biases literature. Sometimes they call this judgment and decision making, or JDM for short. So that's one of the cool things—I do JDM. In the finance world, they'll talk about this as part of behavioral finance. The term behavioral finance is, "We do financial stuff, but we realize that we're dealing with humans and not robots." Behavioral finance covers more, but this is part of behavioral finance.
- 3.5 The basic interest is that there are sets of biases that can influence financial decisions. People are interested in this from psychology and business and economic sides. I remember being back in the '80s in New York talking to my finance bro friends. They're like, "Yeah, we're learning all this at our private equity firm or our hedge fund; they're teaching us all this stuff." So this got into finance early.
- 3.6 I want to start off and say biases and heuristics are not bad. It's not bad to use heuristics. It's not bad to use mental shortcuts when making decisions. There are ways we can make decisions quickly without doing a lot of paperwork or a lot of spreadsheets. For example, I said, if I want to figure out how much the price for a house is going to go up, I just figured 5%—use a doubling rule; it's going to double every 15 years, and that's a heuristic.
- 3.7 Another one—I'm trying to think of examples of this. Another heuristic you see a lot in real estate people talk about is the 100x monthly rent rule. You're like, "What the heck does that mean?" It's basically if you want to assess the value of a rental house, and it rents for a thousand bucks a month, a hundred times that monthly rent is a decent value for the house. If the house rents for a thousand bucks a month and you can buy it for \$100,000, so it's a hundred times rent. Well, you rent it for a thousand bucks a

month, you figure 40% expenses—because that's the heuristic people use in real estate, even though you can do better than that—the math comes out to you're making about 7.2% on that house. It comes out to, it's going to double every 10 years.

3.8 If you're doing this for real, if you're a real finance person, what you're doing is running spreadsheets with different models: "I'll model this, I'll model this," and you run a thousand models. But if you don't have time for that or you don't have a bunch of smart kids—you just pulled out an undergrad to do all the work for you—use heuristics.

3.9 Whenever we're dealing with finance, you've got to remember, we're making decisions under massive uncertainty. If you make any decision right now, you're like, "We could have World War III tomorrow." We have no idea. It's very hard. We might be in it today. It might have started two minutes ago. I don't know. It's very hard to make any of these decisions. So there's a place for biases and heuristics, but it's also important to understand them because they lead us astray sometimes. But they're not all bad.

3.10 When you look into biases, sometimes people go, "Well, here's a chart of 500 biases," or, "Here's 75 biases we've identified in psychology." What happens is people keep coming up with different versions of the same bias, and they give it a little different name, and there's probably about four biases or five underneath it all. What I did today is: I broke these heuristics and biases into three buckets to make it simple.

3.11 So I'm going to talk about this idea of cognitive misers. We have the ability to think with spreadsheets and do data and make rational decisions, but it doesn't feel really good to us. When I was taught this back in social psychology at Chapel Hill in the '90s, they'd always give the example of buying a car. So you want to buy a car, there's a couple of things you can do: you can look at all the consumer reports data, you can look at how much the cars retain their value, the safety ratings, the repair ratings, you can do all the analysis. You can go put it in a spreadsheet and go, "I'm going to buy this new Toyota 4Runner," or, "I'm going to buy a Land Cruiser because that fits all my things, and I ran all these spreadsheets."

3.12 Or you can go to a dealership and go, "Dude, that is a sweet truck. I'm going to buy that thing," and then you tell yourself a story about why it makes sense. You're like, "Well, that definitely is the financial thing. I definitely need that. Yeah, that's going to—" You'll basically lie to yourself. And that feels good. It feels good to go, "Dude, I want that car." It does not feel good to run a spreadsheet.

3.13 It's hard for us to run spreadsheets even though we can do it. The historical term they use for this is humans are cognitive misers, meaning we don't like to think so much unless we really have to. We don't like doing statistics. We don't like doing spreadsheets; we don't like it. We like to go with our gut more. It's probably an evolved thing. This processing came later.

3.14 Another bias, it's probably something that comes out of our evolution, is a negativity bias. We really want to avoid negative outcomes in our life because they can do a lot of

damage. So there's a little bit of an overall focus towards negativity. That's why, when you turn on the news, they call it the news, but it's not like, "Hey, this person just made this cool thing." And, "Hey, guess what? It's so and so's birthday today." And guess what? It's all positive. It's not like half positive, half negative. It's like, "World War III is starting tomorrow, and then this, and then this." And you're like, "I'm going to die. Maybe I should get a farm. I don't know. I don't even like to work that hard." Then there's like, In a human interest story, "It's so-and-so's birthday," and they'll do that for one second. It's all bad. There's this skew for negativity for stuff. So we have a lot of impression of negativity.

- 3.15** On the flip side of that negativity bias, we also have a self-enhancement bias, and some more than others. Again, I say narcissism. But we like to have positive views of ourselves. We don't like to think we're foolish. We don't like to think we did dumb things. We don't like to think we're idiots. On one hand, we have a little bit—we're really worried about negative stuff. On the other hand, we have this little bit of a bias to make ourselves look good or tell a story where we were right. Those are some of the biases, and I'll just go through some examples of these.
- 3.16** In terms of the cognitive misers, these are some of our classic cognitive biases. A couple of the most well known—and a lot of this work comes out of Daniel Kahneman, who won the Nobel Prize for prospect theory, which I'll talk about a second, and Amos Tversky, who unfortunately passed away a while ago, but was really important in this work.
- 3.17** The first is called the availability heuristic. What happens is, if I'm asked to make an estimate of how often something happens, the likelihood if something happens, the risk if something happens, what I do is I don't go look up all the hard data, put it in a spreadsheet, and run a percentile score. I don't do that. What I do is I go, "What can I remember? What's available in my mind? I can think of that happening a lot. That must happen a lot."
- 3.18** A classic example of this is the fear of sharks. People, for whatever reason—well, I'll tell you the reason: they're scared of sharks. They're really scared of sharks. I go to Florida pretty often. People are always like, "What about sharks?" Well, I usually say hi to them. Last time I saw a big hammerhead, I was on one of those bananas, an inflatable banana with my kids. There was a guy pulling us on a jet ski, and we saw a big hammerhead. I just looked at it and said, "Hi." I don't mind sharks; they're cute. They scare me to death, I'll be honest. But I'm not scared of sharks.
- 3.19** But you ask most people, why are they scared of sharks? Because every single time a shark takes just a little bite of somebody, it's on the world news. There was a guy who got eaten in Egypt, and they're like, "Yeah, Keith, you really need to see this guy being eaten by a shark in Egypt." I'm like, "No, I don't. I don't need that in my life." They're like, "Yes, you do." If anyone gets attacked by a shark, it makes the national news.

- 3.20** How many times you hear, "A kid dies from a bee sting, an anaphylactic shock?" Never. "A kid dies from a peanut allergy." No one's scared of peanuts. I'm never like, "Oh, yeah, a lot of peanuts in Georgia. You might not want to come here." People are scared of sharks. And again, it's availability. It's because I can think of all these shark attacks, even though they're super rare and most sharks don't want to eat you.
- 3.21** I was in Australia not too long ago, and they were doing the same thing about crocodiles. I am scared of crocodiles because I always imagine them grabbing me, doing a death roll, and shoving me under a bank somewhere in some river mouth in Central America. Like I'm surfing off a river mouth in El Salvador and a croc gets me and death rolls me. It doesn't feel good. A great white just taking me out? I'm like, "Power. That's cool. Better than a heart attack." Sorry, a little freaked out.
- 3.22** But I'm in Australia—"Oh, dude, you don't have to worry about the saltwater crocs at all. They're totally fine. Don't worry about them. People never get hurt. It only happened once, where these people were swimming at night, where the guys were fishing, and there was chum in the water. So as long as you aren't near them at night when they're feeding, you're going to be totally fine." "That sounds like they're pretty freaking dangerous to me." And they're like, "Yeah, just stay away from them." "Okay, it sounds like they're going to kill me." Sorry, I'm very scared of crocs. I haven't read a lot of stories of croc attacks, but I'm still scared. So the availability heuristic is what comes to mind easiest is going to influence our judgment.
- 3.23** Salience heuristic is a similar idea, except it's not what I can bring to mind that's affecting the judgment. It's what stands out in the environment is influencing my judgment. The examples they give of this— I'll give you an example financially. What happens is, all the time, markets drop. They go up and down. That's just the nature of markets. They go down and people go, "We need to tell a story. The market dropped because—"
- 3.24** Well, how the heck does anyone know? There's 10 million people making individual trades all around the world. No one interviewed them. No one knows why the market drops. So what they do is they look at what's going on in the world. What's salient? What stands out? The term salient means it's a point in saltwater—salient. That's how you remember it. It's probably not going to help you remember it at all. So what they'll say, they'll think, "What was a big event today? Oh, there was a war attack here or something happened here," or something. So they'll go, "Oh, the market dropped because this happened." You're like, "Dude, you have no freaking idea what happened." Then it goes up the next day, "Oh, the market went up because this happened." You're like, "Really?" They're making it up. But again, it's using the salience heuristic—the things that stand out—and you're saying no to those causal mechanisms and stuff.
- 3.25** Because of salience and availability, being this distorting, it's really important to be smart about—if you want to be smart about making decisions, and we don't have to,

but if you're a professional, it's good to have a real clean information diet. So if you're getting bad information, it's going to distort your judgments. It's better to get good information. That's just something to think about.

- 3.26** Another classic financial heuristic we use, or a bias, is what we call an anchoring effect. Sometimes we call this process anchoring and adjustment. So what's an anchor? Well, if I wanted to determine the value of something that's very hard. "How much is a house worth in Scottsdale?" I don't have any idea. I don't know. "How much is a Beanie Baby worth?" I don't know. "How much should I pay for Tesla stock?" Well, I don't know. I don't know any of these things. It's hard to value these things.
- 3.27** You can value something that gives you a return. If you're like, "If I put in this much money and it gives me this much back every month, I can figure out what it's worth." But if it's just something, I don't know what it's worth. So, how I determine worth, or how people often determine worth, is they come up with the first value that someone throws out there. So if I want to figure out how much a house is worth, I'll see the value that the agent listed on Zillow. Or how much a car is worth, I'll see what the dealer lists it as. That first value is my anchor.
- 3.28** Then what I do is I go, "Dude, that's too expensive." Or I go, "Dude, that seems cheap." So I anchor; I use that as an anchor, and then I adjust from there. I go, "That anchor is too high or too low." So the anchor sets my whole frame for evaluating that asset or that object, and then I use that anchor to adjust.
- 3.29** When I evaluate the price of a house, I don't start at first principles: "Okay, let's look up land cost, let's look up construction costs. let's look up this, now, let's look up labor participation in the area, let's look up growth." I don't do all that. I just look at the price and go, "Too high, too low." Does that make sense?
- 3.30** The anchoring adjustment thing, what that means is any time you're negotiating with somebody, whoever sets that first anchor, whoever comes up with the first number in the negotiation, is going to have the most power because the rest of the negotiation is going to move off that anchor. It's going to adjust off that anchor. This is a little bit counterintuitive because imagine I'm selling my minivan; I'm ready to get a new Land Cruiser. I'm finally selling the Odyssey. I put a listprice out—or I'm selling my Odyssey and somebody goes, "How much do you want?" And I go, "I don't want to say anything. Because if I say something like five grand, that guy's like, 'Sweet,' I'm like, 'Oh, it's too low.'" So I go, "I'd rather not say anything—how much will you pay for it?" So I'm hoping maybe he'll say more than I'm thinking.
- 3.31** So what I do naturally is I give up the anchor to the other person. When you take a negotiation class, they tell you not to do that. They usually tell you to set the price. I mean, in general. So instead of starting with first principles to assess value, we usually start with an anchor and move from there because it's so much easier than starting with first principles and trying to create a value.

- 3.32** Another group of biases, I think about, are these classic— I call them "things are going to stay the way they are" bias. Sometimes this is called a status quo bias—the status quo or the way things are going to stay. This is defined as, "Preference for the current state of affairs can result in inaction and miss financial opportunities." So we have a bias in how things are working. We don't necessarily want to change it, or we can't think outside of that, and so we miss opportunities. This is sometimes called the normalcy bias, "I think things are just going to stay the same." It's a version of a consistency bias. It's a bigger phenomenon.
- 3.33** I'll give you an example with housing and interest rates that I think most people are familiar with. Interest rates were really low for, it might have been 10 years, 12 years. We had really low mortgage rates. Everyone got used to that. They're like, "Yeah, I remember my parents had to pay a lot of interest when they bought homes, but interest rates now are cheap." That became a normalcy bias or a status quo bias. I'm like, "Yeah, it's not going up. This is how it is." Psych.
- 3.34** Now we're in a different world. We're back to a different world where interest rates are high. People are still having a lot of trouble processing this. They just can't. It's very hard to process this change. What's happened with housing is you have a whole lot of homes for sale because people selling them are like, "It's 2021," and people buying them are like, "Dude, my mortgage is 6.5%, I can't afford that unless I sell all my children, and I can't even afford children to sell"—sorry, that was funny. I never thought of that—but you end up with a frozen market. So that's a status quo bias.
- 3.35** Another example I thought about—I was just out in Austin, Texas, with my parents, and I saw one of those driverless cars. Maybe they have them out here because you guys are out West. I don't know. I'm from Georgia. We're going to get them in 2040. But this driverless Waymo car comes with all these things on. It looks like a robot. I was like, "What?" And my dad, who's 30 years older than me, is like, "What?" And we're both like, "This is crazy." I cannot imagine a world where every single car is driverless. I just can't. It just doesn't quite compute.
- 3.36** I still remember people riding horses. When I grew up—I grew up in California and people rode a horse. Not just work, but everyone knew how to ride a horse. I mean grew up—it was weird. No one rides horses anymore. I imagine everyone's going to be self-driving, and I'm going to be the last holdout going, "This sucks. I want a manual transmission again." Anyway, so that's an example of this.
- 3.37** In the investment world, a variant of this is known as familiarity bias. People will invest in things they're familiar with. That makes perfect sense. It's rational. Why would you invest in something you're not familiar with? The problem is you end up with a very small pool of investment, and if that's not good—if all I know is Arizona real estate and the market's bad for five years, I'm going to be in trouble. So sometimes that familiarity bias is really good advice, but sometimes you don't look in other places. And people get

stuck, and they don't do as well as they could. And if you're in the business of making money, that can be more of an issue.

- 3.38** I keep joking about the forest, but in Georgia, the dudes love to own a little forest. They buy timber, timberland. They love it. I want one, like an acre. It doesn't make any sense, but it sounds cool. Okay, so those are more the cognitive, classic cognitive, miser type biases.
- 3.39** The negative biases, again, are more about our dislike or fear of negative events or overbias against negative events or negativity bias. This is known in the heuristics and biases literature as loss aversion: "the tendency to prefer avoiding losses over acquiring equivalent gains."
- 3.40** Imagine somebody said—here's an example I give in class, and I hope this makes sense because the point I want to make is that it hurts more to lose \$1,000 than it feels good to get \$1,000. If I took \$1,000 from you or gave you \$1,000, the emotional experience of loss would be more than the emotional experience of the gain. There's an asymmetry in positive and negative. This is called prospect theory—again, Kahneman won the Nobel Prize for this. Because of this asymmetry, it doesn't make logical sense.
- 3.41** When I used to teach this to my undergrads, I'd say, "Okay, here's a deal. Either you give me \$1,000 or we'll flip a coin, and 50/50: if you get heads, you get to keep the \$1,000; tails, you give me the \$1,000." I'm like, "How many people are going to flip the coin?" About half the class is like, "Dude, I'll flip the coin." Okay, great.
- 3.42** Here's another one: I can give you \$1,000, no problem, or you can flip a coin, and if you get heads, you get \$2,000; tails, you get \$0. "How many want to flip a coin?" People are like, "Not flipping that coin." Everybody wants \$1,000. Why are they taking more risks for loss than gain? The argument is that the pain of losing \$1,000 is so bad that people are willing to take a risk because they might avoid it. But gaining an extra \$1,000, getting a thousand bucks, is awesome. Getting \$2,000 is awesome, but \$2,000 isn't that much awesomer than \$1,000. They're both pretty awesome. I'll just take the \$1,000; I'm not going to risk losing it. So there's an asymmetry in the up and downside.
- 3.43** A broader model of this comes from Roy Baumeister, my old postdoc advisor back in the '90s, the model he calls "bad is stronger than good." It's a very general view of this, but I think it makes a lot of sense. It's that bad things are generally stronger and impacting us than good things. It's just how we're wired. If a real bad thing happens to you, you get PTSD. You think about it for a long time. It can mess up your life for life.
- 3.44** There isn't a happy PTSD. It's like, "How are you feeling, Keith?" "Oh, man, sometimes I'm so happy with my marriage, I just lie in the field in the paralysis with a big grin on my face, and I can't do anything." Or, "Sometimes my wife walks in the house and I freak out so much that I jump under the table because of the joy I feel. I love my wife. It was our 25th anniversary yesterday." But the good is not as strong as the bad could be.

- 3.45** Another way I think about this, an example I give is I ask students, "What's heaven like and what's hell like?" And when people describe heaven, it's like, "Well, you go there and maybe you see your ancestors and there's clouds and it's beautiful and you're in the presence of God, which you can't explain, but you feel really good and there's angels." "So it's like Thanksgiving with a lot of morphine. I love it; it sounds really good. I've been to dead shows that sound better than that. But still, I love your vision of heaven. I love my grandma. I'd love to see her again. What's hell like?" "Well, what they do is they burn you to death and then you're starving and you're so thirsty, but you can't drink any water. They put it there; it's just there, but you can't ever drink it forever, eternity. And then people poke you and it's sulphur, and then ants crawl on you. And then it gets worse." And you're like, "God, that sucks. I don't want one thing to do with hell. Heaven sounds pretty nice. I gotta go there on a vacation. Hell sounds awful."
- 3.46** So the bad stuff that can happen is so much more powerful than the good stuff. That's just the nature of life. So the trick—well, I guess it is financial. The trick that Baumeister says is that "good wins by numbers." You just need to have lots and lots and lots of little good events, and you don't go for one big good event. So sometimes people get this idea that, "God, I will be happy if—" I will be happy when this good thing happens, when I get a PhD, when I get married, when I have kids, when I get divorced, when I get remarried, when I get my land cruiser, all those things will make me happy.
- 3.47** It never really works because you're happy for a few days, and then there's the hedonic treadmill and adaptation, and it just doesn't quite work. So the general thing is, instead of focusing on big happy, you focus on little happy. "God, that ice cream was awesome. I had so much fun walking on the beach today. We had a great conversation. That was so cool walking the dog." You focus on lots of happiness, and then you try to avoid the big bad stuff to the extent you can. So that's loss aversion, which is a very powerful bias.
- 3.48** In terms of investing itself, it has a few key effects. One is it makes people more conservative because people don't want to lose money. So it pushes people into more conservative investments, which can be good. But in the long term, usually you'll lose money or you won't make as much money in the long term.
- 3.49** The second version of that is what's called—well, it's essentially the failure to sell losers, the failure to sell losses. So imagine you bought the Princess Diana Beanie Baby collection, or you have pets.com stock—I don't even know if that example still exists for people—or you bought this real estate in a place that seemed great, and now it's in a hurricane zone or whatever it is. You go, "If I own this thing and I don't sell it, I don't really lose any money. If I have my stock in Beanie Baby Incorporated and I buy it at \$100 worth of dollars, I haven't lost money if I don't sell it, because I still have the stock." This is all mental; it's all a mental game. So what you do is you hold on to stuff.

- 3.50** The economists call this the sunk cost fallacy. A sunk cost is money you spend, you're never getting back, but you go, "I can get that money back somehow. Maybe if I hold on long enough, maybe if I do something else." I'm like, "Dude, you just have to sell your thing. Take your loss, take a hit, and move on." People who are investors for real, as a job, they learn how to lose money. It's an important skill to learn how to lose money; cut your losses and move. But for most normal people, it's very painful to cut losses, take losses, because you've got to admit to yourself—if you think about the ego needs, which I haven't got to yet, you're like, "I was foolish. I lost all this money. I'm a dummy. But if I don't sell, I can just keep it rolling."
- 3.51** Note, this happens in relationships, too: "If we don't break up, it's still a good relationship." I'm like, "Maybe you should have cut that one, let that one go." So this is a general problem.
- 3.52** Then there's the whole insurance industry, when I mentioned risk. People are worried about loss. We have this huge, massive industry of insurance. People will pay a lot of money to protect themselves from losses, lots and lots of money to protect. If you've looked at your car insurance bills lately, people will pay lots and lots of money to protect themselves from losses. Is there the equivalent for gains? Are people like, "Yeah, I'm going to go to this market so that my gains get bigger?" Not really.
- 3.53** I mean, there are things you can do financially to make your bets bigger. You can borrow money. If I want to buy this—I think my Tesla stock will go up and I really want to make more money, I can go borrow money to buy Tesla stock, maybe take a margin loan; that makes it really risky, but you can do that. You can buy options, which I'm not going to go into; they're fancy, but those either go up or go to zero. So there's different things you can do, but it's a much smaller industry. Most of us are trying to avoid downside risk. So that's some of the outcomes of the negativity bias.
- 3.54** Then, again, we've got this negativity bias, and we have this ego self-enhancement bias. The story we like to tell ourselves as humans—and I think this is partly an effect of having a self; we tend to like ourselves. It's a version of the endowment effect. It's that we like to tell the story that we make good decisions, we're pretty smart, and most of what we did was pretty good. We don't like to tell the story that we're dumb idiots. It's a hard story to tell. That leads to a whole family of biases we might call self-enhancement biases or self-enhancement and self-protection biases because it could go, "I can enhance myself," or, "I can protect myself." But essentially, I want to inflate my ego or protect my ego. There's lots of these.
- 3.55** A big one in people talking about investing, which works in a lot of things, is the overconfidence bias. People are generally more confident than they should be in their own judgments and decisions. That's just a general bias that people have. A version of this that's a little different but similar is called the better-than-average effect. If I asked people, "How do you compare to the average person on anything: managing money,

looks, height, how cool you are, how good a driver you are?"—that was one of the classics— the average person will say they're better than average.

- 3.56** A little weird to think about, but if I tell my class, "How attractive are you on a 1-10 scale versus everyone in this class?" The average should be five. The average will be six and a half or seven. So the average student will be a seven in the class, where the midpoint should be five because everyone puts a little—not everyone, because we're going to talk about narcissism in a second—but there's this bias to have a little bit of ego inflation. Again, this is just part of how we're wired is overconfidence. So when it comes to making financial decisions, where we tend to fall is on being more confident than we should be. We tend to look at the upside, not so much at the downside.
- 3.57** Where this bias gets interesting is what's called the Dunning-Kruger effect. The Dunning-Kruger effect, I see in the Wall Street Journal about every two weeks. They love the Dunning-Kruger effect. It's named after David Dunning—I don't want to tell the story. Anyway—but this is a really interesting phenomenon you see where people who aren't very good at something, more amateurs, tend to overestimate their ability or overestimate their competence. But people who are experts tend to underestimate or at be more accurate, and even it looks like, underestimate their own ability.
- 3.58** So that self-enhancement effect seems to depend on expertise. You see the greatest self-enhancement with the lowest expertise. Then, when you get to the higher level, you see it almost reversed. You go, "That sounds weird. Why is that?" Well, you've got to know what you don't know. If you're an amateur, you don't know what you don't know. If you're an expert, you know what you don't know. Or at least you know that there's a whole space of things you don't know.
- 3.59** I will give you an example that's a little egocentric to fit with the theme. I was talking to a reporter from Australia—they still have reporters in Australia. They don't have them in the U.S. anymore, but they have actual old-school with fact checkers and stuff, magazine writers—and doing a story on narcissism, which they tend to redo every month. I was talking to her for a while. I'm like, "Yeah, I don't really know. I could see this. I could see that. Well, yeah, I hear that, but it could go both ways." And she goes, "This is so refreshing. You're not telling me one thing or the other." I'm like, "Yeah, because I know what I'm talking about. I mean, this stuff is really freaking hard. We don't have that much science. We're guessing a lot of this stuff." That's only because I'm an expert.
- 3.60** But I go to another field, and I'm like, "Yeah, I really understand this field" because I don't know the details. I just don't know the details. I learn statistics, and I feel like, "Yeah, I can do stats." And then I go talk to a quant, like a legit quant guy, and he's like, "Dude." And then he starts showing me the math under the statistics, and I'm like, "I don't understand this stuff at all." So it's this really interesting phenomenon where with very high levels of expertise, you see more humility. Not always, but that's where you'll

see more humility just naturally because people know how wrong they are, because they see how many mistakes they make and how little they know.

- 3.61** I can't keep up with the academic literature in almost any area. I read everything. I mean, I read the abstracts. I don't read every article in detail. Everything that comes out, I try to read every single thing. I can't keep up with it. It's like trying to drink from a waterfall. I don't think anyone can. And so this Dunning-Kruger is really interesting, and it shows that being an amateur can be dangerous.
- 3.62** I did a talk once with a big audience. It was with David Dunning, and it was me and then this other guy who was younger. David and I were both nervous. He looked at us, and he goes, "You guys are nervous?" I'm like, "Dude, you're always nervous until you get out of the chute on the horse. When you're sitting back in the corral, you're always a little shaky. Once they pull the chain and you start riding, it's great." But anyway, I'm having fun.
- 3.63** Okay, another bias. This is another one of these old-school self-enhancement biases. It's called the self-serving bias—very powerful. You see it all the time. It goes back to a guy named Fritz Heider, who wrote about it first. Nietzsche wrote about it, though; he wrote about memory bias as well. I'll talk about it in a second. The basic thing is we take credit for success and we blame external factors, including other people, for failure.
- 3.64** Imagine you're investing. "Oh, I invested in this house. I'm going to get rich. I didn't get rich. That real estate agent really screwed me over. Man, I really don't like him. I really don't like her. It's that stupid market. I had it all, but Powell and those interest rates. God, if he just cut interest rates." I'm like, "This is not how it works." "It doesn't matter. It's not my fault." But how did you learn from that experience? What you learned is that you have no control. You do things, but then the world goes bad. It's not your fault. You blame other people. What this self-serving bias allows you to do is it allows you to keep your ego. You can tell the story, "Hey, I made the right choice. I'm still a winner. It's just those other people in that environment conspired against me and made me fail." You're trading ego for learning.
- 3.65** The other thing you could do is when you bought the house and you lost all your money, you go, "God, I really screwed that one up. How am I going to learn from this? What were my mistakes? Well, I was overconfident. I didn't know the market well enough. I should have been looking at the interest rate picture. I should have checked to see that they were shutting down the plant next door, the plant where all the people worked. I didn't do anything, and maybe next time I'll do better. I screwed that up, but I'll learn from it." So self-serving bias is a way, a formula to not learn, but keep your ego big. A lot of what we do in life is we trade ego for learning. We're like, "I want to feel good about myself. I don't want to be humbled enough to learn."

- 3.66** A total tangent—tarot cards. In the tarot deck, there's the Fool. And there's this idea that you can't be a hero unless you can be a fool, because if you're not willing to be a fool, you can't learn anything. And so the self-serving bias protects you from being foolish, which in your mind keeps your ego, but in real life, you actually fail and stuff.
- 3.67** I mentioned memory real fast, but here we go—self-enhancing memory distortion. This is one, I think Nietzsche had to quote something like, "My memory tells me one thing"—what is it?—"My memory tells me one thing. My ego tells me another. My ego wins."—or—"My pride tells me another. My pride wins." That's probably what he would have said.
- 3.68** So what happens with our memory distortion, especially in investing— and I ask you to go ask your friends about all their investments, and you'll find this to be true— is that people tend to remember all their home runs. They remember all the smart things they did, but the things that they screwed up, they conveniently forget. Not everybody, but there's a bias against these more negative memories.
- 3.69** So when you ask people, "Tell me about yourself." Like, "Oh, I made a killing in a steel pipe down in Texas during the oil boom," and, "I made a killing in tulips in Holland. It was after the collapse. I came in there after and made all this money." People always have stories like that. People's stories are like—in entrepreneurship, the failure rate is like 8:1, 5:1. My accountant says 8:1; it's about right. Most things fail.
- 3.70** When you look at a portfolio of—if you look at venture capital, people in Silicon Valley who have a ton of money and invest in startups, the smartest people in the world—their success rate is what? One in eight? One in ten? I don't know. They try to get one home run. People who publish books—editors, the best people in New York—they try to find the smartest books. Their whole business model is: "We hope one of these works." It's very hard to pick winners. But with this memory distortion, the story you tell is when you've got the one winner; you don't remember all the losers. Again, you feel good doing this, but it gives you some overconfidence and some dumbness.
- 3.71** Next is the endowment effect. This is a little cognitive, and it's a little self-enhancing, but I thought I'd talk about this. The finance people talk about the endowment effects a lot. It's essentially association and ownership of anything—just association with anything leads to liking. The psychological theory behind this is that unit relationships and sentiment relationships go together. Meaning if I have something, I like to like that thing. They should go together for me to feel balanced. So that's the idea.
- 3.72** If I gave you the dumbest little lapel pin that said, "Psychology rules," and you wore that on the back of your jacket for a month every day. And then I said, "Can you give that back to me?" And you gave it back to me, and I threw it in the street. You'd be like, "Oh!" I'm like, "Dude, it was just a stupid pin." You're like, "But it's my pin. It's been associated with me. My ego rubbed off on it. It's part of me now. You broke me when you did that."

- 3.73** It's like when someone breaks into your car. It's not like you go, "Oh, somebody just broke a car. It's just a car." You're like, "Dude, I was violated. That's wrong. You shouldn't have been messing with my car. That's like messing with me." It's why, when people break up, in country music—in Georgia, if you break up with someone, you've got to destroy the person's car. I don't understand why they do that, but it's a cultural thing we do. You go do bad things to people's cars. Why are you attacking somebody's car? Because it's them; because they'll feel it personal. So that's an endowment effect.
- 3.74** The problem with this is you fall in love with what you own because you endow—an example, I was thinking of Warren Buffett owns Coca-Cola stock famously forever. There's nobody, if you turn on the financial news, no one's like, "You know what the hottest company in America is going to be? Coca-Cola. The young kids these days are drinking soda pop like crazy." I mean, no one's thinking that. He's owned—he's like, "I'm not selling Coca-Cola. We've owned Coca-Cola forever. It's our company." It's an endowment effect.
- 3.75** So we like something, we'll hold it just because we like it. It's financially not the best thing to do, but emotionally or ego-wise, it will feel the best. Basically, there's just a range of these self-enhancement biases. I'll talk about personality in a couple more lectures, but they do tend to be associated with certain personality styles. Some people show more self-enhancement than others. Self-enhancement is associated with narcissism. It's associated with extroversion—I'm very extroverted, no judgment. We'll talk about some other things. So, there are individual differences. Some people are more self-enhancing, and some are more self-effacing.
- 3.76** How do you fight these biases? Because these biases are pretty well-established, and a lot of the cognitive ones are really strong. They're not fake science. I can actually redo them. They've been replicated over and over and over. The solution to the cognitive bias problem, the use of rapid or heuristic thinking, is effortful thought. It's thinking in an effortful and systematic way about whatever decision you're making.
- 3.77** When you're buying that rental house that you're going to invest in, you can fall in love with it and just go, "I love this. I'm going to buy it and make it work." That would be the heuristic measure. It might work; maybe you've got pretty good gut. Or what you could do is do a spreadsheet and come up with some policies and decisions and write down all the data on that and then decide based on that.
- 3.78** That's what real investors do. They analyze or underwrite assets in a very systematic way, and they have a process for doing it. Then, after they've run that process for five years, they go back and they say, "What did we pick? Was that good or bad? Did our process yield good or bad results? And then, do we need to change our process?" That way, if you're very systematic about it, you can see where you're making mistakes and move from there. If you're just using your gut, you can't ever know. You're like, "Dude, my gut was wrong. What do you know?" I'm a gut guy; I'm not judging. Just saying that if you're a pro, you need to be real systematic and effortful to fight the miserly biases.

- 3.79** For negativity bias, there are a few different things. One is, I think, I'm a big believer in taking some risks, not crazy risks like I used to do, but smart risks that aren't going to wipe you out, just to be comfortable taking risk and practicing that. And then, when you build the risk model, plan for failure and put that into your model.
- 3.80** I'll give you an example: I was fly fishing out in the middle of nowhere in Canada before the plague, when we could do that stuff, and one of the girls fishing with me was a financial planner from Oregon. And we're always out there, and there's no news, no radios. You're just in the middle of nowhere. I said, "What happens if the market collapses?" because we've got World War III—that's a theme today. You've noticed World War III— and she goes, "I talk with all my clients and I say, 'Well, markets drop 20% every few years. That could happen when I'm gone. We know that could happen. We planned that that could happen. We're all aware of it, and we have a plan. And if it happens, here's our plan: we're not going to do anything. We're just going to let it happen, and we're going to wait, and it's going to come back because that's how we do things.'"
- 3.81** What you're doing in that case is you're taking a risk, you're having to plan for when the risk goes bad, and you're running the plan. So you talk about the risk ahead of time, and you plan for it. She goes, "My clients don't—" I mean, if you're a financial planner, one of your biggest problems is clients panic out of the market. The market goes bad, they sell everything. A lot of this negativity bias is planning for these setbacks, setting up a system so when they happen, people are comfortable with it because they knew it was going to happen. You're like, "The market's down 20%." I'm like, "Yeah, remember when I told you the market's going to be down 20%? This is what you're built for, man. This is when you get to shine." That, I think, is probably the best way to do it is to plan for it.
- 3.82** The other thing you can do is not look. I hear this advice from a lot of financial advisors: never look at your investments. Just put it in there, follow the plan, don't look. You're just buying it. Don't look because all you're going to do is freak out. What are you going to do? All you're going to do is sell if it's low. That's it. If you're going to hold it for 50 years or 40 years—you start buying it, putting money in your retirement account at 20, you're going to pull it out when you're 70, you're going to hold this money for 50 years, half a century. You don't need to check it every day. You're like, "Okay, I just won't look." I think that works.
- 3.83** For self-enhancement bias—I wrote, "Your ego is not your amigo." That was a note for me, but since you could see my slides, that's always one of my little terms. "Ego is not your amigo." The way you fight ego is with the reality principle. This is the old Freudian idea: reality always wins. I need to be faced with reality. Reality is hard data, record-keeping.
- 3.84** I'll give you a real example: I like to invest; I'm interested in this stuff. I go talk to my accountant, and my accountant goes, "Listen, you can't do this. You're going to lose all

your money. You need to sell that thing." That's called tough love. And I go, "Okay, I will. Sorry. I'm a bad person. I take too many risks." And so sometimes your ego just needs to get its ass kicked by a professional that you respect. Hard data and record keeping— think reality principle. It's good to have an ego, it's good to be creative, it's good to take chances, but always keep that reality there so you can put a check on yourself.

- 3.85** In every case, I always think it's good to have professionals. You get coaches, or financial planners, you're a wealth. Manager, if you're really rich, get a family office just to brag to people that you have a family office, even though you don't know what it is. You get an accountant— I mean, I've got so many people: I've got a shaman, I've got a psychiatrist, I've got everybody working for me. I don't care. It's good to have a team around you because, unchecked, you can get yourself in a lot of trouble, especially with your ego.
- 3.86** Some other key ideas from the decision-making I wanted to go over— one of these is mental accounting. This is a really important idea for how we make sense of our money. In economic terms, money is fungible, which is a fancy way—it means that anybody's money can be exchanged for anyone else's money. My dollars aren't different than your dollars. I get my dollars, they go to you, they go to that guy, they go to that guy, pretty soon, we all have dollars that all have cocaine on them. That's the name: it's fungible.
- 3.87** But in our mind, in our own mind, in our life, our money is not fungible. Money is not fungible. My retirement savings can't be used to go to Mexico on a vacation. My vacation money, if I use that for retirement savings, I'm going to be sad. So what we tend to do is what's called mental accounting, and we bucket or put money into different buckets, and we make it stay there even though it's all in our head.
- 3.88** There's some classic buckets. People often will put money in retirement savings—my retirement bucket. It's hard to get that money, but you put it in that bucket. They'll put some bucket in education savings, especially for your kids, you might have an education account for them. Christmas Club savings account. In the old days, before credit. You'd save before Christmas, you'd start saving for Christmas ahead of time, so you had money. If you want to take a trip, you have a travel account. So you put money in these different accounts, and then you don't move it because even though that money is totally fungible, in your head, it's different. So mental accounting is really important.
- 3.89** Another one of these things is fun money. Sometimes I hear this called found money. If all of a sudden somebody's like, "Dude, you're so cool. Here's like 100 bucks." I'm like, "Sweet. This is free money. I can go buy a steak or take my wife to see a movie if it's still under 100 bucks now," or whatever the thing I can do. It doesn't matter what I do with that money because it's not in a bucket. It's fun money. So this mental accounting is really important for how you structure your financial life. Even though it's all artificial, it's all mental accounting, it works really well.

- 3.90** Another important difference with money is this difference between cash and credit; real money and fake money, that thing. So the form of money is changing. When I was young, everyone had cash, like cash and coins, the coin purses. Now everybody uses credit cards—no, they don't; they all use their phones. I don't even know how to use anything anymore. They touch things and they do things, and I just get angry, and I apologize, and I'm sorry to all those people. But money is changing.
- 3.91** So there's been a lot of research on the difference between using cash for things, "I've got to pull a dollar out of my pocket and give it to you," versus putting things on a card or putting it on credit or charge card or whatever the case is. Generally, people who have a greater savings orientation—the term they use in psychology is personal savings orientation—tend to be more cash-focused. Because working with cash gives you more—you have a little more access of what's going on. They feel money is more a part of their identity. They feel more control. So there does seem to be—cash seems to be associated a little more with people being savers, probably some other associations there.
- 3.92** Credit, on the other hand, is a drug— credit meaning people loaning you money that you have to pay back with interest—that's what I mean by credit. Credit can be like a drug. In the U.S., we had zero interest rates, like I said, for a long time. People went crazy, bought everything. Everyone got rich. Interest rates went up, and everyone's like, "Oh, God, now we're screwed. I can't pay this back." So debt is where people get into a huge amount of trouble.
- 3.93** There's a lot of interesting cultural stuff in this as well. In terms of the payment systems, I know when I talk to my friends, my colleagues—I was talking to a colleague recently from South Korea, and she goes, "Yeah, you know, in Korea, we live in 2050." I thought that was great. They don't use cash. Everything happens with magic electronics. I don't know how. In China, everything's done on the phones now. I haven't been in China in years, but it's all phones now. So a lot of that's changing.
- 3.94** There's cultural differences in debt. In Islam, you can't really have debt. They work around it, but you're not supposed to have it. So there's that. Historically, what cultures would do would have debt Jubilees. So the term Jubilee is when they cancel everybody's debt. So you'd run a system for 25 years and everyone with debt would get out of hand and they'd cancel all the debt, and then they'd do a reset and they'd run the system. So they'd have a Jubilee. Credit is just dangerous. It's like, "Oh, are you sleepy? How about some crystal meth? That'll help." You're like, "It did help the first day or two, and then I became a crazed maniac."
- 3.95** Wrapping this up—how do you make better financial decisions, given this overview of financial decision processing? I think the first thing is understanding financial literacy, building some financial literacy. That's what I was trying to do. Understand money, understand how this stuff works. It's really interesting. It's really fun. I like finance people because they're smart, because in our culture, that's the people who make all

the money— finance people. Smart people go into finance, not academics anymore, which is what I said. But this stuff's really interesting.

- 3.96** Second is you build a plan. So usually having a plan is going to help you from falling into all your distortion and biases. I don't know what that plan is. Buy whatever you want. I'm not giving any advice. Usually, people are buying mutual funds or index funds. The kids like buying crypto, whatever it is. Old people like real estate. You buy something, do it. Use goal setting and mental accounting.
- 3.97** I think mental accounting is really important for managing your own money. If you're like, "Here's my retirement money; I don't touch it." Just use that accounting. Don't just say, "I've got one big pool of money that goes to all— " It's too darn complicated. It's easier to divide stuff up in different ways.
- 3.98** One piece of advice I've heard from almost everybody in personal finance is if you're setting up a goal system, like mental accounting system, is pay yourself first. What they mean by that is if you're working and you get a paycheck, the first money from that paycheck should go into your savings. So pay yourself first into your savings, and then pay everything else. I know it's hard to do, but a way to think about it is the first tranche of money goes into your own retirement, your own savings, and then you spend on other stuff. That's an easy way to budget.
- 3.99** I told you, I'm talking about wealth here, not poverty and stuff. But if you get into the poverty and budgeting, budgeting is really hard. Figuring out every single thing you spend is hard. But if you just save enough first and then don't go under in value, you'll be okay.
- 3.100** Then, finally, I think you need professionals to do this. Like everything else, when we have this capacity, we're not experts. Some of you might be; I'm not. So if we're not experts, we have a little bit of an ego bias, we're fearful, we don't know how to make really good decisions. Ideally, you work with somebody who's a professional: a money manager, wealth manager, accountants, attorneys, psychiatrists, whatever, realtors, everybody—finding really good people you trust to work with can help this stuff.
- 3.101** Just like if you're dealing with problems in a relationship, going to a couples counselor or a pastor or your rabbi or something or talking to somebody who knows what they're doing can help. Any of these things—I think having professionals can help because when we're left to our own devices, making decisions without outside feedback, those distortions can cycle in. If you're looking for professionals, the term fiduciary is always really useful. I'm just throwing that in the course. Look for the term fiduciary. That means they legally have to look out for your own interest, which protects you.
- 3.102** Number four, I always think—we talked about investments, but keeping cash around is really—professionals always say, "Have an emergency fund for six months." I don't know anyone who does, but that would feel really good. Having money around for emergencies really helps you feel good.

- 3.103** Then be patient with this stuff. Let the process happen. Let your investments grow. They do this [makes hand motion showing growth with some ups and downs]. Returns are lumpy, as they say. Markets will do this—like real estate, it'll be like, COVID [shoots hand up sharply] and then it'll be like [drops hand lower] and then [gestures more fluctuations] That's just the nature of markets. They don't just do that [gestures a linear line]. So you have to have a lot of patience.
- 3.104** And then finally, what I always say, is drop the ego when you're dealing with the financial world because you can't win. I promise you, you can't win. The people who invest money professionally are smarter than you, and there's more of them, and they've got entire teams, and their entire job is to beat you. They can make decisions faster than you, their computers work faster than you, and they get data faster than you. Not only that, they're also running computer programs and now AI that's doing all the trading.
- 3.105** My genius little nephew does this for a living and taught me a lot, and he's much smarter than I am. You never beat the pros. You never will beat the pros. The goal isn't to win. Put the ego aside. The goal is to figure out your financial goals and not make super dumb decisions. Try to be reasonable, be patient, be happy, and just let it grow. The end. Thank you.
- 3.106** What has been the best way for you to avoid biases in your life or that you've observed?
- 3.107** I am not good at anything and will not pretend that I have avoided all those biases. What I try to do is surround myself with people I respect and listen to their opinions if I'm screwing stuff up. When I make decisions, I have a psychiatrist I run some of the crazier ideas by in case I'm going insane. I have an accountant I run crazy stuff by. I try to run it by people I respect, so I'm not being totally delusional.
- 3.108** And I fail a lot. I learn by natural consequences. I have a lot of scars from doing dumb things in my life, both mental and physical. That's my approach, but I don't recommend it for people. I take risks, and then I get my butt kicked, and then I take less. It's not the optimal way to do anything, but that's usually what I do. Yeah.

Lecture 4: Attitudes and Assets

At a glance — Financial values, attitudes, and motivation shaping how people handle money.

- 4.1 All right, welcome back. This lecture, lecture four, is going to be on financial values, attitudes, and motivation. We're going to talk about some of the classic psychology of motivation as it applies to wealth and talk about some of the work they do in the field of wealth that's related to motivation and attitudes.
- 4.2 The general finding is that wealth is important for our values, attitudes, and money, and vice versa. So one idea, which I've talked about 45 times already in this course, is that we need wealth to actualize our values or motives or whatever we want in life to reach our goals. So the term actualize, if you hear this term and motivation to self-actualize, it just means to make something real, to make it actual. So wealth is going to help us reach our goals. Just like we said at the beginning, it's a dynamic. So not only are certain attitudes going to help us reach our wealth goals, but wealth is going to influence our attitudes. So it feeds back on each other.
- 4.3 So what I thought I'd do is start with some classic psychology motivation and just link it to wealth. And then I'm going to talk about some of the work on risk tolerance, which is one of the most important variables in the financial world. So if you look at financial psychology, often people ask about risk tolerance. Then talk about where some of these attitudes come from. That's the plan, at least.
- 4.4 In psychology, when we think about motivation, and how does our motivational system work—the oldest model and probably the most common model goes back to a guy named Abraham Maslow, who came up with this famous hierarchy of needs. You always see it presented like a pyramid, even though he never did a pyramid. It's like you ascend this hierarchy to the top and you become a golden eagle or something. Really, what he's saying is there's certain needs that are more basic, certain needs that are more social, and certain needs that are maybe more transhuman, and that those needs need to be met in order. You've got to meet the low-level needs to get to the next level. It's a basic idea.
- 4.5 Imagine a hierarchy of needs. At the bottom of these are basic needs like safety and security: I need a place to live. I need food, I need water. I need shelter. The most basic needs are physiological needs we don't really control, like our heartbeat. But beyond that, it's food, clothing, and shelter. So how does this relate to money? Well, if you ask almost anybody why they're working, if I'm going to work, "Why are you here today?" "Got to pay the mortgage. Got to pay the mortgage. Got to feed the kids. Got to feed the kids." That is the motivation driving a lot of wealth acquisition. It's a very basic motivational system. "I just need my family to survive, and that's what's driving me to do stuff." At a very basic level, lots of wealth acquisition boils down to paying the mortgage. Boring, but that's how it is.

- 4.6 Then, if you move up the hierarchy, you get to what Maslow would call the more psychological needs. These are needs like connection, belongingness, relatedness. I need to connect with people. Beyond that might be, I need a sense of self-esteem, a sense of status, a sense of competence, a sense that I can act effectively in the world, and a need for control power. Maslow didn't talk as much about power, but other motivational researchers did. All those psychological needs can benefit from wealth. You can do better in relationships. You can get some social status, but it's a little complicated.
- 4.7 When you think about it, wealth is good for power because it allows you to control what you want, but it's a little harder to use wealth to get love. I want to have a loving family. I'm like, "Dude, here's a million bucks." You're like, "Well, what am I going to do with this? I can buy a good pair of shoes and maybe attract somebody loving, but it's not enough." Or like, "I want to have a six-pack." I'm like, "Dude, I give you a million bucks, but you've got to do something to get six-pack abs"—not a six-pack of beer. For the million bucks, you get a lot of six-packs of White Claw. But if you want to have six-pack abs, you can't just buy that. I mean, money helps. You can pay for a trainer, and good food, and the drugs they take and stuff, but you can't just fake it. So with the psychological needs, wealth is helping, but it's not going to be enough to get you love in life.
- 4.8 And when I noticed when we had the free money era, five, six years ago, when you could borrow money at zero percent, two, three percent, and everyone was getting rich, what you realized, what you started using as status markers for people wasn't somebody's driving a fancy car because anybody can get rich; money is free. You're like, "God, that person seems like he has a loving family. That's pretty cool. How do I get one of those?" So the status changes a little bit. People get more focused on being fit because you can't buy that as well. So I think this gets interesting, and I wish there were more actual science on this stuff.
- 4.9 When you talk about the higher-level needs—so in Maslow's model, you get through, "I've got my relationships' needs met, I've got my self-esteem needs met, I feel good about myself." What's beyond that? In this model, there are a couple of steps beyond that. One, the high point, at least in the early model, was self-actualization. Again, you become all you can be. So self-actualizing is saying, "I took all the potential I had as a human in this lifespan, and I manifested it into the world." Nobody ever fully self-actualizes except for like Gandhi and Jesus, and I don't know who else. Maybe Oprah self-actualized sometime. But if you read Maslow, he has a list of the self-actualized people, and there's like 12 of them. It's just not something you shoot for.
- 4.10 And then what happens is, and this is later in Maslow's career, so time-wise, once you self-actualize, there's also self-transcendence. So not just, "I can be the fullest Keith I can be," but even for moments, which he sometimes called peak experiences, I can transcend being the best Keith I can be and be something that feels a little more

spiritual. I don't know what that is. I'm not transcendent before you. I'm jittery with caffeine.

- 4.11** So the question I ask, and I don't know if I have a good answer for this, because I haven't seen anyone study this, is: How does wealth affect this more spiritual process, this self-actualization and self-transcendence process? And on one hand, I'm like, "Dude, wealth can help you do your eat, pray, love adventure." If you're like, "I'm going to find myself, I'm going to go meet a guy—I don't know where—Bali. I guess I'm going to go to Bali and meet a guy, or I'm going to go to Tibet and be enlightened or something." You can pay for a plane ticket. So it can help with that part of things.
- 4.12** The challenge with wealth is that it becomes something you're attached to. You're like, "I use my wealth to go to my trip to Bali to become all spiritual. Every morning I wake up and make sure the S&P index is doing okay because I've got to pay for my mushroom omelettes the next—" I shouldn't have said that. Sorry, I apologize. It's a little '70s reference. Sorry. My heroes were like all '70s soul surfers that discovered that. So the money becomes a hindrance in that.
- 4.13** One of the famous passages from the King James Bible is, "And again, I say unto you, it is easier for a camel to go through the eye of a needle than for a rich man to enter into the Kingdom of Heaven." I love that image because I'm like, who came up with the camel and the eye of the needle? Like, what the heck? It's just poetry. It's Matthew. So what they're saying there—I'm not a biblical guy—but my interpretation of that suggests that perhaps being attached to wealth might suggest that it's problematic for spiritual growth. Again, I don't think it's the end of the world or anything, but I think that attachment is an issue that's really interesting. That's the Maslow's idea of the hierarchy of needs.
- 4.14** Another way of dividing motives that's really foundational for understanding motivational theory is dividing motives into intrinsic versus extrinsic motivations, or internal versus external motivations, or motives that come from the self, or motives that come from other people. I'm using different terms. We usually say intrinsic, extrinsic. That's kind of wordy.
- 4.15** What does that mean? Well, something that's intrinsically motivating me is something I do for the sake of doing it. It's something I enjoy, meaning it's something that brings joy or engenders joy into my life: "I enjoy walking my dogs." That's how old I am. I realized I'm approaching 60 when I feel excited, "Hey, guess what? Today I get to walk my dogs. It'll be great. Maybe we'll see that nice doodle around the corner." A little pathetic, but it's okay. That brings me joy. That's intrinsically motivating. I like that. No one has to pay me to do that. No one has to watch me do it. I just do it. I feel good about it. I'll do it tomorrow. Right now. I see dogs walking around. I feel sad.
- 4.16** Extrinsic motivation is motivation that's compelled from the outside— I'm skipping a lot of work examples to stay out of trouble—let's say, "I've got to get up every morning

and feed my dogs. I can't sleep in too late or the dogs will get in trouble." That's kind of extrinsic. I'm doing it, but it's like, "Dude, you've got to get up and feed the dogs." I'd rather sleep in. I don't wake up and go, "Hey, it's so exciting. I get to feed my dogs and do some work." I'm like, "I just got to do it." So things that are extrinsic are coming from the outside.

4.17 When we think about this in wealth terms—and I talk to a good friend who's a financial advisor about this a lot and look at some of the responses people have—when you ask people about wealth, often they tell two different stories. One is wealth is going to give me "freedom to," and the other story they tell is wealth is going to give me "freedom from."

4.18 So the freedom to story is, "This wealth is going to allow me to go surfing in Australia, which would be really cool. I'll take my dogs with me. It will allow me to take my trip to Bali, where I've never been. It will allow me to do lots of good things." I could be generous, too, even. So it's freedom to. It also protects me from freedom from. "God, I don't want to do my taxes. I can pay somebody to do that. Man, I don't want to clean my house; I could hire a cleaning service. It's not that much money. I don't want to work anymore." "Dude, guess what? You don't have to work."

4.19 And so what happens is wealth gives you this freedom in both ways. You can manifest your intrinsic goals and motives, and it also protects you from external sources of control. It can be a bit of a trap. I remember my dad retired, and he was like, "That was the worst six months in my life." He just went back to work. A lot of people get a lot of joy working, and they don't know it because when you walk into the office, people are like, "Hey, Dr. Campbell," and you feel confident and you feel like you know what you're doing. So work isn't as bad as people think it is. But again, the motivational set that wealth allows you to do is both increase intrinsic motivation and defend yourself from more extrinsic motives.

4.20 That's the general motivational theory thinking about wealth. There's also a range of motivational constructs or motivational ideas that people have specifically applied to wealth over the years. I thought I'd highlight a few of those. This isn't the entire litany of these, but I thought I'd highlight a few.

4.21 One of the most interesting, I guess I call this a value, maybe, applied to wealth is called the Protestant work ethic, sometimes shortened to PWE, Protestant work ethic. This is an old idea from the sociologist Max Weber. He came to the U.S., and he was like, "Why does the U.S. work the way it does? Why is it successful? What are some of its problems?" What he found was that people from Protestant backgrounds have a—I don't know if tendency is the right word—have this more likely probability of associating work with godliness. Meaning if I'm working hard and making money, that's doing what God wants me to do. We're aligned. We're like simpatico, God and I, if I'm working.

- 4.22 Now, imagine if that's your ethical system, you're like, "Well, working hard is going to allow me to make money." In the U.S., maybe the classic example—this would be somebody like Benjamin Franklin, who wrote Poor Richard's Almanac. He's a freaking genius beyond geniuses. And discovered electricity, too, and did a few other things. But one of his famous sayings that everyone—maybe they quit teaching this in schools. "Early to bed, early to rise makes a man healthy, wealthy, and wise." That value system right there is, "Hey, go to bed early, don't go out drinking with your friends, wake up, and that's going to help you stay fit." It's going to make you wealthy, and it's going to make you smart. It's going to make you a wise person. So his approach to life is that hard work is aligned with spiritual growth. And so wealth and this positive spiritual performance are going to go together.
- 4.23 The other thing they found in the literature I thought was interesting that I was going to point out is people that report a higher Protestant work ethic are unhappy when they're unemployed. So they feel happier when they're working, and if they lose their job, they feel bad. Now, I'm wired like this. If I'm not working, I feel like I'm just not—thank you, Mom. Thanks, Mom, for instilling this in me that I can never stop. But people, if they're not working, they feel like they're not contributing, and then they start to feel bad. And people—anyway, I can get down into these dark places, when people feel they're not contributing, then they're like, "I'm worthless, then maybe I shouldn't be here, and maybe I should just get out of the picture." You can see how that there's a dark side to this belief system as well.
- 4.24 Some other ones to talk about that are important. One is generosity. So some people make a real effort to be generous. They have a positive value on sharing resources or helping others. Other people tend to be more selfish. Most people are in the middle. Like when I was with my kids, they had to read a book about a rainbow fish in school that was like a communist that gave away everything just so they had friends, and then they had no more scales, but they had friends. I was like, "I should have just read like Marx and Engels," but whatever.
- 4.25 So you go, "Generosity sounds like it would be antithetical to wealth." Somebody who's got a generous spirit is going to be poor because you're giving your rainbow fish scales away to everyone else who didn't work for them, and now you're just a boring fish. But it's a lot more complicated than that because generosity can enhance your social networks. People like generous people. You're like, "Hey, I'll pick up that coffee. I'll pay for this. Hey, I'll give you a ride. Hey, I'll help you out with your stuff." People are like, "Yeah, I like that person. They're a generous-hearted person." So generosity makes people like you.
- 4.26 Now, on one hand, you go, "Well, maybe that just means you're going to have people exploiting you like rainbow fish and just stealing all your scales." But the way people are wired is that we have this really strong norm of reciprocity. The norm of reciprocity is essentially that if someone does a favor for me or helps me in some way, I feel

compelled to help them back to equalize the scales. Somebody helps me, I feel a little bit indebted, and I want to equalize the scales. This is such a hard-wired human drive or motivation that you see it all over the place. In psychology, I think my favorite story of the norm of reciprocity is the work by Robert Cialdini, a famous social psychologist, who wrote a book called *Influence*. If you're in sales, I highly recommend it. It's dated a little bit, but I'm dated, too. So work with me on this.

- 4.27 One of his examples he gave for fundraising using the norm of reciprocity and using the appearance of generosity to raise money was the Hare Krishnas in airports. Now, for the young folks in here, you're like, "Airports are security zones where everyone just takes your stuff and makes you feel inhuman like cattle, and it sucks and everything's expensive." I'm like, "They are." But in the old days, airports were fun and you could walk around and no one was trying to do anything to you.
- 4.28 Airports would often have a group called the Hare Krishnas that were a— still are. They had a big headquarters in Laguna when I grew up. They're a derivative of a Vedic faith, worshipping Krishna in the U.S. And one way they would do a lot of fundraising is they would do is they'd offer you a flower. So very much, "Would you like a flower?" And they'd hand you a little flower and you'd say, "Hey, thanks." And then they'd say, "Would you care to make a donation?" And you'd be like, "Darn it, I have to. You just gave me this flower." So they used to do this at airports a lot.
- 4.29 So Cialdini went to one of the airports to watch this happen, and he watched the Krishnas were giving flowers. People would take the flower, give them a dollar. They'd walk down the hall, and they'd be like, "What the hell am I doing with this flower?" And they'd throw it in the trash. It's sad, right? And so what would happen is after 40 minutes or whatever of fundraising, Krishnas would go have a cigarette break—because we were a proper country back then. You could light up a cigarette—and then they'd go to the trash can and they'd pull all the flowers out, and reload the flowers out of the trash can, and start handing them out again. Just got that nicotine rush going.
- 4.30 They were using the norm of reciprocity to make money. Lots of people do this. Easter Seals, another company that does that. Some people send you return address labels and ask for donations. You go to stores, they'll give you, "Hey, would you like some tea?" If you're shopping for carpets in Asia, "Here's some tea." And you're like, "I feel like I owe you something."
- 4.31 Reciprocity is particularly important—it's a little wonky here, but it's particularly important because of the division of labor. I can be generous with things I'm good at. I know a lot about personality psychology. That's maybe not useful to most people, but I can help people with that. Other people know things that are useful— they know how computers work, or they know how to use an email or something, and they can help me with that.

- 4.32 So what happens is I go help people with personality psychology, and they go, "Man, thanks so much for helping me." Which was really easy because I'm an expert. "Hey, I owe you one. Can I help you with your computer?" I'm like, "Oh, thank God. I can't figure out this computer thing." And they go, "Well, that's easy for me. I'm an expert." What happens with reciprocity is that we start sharing our resources over time, and everybody grows from it. Reciprocity is foundational to a lot of how our economy works. A lot of it's just giving back and forth plus expertise.
- 4.33 The idea is—I guess it's a very long way of saying: generosity seems like it would be something that would work against wealth, but in a paradoxical way, generosity can flow back to the self because we live in a social world and generosity is social.
- 4.34 On the other side of generosity, we have greed. And people are looking at this—I was looking through the greed literature, seeing if there's something interesting because fear and greed are foundational motivations when you're talking about money. And there's been writing on what's called greed syndrome, which I thought was a great thing to be—"Hey, Keith, how are you doing? I think you've got greed syndrome. We have a pill for that."
- 4.35 So greed syndrome is an insatiable desire to acquire more. When I read this, I think about the hungry ghosts in the Buddhist realms that want to eat, but their throats are too small to eat, so they're always starving. So greed is—you can't really fill it up.
- 4.36 Now, keeping with my '80s theme, if you remember the movie Wall Street with Michael Douglas—his whole pitch was, "Greed is good." That was his pitch to the young finance bros. "Greed is good. Go make money. Greed is good." It's not really good. Greed really isn't good. It turns out that when you end up being too greedy, you end up with greed syndrome. The greed becomes insatiable.
- 4.37 You can never have enough. And you can never have enough stuff. You can never fill that hole with stuff. I've never met anyone that goes, "Hey, I finished. I got my last thing. I'm done filling the hole in my soul with stuff, and it worked." I've never met that person. So it's insatiable. It makes you unhappy because you always feel there's something that needs to be fed. And nobody likes you. Because instead of being generous, you're greedy and trying to steal their rainbow scales off them because you want them.
- 4.38 And the final thing is, with greed, you take big risks. So you get greedy, you go, I'm going to make this investment, and people are like, "Dude, the market's getting a little hot right now. Maybe you've got to slow down. You're like, "Come on, man, I'm going to double down." And then you get crushed. There's an old finance saying. People say it. I don't say it because I'm not a finance bro. But if I was, I would say this every day to my kids. "Pigs get fat, hogs get slaughtered." I always liked that saying because it's a golden mean. It's like it's okay to be a little greedy. Make some money, nothing wrong

with that. But if you become a hog, you're getting slaughtered. Be a little greedy, but don't go full greed syndrome. I think that's an interesting attitude for wealth.

- 4.39 Okay, risk tolerance and the capacity to cope with risk. When you look at how psychology has been injected into modern finance and wealth management, I think the most important variable that people have been most interested in, the psychological variable, is risk tolerance. The federal government knows about this. There's legal aspects, I'm asking people about the risk tolerance if I'm going to manage their money. It's an important variable.
- 4.40 What does this mean? Well, financial risk is a description of a person's willingness to take part in a behavior in which one or more of the outcomes are both uncertain and potentially negative. There's a quote from John Grable, who's the grandfather of financial risk and a good guy. What that means is you're doing a behavior in which one or more outcomes—so you're investing in a stock, you're buying a house, you're buying some bonds, whatever you're investing in—the outcomes are uncertain. I don't know if it's going to go up or down, it's a risky investment, and it's potentially negative. You could lose money.
- 4.41 If I go invest in any stock market right now, anywhere in the world, I go, "I'm going to go buy a bunch of stocks in the London market." I don't know what they call that. I could go buy those. That's a risky— I'm taking financial risk because that's uncertain, and it could go down. I have no idea at all.
- 4.42 When you bring that financial risk into psychology, that becomes known as financial risk tolerance. That is "the ability to psychologically tolerate financial risk." It means I, psychologically, can handle taking risk in an asset, watching it go up and down, and I won't panic. I have this tolerance for risk. Also a little bit, sometimes people talk about risk preference. It's included in this as well as you'll see.
- 4.43 Generally, what you find is that people who are higher in risk tolerance in the investing world end up doing better over time because if you can take higher risks and hold them for longer periods of time, generally, you end up making more money. High risk tolerance is generally good for investing. But again, there's a potential for downside. It's risk. It's not assured, it's not guaranteed. That's the idea of risk tolerance.
- 4.44 Now, risk tolerance has some issues. So lots of people go, "Risk tolerance, I don't know about it." One issue they talk about a lot in the financial world is that individual risk tolerance seems to go up and down with markets. Remember when we first talked about market psychology? When markets are hot, everyone's into it, people are like, "Yeah, I'm going to take that risk. I'm going to buy that crypto Beanie Baby coin. It's got a picture of a Beanie Baby worth a million dollars. I don't know why, but it sounds good. Everyone's doing it." So when the markets go up, risk tolerance goes up, and when markets go down, market psychology starts to go down, and risk tolerance goes down.

So some people are like—everyone's like, "Yeah, I got a lot of risk tolerance," till they hit a bear market and then they panic.

- 4.45 So one argument is that this isn't really a good predictor because everybody's—like Mike Tyson—everyone's got a plan till they get punched in the face. Everyone's got risk tolerance till they hit a bear market, and then they've just become a baby. That's true, but not true, because even when markets go down, the people with higher risk tolerance are usually more tolerant of it. I don't think it's quite as bad, but that's a concern.
- 4.46 The other concern, and I think this one is really reasonable, is that lots and lots of people lack the financial literacy that you all have to know their risk tolerance. They just don't really know how much risk they can tolerate because they've never had to do it. Somebody goes, "How are you going to act in a bear market?" You're like, "I don't know what a bear market is. How would I know? I've never been through a bear market." There's a lack of financial experience. People haven't been through a down market with things, and so they don't really know how to report their own risk tolerance because they don't know it. Those are a couple of the issues.
- 4.47 In terms of measuring risk tolerance, there's a few different ways to do it. There's many scales. They tend to correlate. Some are better than others. The John Grable Scale I'll talk about, I think, is the gold standard. I'll give you a couple of versions.
- 4.48 The first, this is a risk-tolerant single-item question from the survey of consumer finances. This is a big sociological economic measure you'd use: "Which of the following statements on this page comes closest to the amount of financial risks that you're willing to take when you save or make investments? One: take substantial financial risk, expecting to earn substantial returns. Two: take above-average financial risks, expecting to earn above-average returns. Three: take average financial risks, expecting to earn average returns. And four: not willing to take any financial risks."
- 4.49 That's the question. So on one hand, you go, "I don't really—" I mean, I wanted to go, "Yeah, I can see a difference. If I say I'm not willing to take risks or I'm willing to take risk, that's different. But I'm not really sure what a substantial risk is versus an above-average risk." Then they're assuming here that these risks are going to also correlate with higher returns. So the model people are using when they're making these decisions is: more risk equals more return. Really, more risk equals more potential return because it's risk. But people are generally thinking higher risk, higher return. That's how the market's wired. That's a single-item survey. Somebody could look at that and go, "I'm in the middle. I'll take average risk, average return, whatever. I don't know."
- 4.50 This is an item from John Grable's scale. What he did in his measure was, instead of asking people only about financial decisions, since most people don't have enough experience, he would ask more general questions, trying to capture risk. Here's an

example item: "You're on a TV game show and can choose one of the following, which would you take? A thousand dollars in cash, a 50% chance of winning \$5,000, a 25% chance of winning \$10,000, or a 5% chance of winning \$100,000?"

- 4.51** That's actually kind of a good—I like that measure of risk. It's interesting because the way that item is written, a thousand bucks is worth \$1,000. 50% chance of winning \$5,000. What's the expected value of that? Meaning if I had 100 people do this, that really means \$2,500 of 50% of 5,000, 2,500. 25% of 10,000 is the exact same. Its expected value is \$2,500. If 100 people took a 25% chance at \$10,000, they'd average at \$2,500. 5% chance of winning \$100,000 is \$5,000 expected value. So if 100 people took that, they'd average about \$5,000. So the best expected value of all those wagers is to go for the 5% of \$100,000. That's the best. If everyone had to pick, if we had 100 people pick and 100 people got to roll the dice, that's what we'd pick.
- 4.52** In real life, though, it's hard. And that's why this is measuring risk tolerance, because there's individual differences here. Some people are like, "Just give me the thousand bucks." And some people are like, "Yeah, I feel good at the 50%. That seems like pretty good odds." I mean, I'd be like, "25% sounds good." And then you get the few people that are like, just put down the three Red Bulls in the back room. And they're like, "Man, dude, I'm rolling those dice. I'm going for the 100K." People are different. Just people are different.
- 4.53** So that's the idea of financial risk tolerance. And risk tolerance to me is a psychological variable. It's a psychoeconomic variable. It's an interesting variable, but it's measuring something that's related to extraversion—I'll talk about personality next, but you'll see it's linked to things like extraversion.
- 4.54** Another variable that's really important—and this is in the financial planner world— is not just your tolerance for risk, but also your capacity for risk. Can you handle the risk? Financial risk capacity is the economic ability to withstand financial losses. If you're like, "Hey, I'd like to invest in your new cryptocurrency, sir." You're like, "Great." You're like, "I've got \$1000. I was going to use this to buy my grandma medical care, but I'm going to invest in your new crypto coin because I think that's going to be great."
- 4.55** Now, I would suggest that's not a great thing to do because that person doesn't have the capacity to take that risk. They have \$1,000 for grandma's medicine, and they should keep that money in the bank until they go buy that medicine. But if your buddy rolls in in his Lambo and he's like, "Dude, I've got this extra thousand. I'm going to take a flyer on your new meme coin, the new Keith coin." I'm like, "Dude, why not? Let's just have some fun." This "investment" is like the equivalent of rolling dice on the table. In its experience, it's fun.
- 4.56** So somebody with very high risk capacity can take financial risk and not get crushed. Somebody with low risk capacity can. When you do this, you're always wondering. In investing, they're always asking, "Do you have a cash reserve?" If you don't have any

reserves, maybe you don't want to be risking everything you have until you've got some savings just in case you're young.

- 4.57** Another variable that financial advisors, wealth planners, wealth managers are really interested in is age. If you're 20—I'm talking to a 21-year-old who just graduated from college, I'm like, "Who depends on you?" "Nobody." "What do you've got to worry about?" "Nothing." I'm like, "Dude, get on the first boat to China and start having fun. Start risking stuff. Go for it. Live your life. Build a fortune. Build a castle. Start a country somewhere. Take over an island. I don't know. That's what I'd do. I'd be 20. I'd love to take over a little island. Everyone's dying off. Why not? I'd have my own kingdom. But that's for 20-year-olds, right?"
- 4.58** Same guy comes in, he's like, "Man, I'm 60. I've got my kids. I'm putting them through college right now. My wife depends on me. But I really want to join this island adventure and start a new country with you." I'm like, "You know what? You're a little old. You're a little close to retirement. You've got people depending on you. Maybe keep working for Walmart. Just ride that baby out till you get that. Just ride that out till you get your pension. That's it. You'll just wait. Then you can go on your island adventure."
- 4.59** So generally—the general model is, risk is for the young, and when you get older, you de-risk. So when you invest— again, this isn't a course on investing, but if you look into it, whenever they model, suggest investments for older people, it's less stocks. It's more bonds. For younger people, it's more stocks. It's typically what they do. I get emails from my retirement account about every couple of months, like, "You're way too risky. You're going to blow up and sell." And I just laugh. Because in my mind, I'm not investing for me. I'm investing for my kids. So my time horizon is like 100 years. I'm investing for my grandkids. I don't even have them. I'm investing for infinity.
- 4.60** And so any one of these—any of these things: lacking resources, having responsibilities—that's going to lower your risk capacity. So generally, if someone is going to engage in high-risk investing, and lots of investing is high risk, and they're not going to diversify appropriately to diversify out the risk, you need to have somebody who's high in risk tolerance. They can psychologically— they can handle it, they're into it, and they also need to have the capacity to handle the risk. They just need to have the financial resources and not have a life that, if they blow up, it's going to bring down their whole family, because you don't want that to happen. Those are some of the basic psych attitudes, the classic risk tolerance measure—which, again, this is the most important variable you'll see attitude measured in the financial world.
- 4.61** Now, I'm going to I'm going to talk a little bit about some stuff from financial therapy. I'm just going to touch on some financial therapy because these are the people that are in the trenches working with people all the time. This is a model of money attitudes. This is by Brad Klontz, and I talked about some of his work in an earlier lecture. This is called the Klontz Money Script Inventory. This is basically looking at investment clients

and seeing how they conceptualize money, what their attitude is about money. The reason it's called a script is that—it's not technically a script. A script is usually an action sequence of behaviors, but it's something that's innate.

- 4.62 The first one they talk about is money avoidance. I'll give you examples from—this is a questionnaire. I'll give you questionnaire samples to help you make sense. "Money avoidance: the belief that money is bad and anxiety-provoking, fear-inducing, and associated with feelings of disgust. Money avoiders often feel as if they do not deserve money." This is a straight-up real thing. People think money's bad. This is more common than you think. And money is dirty; there's lots of associations with money being dirty. "I don't want your dirty money. I don't want your blood money."
- 4.63 I can get Freudian psychoanalytic on this, but I won't. I won't. Yes, I will. What the heck? So if you go back to old-school Freud, money is associated with feces, and wealth is associated with feces when you're young, and people who are anal retentive are like, "I'm holding my wealth," and that's linked to conscientiousness when we talk about that next time. I'm getting a little weird. It's so weird, this association, that sometimes people will rob homes and—I don't know how to say this—have a bowel movement in the house after they rob it and leave. And you're like, "Why are people doing that?" The Freudian explanation: it's an exchange. I stole your money; I left you my money. This is weird. Okay, I didn't mean I didn't need to go— I wasn't going to go psychoanalytic but what the heck? That stuff is all getting forgotten. It's time to bring it back.
- 4.64 So this is just like an unconscious—that's where people with money are washing their hands. Money's dirty to people. So some people don't want it around. They don't want to touch it. They don't want it. They don't want to deal with it. They don't like it. So it's money avoidance. Now, you can imagine this isn't a good attitude for getting rich, unless you're a king or something. I see those kings— they never have wallets. I never see Prince Charles or King Charles grab for his wallet. You know, "I got this, bros." There's always someone else. Too good to touch this stuff. So you have money avoidance.
- 4.65 A flip side of that is money worship. An example item: the belief that more money will make things better. So instead of seeing money as something to avoid, it's seeing money as a bit of a savior. That money, if I just had money—and believe me, this is a story I've told myself for 59 years—"God, if I just had enough money, then I'd be happy and everything would be good, and I'd brush my teeth better or floss." Dude. But it's a belief—and not that money doesn't make you a little happier, because it does make you a little happier. It does make you a little better, but it's not a panacea for anything. No one's ever like, "Yeah, I was—" well, sometimes it is. If you have a really sick kid or you've got to pay for the medicine for grandma, it could be a panacea. But otherwise, money is not going to fix anything. But people get to the point, "Well, it's going to be the solution. What I really need to do is have more money."

- 4.66 Next is money status. This makes sense. This is equating net worth with human worth or personal worth or self-esteem. "An item equates net worth with self-worth and espouses a materialistic competitive worldview." I love that term— I'm telling a story. I'm in a story of mood now.
- 4.67 I was fishing in Kamchatka way back in the '90s after the Soviet collapse. That was when I had a higher risk capacity back then. And one of the guys— I won't tell his name, he's passed away now—he was a very successful finance guy. And his term for things were competitive. That's how he would label things. He'd be like, "That hat is competitive." That's how he would talk about everything. And I loved it because he was such an ego guy and so materialistic. He was a big game hunter. He'd go and shoot polar bears and put them in his office. It was so funny because I really liked him. He was a great guy to be around. But it was that very materialistic, competitive worldview.
- 4.68 And it's not a view that makes you love people necessarily. It's not a view that makes you warm and cuddly. It's a different lifestyle, but certain people have their status very much lined up with money. Since I'm telling stories, when he passed away a few years ago, my parents were at the funeral and said that a lot of the discussion was about our fishing trip to Russia because that was one of the few times he wasn't rich and in control of everything. At one point, we're over there, and he was like, "God, you know what I'm going to do? I might just stay here. He's like, "I'm writing my wife a note that says—" No, we were supposed to write his wife and say, "So-and-so passed away. His last wishes were to be buried in his Mercedes with a trunk load of cash. Please ship it to Siberia." Anyway, so that's a money status, competitive worldview.
- 4.69 I'll tell one more since I'm telling fishing stories. My risk capacity story was fishing with my dad, and we were in New Zealand on the Rangitaiki River, which is about one of the most beautiful of the fly fishing rivers on the North Island. You can imagine. And we were going down to fish the fifth—we were on the fifth hole we were going to. So we were climbing up these New Zealand cliffs, and we were wearing—when you fly fish, you wear felt-soled shoes. Your shoes' bottoms are felt, so they're not very good for hiking. And we're climbing up these trees, and I look at my dad, and we're hanging down. And he looks at me and goes, "I have kids, you have kids. We have to go back." I was like, "Fuck, you're right." And we climbed back down, and that was it. And that's when I stopped being risk-taking. That was my story. Thank you.
- 4.70 So the last on this Klontz list—but again, that's risk capacity. And you only get so much. When you've got family, you've got to dial the risk back. It's just the way it is. You don't have to. I'm not telling anybody what to do, but sometimes it's wise.
- 4.71 The last is money vigilance. This is a little more negative, too. You see money as "a source of shame and secrecy, intend to view money with alertness, watchfulness, concern, and with an attitude of pending trouble or danger." So money vigilance is what happens when people get some wealth, and that wealth is what's keeping them feeling good about themselves, and they go, "I've got to hoard this. I've got to keep it."

- 4.72 So what they're doing is focusing on protecting their money. They're looking at it all the time. It's a very tight and controlling attitude towards wealth. It's not going to make you feel good. It's not 1830 and Billy the Kid—I guess he wouldn't rob me because I don't know—but it's not like we're getting robbed at our house with our money. It's not like you're home with your six shooters. You've got to watch your gold coins. I mean, your money is in an account at some big firm. You're looking on your app. No one's going to—they can't steal your app. They don't get the money. So this is an understandable way to be because wealth is really important and people get some and they want to keep it, but you can see the problem is you become acquisitive and tight, and it takes up a lot of your energy.
- 4.73 Those are some of the attitudes from financial therapy. They're a little positive or negative, but really on both sides. Where do these financial attitudes and values come from? Where do they come from in life? A lot of how we end up is inherited from our parents. So lots of things are heritable. A lot of it is genetics. Genetics plus parenting together is pretty powerful.
- 4.74 A lot of how we're born is just how we're wired. I'm wired like lots of people in my family. My wife's wired like people in her family. My kids are wired like my wife and I in different ways. So a lot of us, we come from the box a certain way. Anyone who has a couple of kids—you have one kid, you think you're in charge, you have two, and you go, "Oh, my God, these things come preinstalled with software." A lot of it is inherited.
- 4.75 Some comes out of what we learn in childhood. We get exposed to wealth or dealing with money or dealing with finances in childhood. Often what you see, people have these important financial memories or money memories. Sometimes we talk about things as flashbulb memories if they're really powerful. Where were you in 9/11? People often remember that or when the space shuttle Challenger blew up. People sometimes remember those. Those are flashbulb moments. Sometimes people have flashbulbs involving money, and those can be good or bad either way.
- 4.76 So my grandmother lived in Brentwood. She's very wealthy, but she grew up—survived the Depression. And she was so worried that there was going to be a Depression again. She was the cheapest person I've ever met. And I say this with the most love. She was very generous to me. But when I grew up, she still had the blackout curtains on her windows from World War II because she was waiting for the Japanese to bomb, because the Japanese were threatening to bomb L.A. You don't remember the story, but she still had those curtains on her windows just in case we got World War III and they were coming back. She didn't want to spend the money on more curtains. I'm like, "You live next to Steven Spielberg or something." But because you grew up in the Depression, people were just really concerned with money, which makes perfect sense.
- 4.77 Other people grow up, and they have these memories of the Great Financial Crisis. When I talk to my students, a lot of their money memories, "My family almost lost

everything in the financial crisis." It was a Great Depression, too. That becomes a money memory for people.

- 4.78 Money memories can be positive, too. A lot of people report, "I remember I got a job, I got my first paycheck, and I felt such a sense of pride. Or I made some money and I was able to buy this thing that my mom wanted, and I felt like I was contributing. And boom, a light went on, and that's how I've approached money." So these early memories seem to be important in people's stories, which I'll talk about in a second.
- 4.79 The next thing that's really important are early financial role models. Who did you learn money from? Did you have positive role models? Did you have negative role models? I spent a lot of time, like I said, a lot of time with my Uncle Bill fishing. We'd talk about real estate all the time. He was always a role model for me. I'm like, "What he's doing, he's a smart guy. He understands this stuff. I'll try to be like Uncle Bill." I wear these shoes because Uncle Bill gave me these Dansko shoes in the '80s, so we could fly fish and take our shoes off fast and put our waders on. I still wear them because I love Uncle Bill. That'd be a positive role model. Lots of people don't get positive financial role models. I was very fortunate.
- 4.80 You can also have negative role models: people who lose all their money, make terrible decisions. For whatever reason, my role model wasn't really a role model; a negative role model was a guy that used to work in my dad's office. His job was watching the parking deck, and he was probably my age now, and he'd have an earbud in one ear, and he'd sit there all day watching the parking deck. I thought that was the loneliest, saddest—I mean, it's making me want to cry. I should have hugged the guy. Instead of every time I walk by him, I'm like, "I'm not going to be like you." I should have just given him a hug. I'm like, "Bro, bring it in." I wasn't that mature at that time. But that, to me, was a negative role model. So you can have positive or negative.
- 4.81 As this happens in childhood, we end up developing a story. We come up with stories. So part of adolescence—you hit adolescence, you become a person—you're no longer a kid—you become an adult, and part of being an adult is you have a narrative. You're like, "Here's who Keith is. Here's my story of my life." And there's many narrative structures we have, but our financial narratives are going to set us up through life, and they can be more positive, and they can be more negative. You can have these, simply, "I'm good with money. I grew up with it. I feel comfortable with it. I'm good. I was running the accounting at my mom's store since I've been six years old, and I feel real comfortable with this stuff. That's my story." That's great.
- 4.82 It could be the Horatio Alger story. One of the stories we really like in America— not as popular in Europe, but it's the School of Hard Knocks story. It's like, "Yeah, I came here, I had three cents in my pocket. I started out fighting hobos on the street for spare change—" The guy that drove me over here today, he was like, "Yeah, I came to this country. I started working a Jack in the Box. And then I started doing this. I got a family." I'm crying. I'm like, "This is freaking awesome." I'm waving American flags in

the back. I wasn't really, but I felt that way. So it's that Comeback Kid story. It's the Horatio Alger. It's the rags to riches story. So that narrative can be a really powerful narrative for people.

- 4.83** You could have a tragic story. "My family, we're just bad with money. My dad had all this money, and then he just made this bad decision and lost it drinking, and my mom made these bad decisions, and then my uncle made these bad investments. Our family's cursed, and I'm going to have to survive, and I'm never going to do well." Those are all different narratives you can tell yourself. People are always telling themselves financial stories. They're always telling themselves stories about how they relate to wealth.
- 4.84** If you're interested in changing your attitude towards wealth, one way to do that is to change the story you're telling yourself. If the story is a negative story, the story is, "I can't do it, I'm cursed, my family's cursed," that's probably not a great story. Maybe you want to think of a more positive story, like, "My family was cursed, but that gave me the opportunity to change the family. I'm going to be the one person in my family line that changes it, and after that, everything is going to be better. God put me here to change my family. I am so grateful to have this opportunity to try to make it work." You can tell yourself different stories.
- 4.85** In conclusion, for values, meanings, and motives, wealth has a wide range of meaning and values for people. It's associated with lots of values and meanings. These can be positive or negative. Wealth is one of these very interesting things for some people, like, "This is just bad news. I don't want anything to do with it." Other people are like, "This is literally what's going to save my life is getting money, and that's going to get me out of a jam." So very diverse views of wealth, which is pretty interesting.
- 4.86** I tend to think, in everything in life—I think the golden mean, to use Aristotle's term, or the middle path in the Buddhist terms, whatever, the middle way—finding some balance is usually the right answer. That's my bias to life. So I think there's probably some golden mean between seeing money as a savior and money as a curse. Because money is not going to make you happy. But it's not going to destroy your life either.
- 4.87** Probably somewhere in the middle is like, money—and this is a thing—money as a tool. I can use money, I can use my wealth to get things I want done to help people, but I'm not going to get attached to it because I don't have it, I can still make it and it's not going to destroy me. So something like that is a good way to think about it.
- 4.88** My accountant, who usually kicks my butt, he's a "woo" guy. He shouldn't be an accountant. He doesn't have the personality for an accountant, but he's very good at it. He always says, "Don't get too attached to money. If you get attached to it, it starts to freak you out a little bit." He says, "Let it flow." I don't know what that means, but I always tell, "Let it flow, man. Just let it flow." It'll go, it'll come back. Sorry, I'm "woo."

- 4.89 Finally, I think really important is finding good role models for everything you do, especially for young people. I talked about finances with my girls all the time. Poor girls. They grew up like—I remember driving my daughter, I'm talking about the Japanese bond market. She's like, "Dad, you're a dork." But I did it because I was like, "At least you're going to know this stuff." Try to find good models for these things and figure out the story you're telling yourself and try to make it a positive story.
- 4.90 If you're in that position where you're like, "Money is going to destroy me. It's evil." That's where you maybe talk to financial therapist or something to try to work it out a little better because it's going to make it hard for you to succeed, unfortunately. But anyway, that's it. Thanks very much.
- 4.91 I wanted to talk about money avoidance, how you were ending on how—I'm a second-generation immigrant from Iran, and my dad came here, like the American dream, rags to riches thing. I've always struggled with the idea of having awareness of capitalist systems and understanding how they work, and how they can also be used in ways to be in politics and the power that they have. For me, I've always struggled with this.
- 4.92 How do you or what would you say to someone who is struggling to reconcile the brutality of capitalism and the way it's structured and still find motivation to engage with that part of capitalism with how money is? I'm in a point where I'm a teacher, like you were talking about that teachers don't like money. I don't like money either. I've chosen my career path as a teacher because I feel like I can reconcile being a part of a capitalist society by making money doing this type of work because I can live with myself a little better. But I still struggle with it every day. What advice would you give to somebody who might be struggling with something like that?
- 4.93 That's a really good example of the struggle with this stuff. So thanks for sharing. I don't know because some of these questions involve economic systems which are beyond me. I say capitalism is pretty—I mean, the consumer capitalism is freaking gnarly. I remember visiting China in the '80s, and it wasn't that awesome either. It's not like—I remember going to Eastern Europe in the '80s, and I was like, "That doesn't seem like a home run either." I don't know who's got it figured out. It's hard to say one system's bad and one system's good because they all have strengths and weaknesses.
- 4.94 My feeling is that—I mean, just listen to you. You're like, "I want to go on this path where I can help young people have better lives. I think the system is a little bit dark. It's not really great for these kids." Like, dude, what are you going to do about it? You can't control the system. You can control yourself. You can control the people you help, and you can use finances to get you where you need to go. You don't have to love them. You don't have to think they're going to help you. They're a tool to help you get those needs met and help those kids, which is what gives you a sense of value and meaning. So I think you can do that.

4.95 I mean, in terms of the system, what do you do? It's bigger than me. And I don't know. Sorry, this is a bad answer, but I'm just not sure. I think there's things like, "God, give me the wisdom to control what I can control and the serenity to let the rest of the stuff roll off my back like a duck." And I think that's maybe a way to think about it. Again, this system is gnarly. I talk to young people. This world is hard. It was easier 30, 40 years ago. It's a hard life. I don't think if I were living in—one of my Chinese friends were like, "Dude, we're coming here because it's harder over there." So I don't think it's—the competition there is brutal. So we're not the worst. And you could move to Europe. You can put life on easy mode a little bit. Move to Australia or something where it's a little less. But this is hard. I don't think— there isn't a perfect thing anywhere that I know of. Thanks, guys.

Lecture 5: Traits for Success

At a glance — Personality traits associated with financial success.

- 5.1 All right, welcome back. What you've noticed—I think you've picked up on the plan here: we started off talking about emotions like happiness, then we went to basic decision making, then we moved up the chain to attitudes and motivations, and now I'm moving up a little higher and talking about personality and wealth, so personality structure.
- 5.2 What is personality? Well, a personality trait is defined as "a consistent pattern of thoughts, feelings, and behaviors across time and situations." It has to do with consistency. For example, I'm pretty extraverted. I'm extraverted now. If you met me a year ago, you'd be like, "You're pretty extraverted." Hopefully, next year, I will be extraverted.
- 5.3 I'm extraverted here because I'm doing a little bit of an edutainment performance, so that makes me extraverted, so it's socially appropriate. The last time I was at a funeral, I was chatting it up with the funeral director and asking him how funerals worked and stuff. That was a problem with my extraversion. That's the nature of it. It's about consistency across time and situations. Even though we moderate ourselves in situations, unless we have personality disorders, which is another topic, it's about consistency.
- 5.4 There are potentially thousands of personality traits we could study in the world because every adjective that we use to describe a human behavior, a human, could be considered a trait. I could study creativity, creative people. I could study compassion or compassionate people. I could study gratitude, like some examples I've done, grateful people or the grateful disposition, they call it in research, different things like that. I was thinking this morning— colorful people. I could spend my whole career defining what's a colorful personality. There's lots of things we can do.
- 5.5 The problem is there's thousands of little personality models we could do. What we really want, or one thing that's really helpful when we do the science of personality, is to build a broader general personality model. This is like a broader model of personality that captures most of these single personality adjectives or traits that you can think of.
- 5.6 A general personality model is like, "Hey, we've got these four different or five different or six different personality factors, and we're going to put you on each of those like a map." The general personality models that most people are familiar with, because they run into these at work or they read about them in the books, are things like the Myers-Briggs Type Inventory that says you're an extraverted, intuitive, thinking, perceiving person or an INTJ or INTP, things like that. This system comes out of Carl Jung's idea. It's really an interesting system. It's not really good for academic work.

- 5.7** Another general personality model you might have run into in the business world is called the DISC. People love this in the business world; we don't use it a lot academically. In the academic world, in the personality psychology world, the model that we use the most is called the Big Five or Five-Factor Model or OCEAN, because the first letter of each of the Big Five traits spells OCEAN.
- 5.8** The Big Five—it's not like God made the Big Five and then created everyone else. It's a model we use to group or bucket traits. We have all these thousands of traits. We want to group them together. Some people are like, "Yeah, five is not enough. We need six or seven." I'm like, "That's cool." Other people are like, "How about a Big Two model?" I'm like, "You can do that, too. That's cool, too." Again, it's not written in stone, but it's a very useful model. It's been used, I think, in literally millions of studies, maybe hundreds of thousands of studies. This is probably the best place to start if you just want to understand how general personality relates to wealth.
- 5.9** What are these Big Five traits or OCEAN traits? I'll describe these, and then I'm going to go through some of the wealth stuff. The first is openness to experience, which is the O in OCEAN. Openness to experience is a combination of artistic interest, aesthetic sensitivity, creativity, imagination, and interest in complex ideas. So openness captures the more philosophical mindedness. It also captures more artistic mindedness or weirdness, if you want to think about it that way.
- 5.10** The opposite of openness is more conventionally minded. We'll typically say somebody's high in openness or they're high in conventional mindedness. All of these Big Five traits have a positive pole and a negative pole. The positive one is the one it's named after, and then there's the opposite of it. So, openness, maybe the opposite would be conventional-minded.
- 5.11** The C would be conscientiousness. Conscientiousness is a combination of industriousness or work ethic, organizational abilities, deliberation, thinking well, and responsibility-taking. So people who are conscientious are able to set goals, follow rules, keep things in order— it's basically pretty good for maintaining order in things. The opposite pole of conscientiousness would be maybe called impulsivity. So if you called somebody impulsive, that would be the opposite of calling them conscientious.
- 5.12** O-C-E—the E is for extraversion. Extraversion is a term originally developed by a psychologist—a psychiatrist, I guess—Carl Jung. Most of us think of somebody who is extraverted as somebody who's highly social. And sociability is a big part of extraversion. It also captures things like energy level and assertiveness. People who are extroverts tend to be assertive, they tend to rise in leadership. I run into many people in the leadership world that are like, "I'm not extraverted because I don't like going to cocktail parties. I just like running a big company and telling people what to do." I'm like, "Dude, you're extraverted." It's not just about going to cocktail parties; it's about being assertive or driven. The opposite of extraversion is introversion. So extraversion and introversion are the two poles.

- 5.13** Agreeableness is the A. So agreeableness is this interesting combination of cooperativeness, respectfulness, getting along with people and being nice, coupled with compassion or altruism or empathy. People are highly agreeable, tend to be nice, they tend to go with the flow more, they tend to be polite, they tend not to be arrogant. It's a nice trait. The opposite of agreeableness is often talked about as antagonism. Someone who's antagonistic would be somebody who's not agreeable, the opposite.
- 5.14** Then, finally, is neuroticism. Neuroticism is a general predisposition to anxiety, depression, feeling sad, feeling blue, and also vulnerability. It becomes easy to be overwhelmed when you're higher in neuroticism, events overwhelm you. This happens to me all the time. I have my certain point, I'm like, "Dude, I'm overwhelmed. Peace out." Neuroticism is more about these negative emotions. The opposite side, or the opposite pole of neuroticism, is described as emotional stability. Often, you'll hear people talk about neuroticism as emotional stability because people don't like the word neuroticism very much. It sounds like you're Woody Allen.
- 5.15** A few key points to make about personality traits that are important— I guess that's why they're key points. First, all of these personality traits lie on continua or spectra. You'd say that extraversion is on some normal distribution. Most of these traits are pretty normal. There's usually a bias I'll talk about one way or the other, but it's generally bell-shaped. Most people are in the middle. Some people are extraverted and some are introverted. That's how it works.
- 5.16** The problem with something like the Myers-Briggs, when they go, "You're an extrovert and you're an introvert," is you have all these people that are right next to each other in the middle, and what they're doing is just saying, "You're 51—you're an extrovert; you're 49—you're an introvert." Personality doesn't work with types; it works with a continuum.
- 5.17** The second thing that's really important, and I hope I've made this clear, I think of everything as a trade-off. I try not to say, "You're good, you're bad." Everything's a trade-off. Both extremes of these personality traits can be good or bad depending on context. Typically—and I'll say this—the typical bias in our culture is what we sometimes call the Big One bias, meaning that if I ask my class—I got 300 students and I'm like, "How many of you want to be more open?" I'll get a few people who want to be more open. I'm like, "How many of you want to be less open?" A couple of people. But the majority of people would rather be more open than less open. Some people are like me. They're like, "Dude, I'm crazy. I'd like to be a little more boring."
- 5.18** You ask people, "Do you want to be more conscientious?" Most people, when I ask them, "Yeah, I want to be more conscientious." A few people will say, "I'm uptight, I'm a little OCD." They'll say in a colloquial way, "I'm a little obsessive compulsive. I'd like to dial back my conscientiousness and have a little more fun." So again, it can be a problem on both sides.

- 5.19 Extraversion. Most people, when I ask them, they go, "Yeah, I'd like to be a little more extraverted. I'd like to be a little more social." Some people are like, "You know what? I'm too extraverted. I talk over people. I talk too much. I have a problem with this. If I were a little less extraverted, maybe I could connect with people better."
- 5.20 I'm spelling OCEAN in my head a lot. Agreeableness. "Do you want to be more agreeable?" Some people want to be more agreeable, but a lot of people are like, "I'm too agreeable." What does that mean? "I feel like I get taken advantage of. I feel like I'm a doormat. I feel like sometimes people exploit me and I wish I had firmer boundaries and I would stand up for myself better." So agreeableness sounds good—agreeable sounds better than antagonism, but a lot of people are like, "I'm too agreeable. I want to be—" And then lots of people are like, "Yeah, I'm a dick." So, I'm a little too antagonistic and I'd like to be less. The term—I won't use the word, but the term "a-hole" is what we use; that's essentially capturing trade antagonism. I'm talking from the research, lots of research on this.
- 5.21 Then, finally, with neuroticism, most people want to be less neurotic because neuroticism is associated with anxiety, depression, sadness, insecurity, rumination, and lots of things people [don't] like. So most people are like, "I'd rather be more emotionally stable." A few people are like, "I need to be a little more neurotic." I always tell the story of my friend Jeff, but I never use his name, who's always doing some crazy thing. I think the last thing—the last time he was sailing in the Caribbean, "Oh, we don't know how to sail. And then we had these adventures." I'm like, "Dude, don't you ever get scared?" He's like, "No." But he's still alive.
- 5.22 In all those cases, there's a trade-off on both sides. There's not good or bad, but we have a general cultural bias where, on average, most people want to be higher on all the traits except neuroticism, on average. Financial life can relate to personality in lots of different ways. I'll go through some of these and talk about them. It can be linked to income and wealth and literacy and asset preference, which is something people get—what things you like to invest in and risk tolerance and financial happiness. It can be linked to family, which we'll talk about in the next lecture. There's lots of associations between personality, how people are wired, and how they deal in their financial world.
- 5.23 I thought I'd start and look at a study of high-net-worth individuals. Now, the problem when I do science, I'm like, "Hey, I want to study the association between personality traits and wealth." Okay, let's go run a study. I get on one of my databases and I go get a bunch of data. How many multimillionaires are sitting at home on their computers, filling out surveys for me for a buck fifty? The answer is none unless there's something going on: maybe they're weird, maybe they're into it, or something. Generally, if I do a survey and somebody's like, "I'm worth a billion dollars," I'm like, "You're high." They're joking; people are messing with you or something if they say that. They're really not. So it's very hard to get data on high-net-worth individuals.

- 5.24** So I thought I'd start with this one study out of Germany, where they were able to get a sample of very high-net-worth individuals and run the Big Five. Germany is different than the U.S. The economic model is different; it's much more structured. But still, what you see in these data is something that looks like wealth is associated with a Big One structure. In this sample of high-net-worth, you see wealthy people have somewhat higher openness. I think this is reasonable because openness is what you find in people on the coast, people with high educations, people doing tech work, so I think that makes a little sense.
- 5.25** Higher conscientiousness is something you see with wealth, and I think conscientiousness we'll see a lot as really important as a wealth trait. Extraversion in the high-wealth people. Okay, here's where it gets interesting. Lower agreeableness. This is a pattern we'll see again and again. Higher-net-worth individuals report lower than average agreeableness scores. That's where it seems to differ from a Big One. It's not huge. It's not like everybody wealthy is a psychopath. It's just a little lower. It's a little bit more antagonistic, a little bit more self-centered.
- 5.26** Finally, lower neuroticism. This was the biggest of all five—generally lower neuroticism. I think some of that is that wealth can help you be happier. Probably some of that are people that are able to acquire large amounts of wealth or take big risks, and they're not neurotic, which is why they're able to do it. It's probably a trade-off.
- 5.27** That's the general pattern for high net worth. But then each of the Big Five has these interesting relationships with different aspects of finance. I thought I'd go through some of them. What I want to say is this research is literally blowing up right now. I was reading one of the papers I'm going to talk about in the next lecture I read this morning. People are just getting into this idea. I'm going to give you an overview, but somebody is going to do a meta-analysis of all—well, somebody is doing a meta-analysis of all this, and we're going to figure this out better. We're going to know these data better in a year. It's just the nature of science; it's a little slow.
- 5.28** Openness to experience. What I want to do first is I want to give you the facets of openness. These are the sub-traits of openness, just to give you an idea of what we're talking about. Then I'm going to talk about some of the key financial findings, and I'm going to try to give you some examples, but all the examples I'm going to give you are way out of date because I don't really know anybody anymore, so they might not work. I apologize, but I can't—I just can't be young.
- 5.29** Openness to experience. The sub-facets of that, the sub-components, would be imagination, artistic interest, emotionality—being emotional, like "I can do music, I can do poetry," that emotionality. Adventurousness, intellect—"I like thinking about ideas. I like complex ideas. I like philosophy." And liberalism. What they mean by liberalism is, "I like going to museums in New York City." When they built these scales, that was the idea.

- 5.30** Some of the key findings with wealth is openness is one of the big predictors of financial literacy, which makes sense. People who like ideas, "Hey, these financial ideas are cool. I'm going to read about this stuff." The way people move money is interesting. So there's high literacy. You can see high net worth, but you often don't see high income in normal samples. Why is that?
- 5.31** I think part of it is, at least in the small college town I live in, lots of open people are artistic, and they become musicians, and they work in coffee shops, and they have very creative, interesting lives. That doesn't pay you very well, unfortunately, anymore. It never paid well, and now it doesn't really pay.
- 5.32** On the flip side—and this is just something we say—openness is expensive. Being open is expensive because you want to do new experiences or have novel experiences. Often, I think of openness as novelty seeking. And novelty takes money. "I want to go see this new show." Somebody's like, "Did you see the Dead at the Sphere?" I'm like, "I'm not a Boomer, but I did think about it, and if I had an extra 5K, I would have seen it." They're like, "Did you see the dead at Central Park?" Well, if I did have this \$5,600 for that back seat VIP ticket, I would have done it, but I don't. Openness is expensive. You see excessive novelty seeking with openness, which I was just talking about.
- 5.33** The other trait that's interesting with openness is entrepreneurship. People who are good at— creative people who are good at starting things that are interested in starting businesses, starting ideas, that's associated with openness. I think about some of my examples of people—Steve Jobs, who started Apple, very creative, very open. His story, "I studied calligraphy, and that's how we ended up with some of this." It's a cool story. We got Apple computers. Elon Musk is high in everything, but very high openness. Crazy J.K. Rowling—I think she might be the wealthiest woman in the UK. She wrote Harry Potter. But obviously, a brilliant, creative, interesting, very open person.
- 5.34** Conscientiousness. Conscientiousness has facets that include self-efficacy: the sense that I can get things done. Orderliness: I keep things in order. Dutifulness: I can follow the rules, I can follow orders. Achievement, strivings. Sometimes we call this industriousness: I want to be successful. Self-discipline: I can make myself do things that are hard—that's a great trait to have if you want to be successful. And also cautiousness. People who are conscientious aren't doing crazy stuff all the time; they're a little bit cautious.
- 5.35** How does this link to wealth and financial behavior? Conscientiousness is probably the primary wealth trait. If I look at all the Big Five and I'm like, "What trait is really predicting the ability to make money, the ability to save money, the ability to control yourself?" It's probably conscientiousness.
- 5.36** Conscientious people report being happier about their finances, more organized. Their salaries tend to be a little higher. If you look at any of the research in industrial psychology on employee selection, how do you search for employees? If you look at

the measurements for those, often what you're looking for in employees is conscientiousness. "I want somebody who's going to show up on time, do the job, not steal stuff, not get in trouble." And so they're generally happy.

- 5.37** The challenges you see with conscientiousness in the financial world are sometimes not willing to take risks. "I've got everything set up and I'm not willing to take chances." So sometimes they get stuck that way. And then not having fun. So people feel good about their money, but you're like, "Let's go have some fun." You're like, "No, I've got to work; I've got to do this." So you get too organized, you become trapped, and then it becomes like, "Hey, I'm OCD, or I'm a little bit intense about this stuff."
- 5.38** But conscientious is, again—if you're looking at one single trait that's going to be useful in being successful financially, I think conscientiousness would probably be the best one because it's about discipline over time. That's really a secret to success in a lot of things. Examples of conscientiousness—I think of is Bill Gates as opposed to Steve Jobs. Gates is boring. God, he's boring, disciplined, built these boring, disciplined computers, took over the world. Martha Stewart, I like her—organized, fun. She's also very open to creative, but very disciplined, very organized. I was trying to think of some positive—I guess she was a convicted felon, but I like that. I mean, she's got an edge to her, got some street cred. I like that she went into prison, just did it. That was cool. Yeah, it's not perfect conscientious, but anyway.
- 5.39** Extraversion. Okay. Extraversion as facets is friendliness— it's a good one—gregariousness—gregariousness is like, "I have a big personality at parties. I'm a gregarious person." Assertiveness—I mentioned this before. This is like, "I'm willing to assert myself into situations, tell people what to do, make things happen." Activity level—higher extraversion is usually associated with more activity. I have two dogs. I've got one dog that sleeps all day, and one dog is bouncing around— she's the extraverted dog. Excitement seeking: enjoy excitement, and cheerfulness or positive emotionality.
- 5.40** So extraversion is linked to feeling good. Neuroticism is linked to feeling bad. They're the two feeling traits. I sometimes think about extraversion as reward sensitivity. People who are extraverted are reward-seekers. They want to be rewarded. Not novelty, not new things, but wanting to be rewarded. In terms of money, extraversion is associated with financial happiness. People who are extraverted generally feel better about money. It predicts income. There's a link between people who are more extraverted, make a little more money—most of these effects aren't huge.
- 5.41** What we see, though, in the literature is that it seems harder for people who are extraverted to convert income into wealth. You're extraverted, you're making money, but saving money is a little harder. It would be easier to spend the money. That makes sense to me. I like to do stuff. "I made some money. Let's go have some fun. I'll make some more. I'm confident. We'll just keep doing it."

- 5.42 And I've mentioned this several times, but extraversion is linked to leadership. If you look at studies of who becomes a leader in a novel group, emerging leadership, if you look at leadership in organizations, if you look at existing leaders, what they tend to be is more extraverted. Again, it doesn't mean they like cocktail parties. It means they're assertive, driven, energized, willing to get stuff done.
- 5.43 Examples of extraversion, sticking with my last century theme, I still think Bill Clinton was the most extraverted example we had back in the day. The new Bill Clinton slowed down, but man, when he was on fire, that guy was like, energy just flowing out of his pores like an electron. Is that a superhero? There must be a superhero named Electroman or something. Maybe there isn't. I just made that up. Richard Branson from Virgin Airways, Virgin Records, party guy, big beard, has a big island. God, you shouldn't ask about the island, but he has a party island in the Bahamas. Just very high extraversion people. Again, I'm trying to give examples because all these are good ways of—all these things work.
- 5.44 Facets of agreeableness. Trust—people who are agreeable are trusting. Higher moral code, higher sense of moral values, higher altruism, care about the well-being of other people, want to do good for its own sake. Higher cooperativeness, get along with people better who are more agreeable. More modesty. The flip side of modesty is narcissism. So agreeableness is the opposite of narcissism in these traits, the opposite: immodesty or grandiosity. Then sympathy, or maybe compassion is a better word, sympathy. They care about people. So agreeableness is about caring.
- 5.45 When you look at the literature, you do find financial happiness with agreeableness, but generally less income and less risk preference. They don't like risk, less risk tolerance. The study they did on agreeableness and income—the classic study was by a gentleman named Timothy Judge, and it was called Nice Guys Finish Last. It's some variant of that in the title. It was like, Nice Guys Finish Last. I liked it.
- 5.46 He did several studies looking at agreeableness and income. The difference was higher for men than women, but you found it in both men and women, that people who are more agreeable make less. Part of that is, and you see this with entitlement, too, is if you're agreeable, you're not going to ask for more money for people. You're going to work and you're going to work for people and you're going to feel good that you're working, but you're not going to go and say, "Hey, give me a raise." So that could be part of it. In the entitlement literature, they find people who are entitled get paid more, which is weird, but when you look at it, it's because they ask for more money.
- 5.47 So agreeableness is generally not great for wealth generation. It's not like a wealth trait, and that's sad. The one counter-example I found of this, though, that I think is important is more in the social realm. There was a study done on the ability to raise money for startups. So entrepreneurs— how well can you raise money for your startup? It turns out, agreeable individuals are better at raising money than people who are more antagonistic. Why would that be?

- 5.48** Well, if somebody who's my friend, who's nice to me, says, "Hey, Keith, I'm starting this new business venture. It's a new donut shop. Would you like to invest?" I'm like, "Maybe. You're a nice guy." But if my friend, who's really antagonistic and always likes to tell me how great he is, comes in and says, "Hey, I'm starting a new donut shop. You've got your opportunity. I'll give you a slot, maybe." I'm like, "Maybe not. Yeah, I don't want to invest with you. How fun would that be? I mean, we're going to lose. I don't want to lose money with somebody I don't like. I'd rather lose money with somebody nice."
- 5.49** So agreeableness is not a bad thing. It's just that you have to use the whole social world to do it. And if you're going to be a self-centered, antagonistic individual, you've got to do it more on your own, or you've got to find mercenary people to work with you. So it just changes how you do things.
- 5.50** I was trying to think of agreeable leaders. I think of Oprah Winfrey. I hope she's agreeable. I've never met her. Tim Cook at Apple now. He seems like a nice guy. Maybe not. I don't know any of these people. It's all like what their PR is. I think of the Dalai Lama as a world leader. I know he got in some trouble, but I like the Dalai Lama. So I think those would be examples of agreeable leaders. There are nice people running the world, a few of them, but generally, agreeableness is not a wealth trait. You've got to be a little antagonistic.
- 5.51** The facets of neuroticism are anxiety. Easy to think of is anger—this is what people don't think about so much, but there's a certain form of anger that looks like angry hostility or neurotic hostility that's associated with neuroticism. People are like, "God, you're really in a hostile mood." Well, it's not because I'm mean, it's not because I'm antagonistic, it's because I'm neurotic. I don't feel good, so I'm lashing out a little bit. You can see hostility come out of neuroticism. Guys who get depressed sometimes, it will manifest as aggression rather than internalizing. Depression, so feeling sad or blue.
- 5.52** Self-consciousness—just thinking about yourself too much, maybe ruminating, just over-self-awareness: "What are people thinking about me?" I'm like, "They're not. They don't care about you. They're all thinking about themselves." Immoderation. This is one with neuroticism, so being a little impulsive about stuff. This is what you see a little bit with people who are neurotic and gamble, neurotic and drink, or whatever. Then vulnerability or this sense that you get overwhelmed by events. So the ability to be overwhelmed by events is associated with neuroticism.
- 5.53** This is an important financial or important money trait, but it's often working against you. People who are higher neuroticism, generally, have less financial happiness. It's generally what they report. They generally dislike risk—it's a little complicated. I'll point that out later on, but generally dislike risk. Lower financial literacy, we find. I don't know why. Maybe you're not interested in it or fearful of it.

- 5.54** Neuroticism isn't great for entrepreneurship. I said, openness is good for it. Extraversion is good for it. When you look at entrepreneurship, which is a whole field of study, entrepreneurs, people who start enterprises, start businesses, try to make a buck, they're failing. Maybe they're succeeding one out of eight times. That's the last value I've heard. I don't know. Let's say they've succeeded 15% on average.
- 5.55** You have a very low success rate in starting businesses. Look at all the restaurants in your neighborhood, how quickly they go up and down. Look at all the businesses. It's a very hard thing to do. Being an entrepreneur, you need to have very high distress tolerance. You need to deal—because you're doing new stuff all the time, it's always going wrong. You're learning stuff, so you're always flailing. And you're natural—because you're trying something new, you're probably going to fail. Anyway, you've got to be able to handle. You've got to stomach that tolerance, that instability. So the stress tolerance is really important, which is low in neuroticism.
- 5.56** Neuroticism makes finances challenging because they can be overwhelming. I'm trying to think of positives to neuroticism. The one I can think of, and this is only found in one study, but I've noticed this a lot when I talk to—I talk to a lot of young people because I'm in a university—and when you have people that are really conscientious and they're a little neurotic, they don't really make mistakes because what's going on is they're working really hard to do it right the first time, but then they're nervous, they're going to screw up, so they double and triple check stuff. And so that little bit—not overwhelming neuroticism, but some neuroticism—can help you succeed because you're being a little bit careful and you're double-checking things.
- 5.57** I talk to a lot of kids going into banking, and I'm like, "Where's all this neuroticism coming from?" It's like, "We can't screw anything up. We can't screw up these PowerPoint presentations. We can't screw up these Excel spreadsheets or we're fired." So neuroticism can help you make mistakes—no, it helps protect you from making mistakes sometimes.
- 5.58** In terms of examples of people with neuroticism and wealth, the example that came to my mind—and again, this is dating even me—was Howard Hughes. I'm in California. I remember the Spruce Goose parked up in Long Beach or something. Howard Hughes, a very wealthy gentleman in many industries, became neurotic, became paranoid, actually had an obsessive-compulsive disorder. When people met with him, he'd want them always clean and purified so he wouldn't get sick. His neuroticism got to him over time, which was unfortunate. I'm trying to think of other real neurotics. It's hard to think about it, but most leaders now have good PR, so you probably wouldn't see it. It's probably hidden.
- 5.59** In theater, Woody Allen was our classic. His whole character, his whole thing was being neurotic. That was his whole shtick. When you go into Seinfeld, which is the next generation of New York Woody Allen, it was all about neuroticism. George Costanza's on there. He just played this classic neurotic character. Seinfeld is neurotic, too. But

George Costanza plays really a neurotic. So there are people that play this. It's hard for me to think of a really rich neurotic person. They're out there. But neuroticism isn't a great trait for acquiring wealth or maintaining wealth. It's a hard way to live, generally.

- 5.60** i just talked about the Big Five, and I said, "Isn't the Big Five great because it allows us to simplify things?" Instead of talking about a thousand different people, we can simplify it into five personality traits and work from there. What if we went one step farther and tried to simplify these things even farther into wealth profiles?
- 5.61** What you can do is you can look at the Big Five traits on an individual simultaneously. If you imagine putting this on some graph— I'm high in openness, I'm lower in conscientiousness, I'm high in extraversion, I'm low in agreeableness, and high in neuroticism—that graph looks like a mountain range or the side of an old key or something. That's called a profile. It's like a personality profile. So like a profiler. "I'm a profiler" means I'm looking at personality profiles; that's what a profile is.
- 5.62** What I can do statistically is I can take the Big Five and I can do a process like latent profile analysis or something. And when I say I, that means I talk to a graduate student who's much smarter than me and they can do it. And you can create profiles based on the Big Five of wealth, if that makes sense. It's converting these Big Five and saying, "How do they fit together in these profiles?" When you do that, you can get three pretty good profiles out of that. I'll go through these. Sometimes you get a fourth profile, which is flat— it's a statistical thing that often happens, so I'm skipping that.
- 5.63** The big three profiles we find financially, the first we call the high achiever profile. This profile is driven primarily by high conscientiousness. That's the cardinal trait in the high achievers. High conscientiousness, low neuroticism—so you're emotionally stable, you're disciplined, you're dutiful—and then relatively high on the other traits. This is somebody who's disciplined, assertive, smart, curious, can think still because of some openness, can tolerate risk really well, good at making money, it's a good money-making profile. It's really good for saving money in a really disciplined way.
- 5.64** When you look at a profile like this, it's a very disciplined, high conscientious profile. You think of somebody like Warren Buffett. He's been managing money for, God knows, 50 years or something, very disciplined about it, doesn't really take big risks, keeps huge amounts of cash, is very smart, very tax-efficient, makes very few decisions, thinks about them a long time before he makes them. It has worked out really well; it's a very good approach.
- 5.65** There are other people—Jamie Dimon is an example, I thought. There are other financial leaders who have been running companies pretty stably for a long time, not taking huge risks, but taking enough risks that they stay ahead. And that profile seems like the best, the most promising profile for wealth in general. Imagine if I was sampling—if you look at those original data for the Big Five and wealth, I bet the majority of people are this high achiever profile.

- 5.66** The next profile you get is what we call the risk-taker profile. This profile is driven more by extraversion or reward seeking or energy rather than conscientiousness. You see a very high extraversion. The agreeableness is a little low, so you're getting a little bit of a narcissistic profile there, and some neuroticism. Not super high, but enough neuroticism that you're on the edge all the time, sort of like me. So a risk-taker profile — you get somebody who's assertive, aggressive, a little narcissistic, risk-taking, entrepreneurial. This profile is good at making money. It's also good at losing money. It's good for both because you're a risk-taker. You're like, "I'm freaking going for it. I have energy. I'm antagonistic." People are like, "You can't do that." I'm like, "I don't care about you. I'm going to run you over." And then you get stuff done. Again, the results are going to be less stable.
- 5.67** You think of a very high risk-taker: Elon Musk. I made all my money in whatever PayPal, and then I took all that money and invested in another — I would have sold out my first company, moved to Florida, got a place on the beach, and become a bellman at a lodge, just putting in carrying bags and surfing once a month when we had waves. I would have capped out. He's like, "No, doubling down." He's like, "No, we're going to Mars." Dude.
- 5.68** One of my friends is like, "The thing with Elon Musk is you don't know if he's going to be the richest man in the world next year or in prison." I have no idea because he's a risk-taker. That's the nature of the game: up, down, up, down. You see the winners, you don't see the losers much.
- 5.69** Another example of this that didn't work as well is Wolf of Wall Street, whose name I forget. His story is one of somebody who started from very little, said, "I'm going to take a huge amount of risk." He started selling equities on Wall Street and did really well and made a lot of money. Then, it turned out it wasn't as legit as it seemed and the things went bad, and then it got bad. A very high risk-taker person. I think he's coming back now because I saw him on a podcast or something recently.
- 5.70** I've spoken with his wife because she studies narcissism for some reason you could never guess. It was funny. I was talking to her about him, and she goes, "Oh, you'd get along great with him." I said, "He seems like a cool guy." She goes, "Oh, you'd love my ex. He's so smart. You guys would get along great." He's a fun guy. He's just a crazy risk-taker. He'd be a fun guy. But that's an example of somebody who went way up and then way down and is now maybe coming up a little bit, whereas Musk just does this [gestures ups and downs].
- 5.71** The risk-taking is not the smooth ride. It's not Warren Buffett eating an ice cream cone or something, not doing anything, saying, "I'm going to make an investment this year or not." It's a different lifestyle, and it's hard being a risk-taker. It's a harder lifestyle.
- 5.72** My one claim to fame is that I saw Warren Buffett's partner, Charles Munger, who has since passed away, eating breakfast at the Mauna Kea Resort. He was wearing a long-

sleeve Hawaiian shirt, like a Reyn Spooner Hawaiian shirt, long-sleeve, like the coolest old-school thing. I've never forgotten that. If I could ever pull that off. Anyway, legend. He wasn't driving a Lambo; he was just sitting with his wife, in his Spooner, eating some papaya. It's a high-achiever profile; the guy didn't need to show off.

- 5.73** Then finally, the third profile we see is more of a safety-seeker profile. This is a profile that's got driven by high—you've got some high conscientiousness and high agreeableness, but also very high neuroticism. These are people who are nice, but they're risk-averse, just anxious doing stuff. When you're wired like this, when you're risk-averse and very nice, it's hard to make money. You're not hustling quite as much. You're easy to work with, so people maybe like you, but it's hard to make money. So you don't see a lot of people that are safety-seekers getting really wealthy. Some people—you can marry money, so you end up getting wealth through marriage, or maybe you make it slowly over time.
- 5.74** There aren't a lot of good examples I could think of of people in the financial world who had this safety-seeker mindset. One is John Bogle, I think he started Vanguard index investing: a very safe, low-cost investing. He helped a lot of people. When he died, he was a multimillionaire, but he wasn't like a billionaire, gazillionaire like everybody else. He was like a poor, rich guy— which I hate to say. I mean, he's very wealthy—but he was using more safety and using really low-cost investments.
- 5.75** Another example, maybe, would be the father of value investing, Benjamin Graham—I'm not going into this because it's not an investment class, but there's different approaches to investing. Benjamin Graham, his famous saying was, "In the short run, the market is like a voting machine, but in the long run, it's like a weighing machine." Meaning: things like Beanie Babies will go up and down because people are voting on them, they're speculating, "Oh, this is awesome. Oh, this is terrible. Oh, it's awesome." That's what a market looks like in the short run. But over time, what it is, is weighing how much value things actually have. It's actually determining value. The thing to do to be smart in the market, to be safe, is figure out where the real value is, be really smart, and buy things that have actual value, not things that people are speculating on. That's where I was using him in his example of a safety-seeker.
- 5.76** Again, what you can do with these Big Five traits is put them into profiles. I think this model of high-achiever, risk-taker, safety-seeker, I think it works pretty well. It doesn't capture everything, but it's a pretty good—we like simple models. That was the Big Five. Again, that's the most common, general model of personality we use. I thought what I would do now is talk about a few more specific personality traits or individual differences like intelligence, which is more of an individual difference in personality, that are relevant, just to give you a little bit of flavor of this.
- 5.77** One trait that gets talked about a lot—and is talked about popularly—is grit. So grit is this combination of perseverance and passion for long-term goals. They first started—this is Angela Duckworth—when she first started doing this work, it was actually done

in the military. She studied grit at West Point and was looking at people succeeding. It was a pretty good predictor of success. Grit is a good predictor of financial performance. It, however, is basically conscientiousness. When you look at the research on grit and you look at the research on conscientiousness, they're pretty much the same. There's not much difference between the two variables. Grit is like conscientiousness with an emphasis on industriousness, maybe a little bit more, very similar. If you're interested in single variables, this is going to be—grit is going to be a very good predictor of success and performance.

- 5.78** Another one—there's different names here, we've hit on this a few times— you might call it locus of control. An internal locus means, "I think the place"—locus means place, like location—"the place where the control comes from in my life is in me." That would be an internal locus of control. And an external locus of control is, "I think the thing that controls my life is external." So some people have more internal locus of control and some have a more external locus of control.
- 5.79** Another term we use for this, about the same, is self-efficacy. "I feel I can reach my goals and overcome obstacles along the way—I have high self-efficacy—or I don't feel I can overcome goals." And so self-efficacy is similar to locus of control. That was developed by a guy named Albert Bandura, a famous Stanford psychologist back in the day.
- 5.80** Another concept that Bandura developed after efficacy is agency. I hear people talk about agency a lot lately. I don't know why. It's in the zeitgeist. Agency is the sense that I can control my own ability. I'm an agent. I'm an actor in my life. Whatever the case is, the belief that you have the capacity to control yourself is going to be really important for predicting wealth outcomes because it allows you to come up with a plan and follow a plan. If you have a sense of internal locus, a sense of self-efficacy, you're going to say, "Hey, I'm the person who can make a plan, have a financial goal, and get there." It's a good trait to look at. Again, we've renamed these variables a lot.
- 5.81** Self-esteem is another one, but self-esteem is your attitude about yourself. If I have high self-esteem, that means I have a positive attitude about myself: I think I'm a good person, a person of worth, at least on an equal plane with others. If I have low self-esteem, I have a negative attitude towards myself: I don't believe I'm equal to others. I don't think I'm as good as other people. Self-esteem doesn't really predict getting rich, but it predicts financial well-being. People with higher self-esteem generally feel better about their finances, but it doesn't predict so much, whereas efficacy or locus does seem to predict better. So those are more trait-like.
- 5.82** Another variable that's really interesting and important in the financial world is the variable of numeracy. This is something you see studied in education and psychology. It's essentially the ability to work well with numbers, just move numbers around. It's a link to quantitative intelligence or quantitative IQ. But people who can work—

remember we did the mental math in the first class, like the Rule of 72. People who are really good with numbers can do well financially.

- 5.83** I'll give an example of this. My dad—I was in the family, I was the guy getting the PhD, and my dad was always just working and doing real estate stuff. I was supposed to be the smart one. Then we get around a real estate project, and my dad would start running numbers in his head, and he's like, "Oh, yeah, that's this and that, and we're doing this—" I'm like, "What the heck are you doing? How are you doing this?" He had really good numeracy. You find that with people who go to business, that in their head, they can quickly run numbers. "I'm just running simulations, running numbers on this."
- 5.84** Where this gets really hard in investing is what people call bond math. So bond math is this weird phenomenon where, if I buy a bond—remember we talked about that—I go buy my Treasury bond and it's yielding, or giving me, a 4% return. That's what's happening. I'm getting a 4% return from that bond. I spent \$100 on a bond, I'm getting a 4% as a return. What happens if interest rates go up? You go, "Well, if interest rates go up, my bond's going up." No, it's the opposite. When interest rates go up, if interest rates suddenly go to 8%, that \$100 bond is only giving me 4%, if I want to sell that bond to somebody, they go, "Dude, I don't want 4%, I want 8%. I'll give you 50 bucks for that bond because then I'm getting my 8%." I hope someone followed that in here.
- 5.85** That's bond math. It's weird. It's like you're doing stuff backwards. When bond yields go up, bond prices go down. It's confusing for people. So the ability to do that mental work quickly seems to be linked with wealth because a lot of wealth is dealing with finance and numbers. Some people are good at that. I think this is something you can practice a lot. I think you can work with it in certain areas and get good at it.
- 5.86** A few other traits—I'm going to talk about narcissism for a minute because that's my thing. I'm really into narcissism. Narcissism is basically a personality trait associated with chronic self-enhancement and a lack of empathy for other people, as well as a willingness to exploit other people to increase or inflate your ego. Individuals who are narcissistic are self-centered and use other people to maintain that self-centeredness or self-esteem. That's a very short definition.
- 5.87** What you see in the financial world with narcissism is you see some selfishness. You also see risk-taking. People are narcissistic because they're smarter than most people, are more likely to be overconfident, and more likely to take risks. Risks can go up or down. In the research on narcissism in CEOs, what you find is not greater performance or worse performance; you find more variability in performance, because you take chances, you roll the dice, and sometimes it's great, and sometimes you get snake eyes, which I think is bad, even though I've never gambled. So narcissism—you get more risk in their investment performance, like a risk-taker model.
- 5.88** You find it predicts leadership. Narcissism predicts leadership just like extraversion. The reason is because narcissism has a lot of extraversion in it, plus that desire like being a

leader is cool. There's a motivational piece for it. There's also, with narcissism, lower trust. Research has started to come out where, "Hey, we've looked at people interested in cryptocurrencies like Bitcoin or Ethereum, and those individuals seem more narcissistic or less agreeable. Isn't that bad?"

- 5.89** Then I go, "Well, who did you think was going to buy your cryptocurrency that you sell by, 'Don't trust the government. Everything's to hell. Do you want to buy my cryptocurrency?' Did you think the person that's going to buy it is the high-trust, agreeable nun?" "I love the government, but this Bitcoin sounds good just in case it turns out we're ruled by reptile aliens." No, it's people that are a little bit distrustful and a little bit self-centered and people that are confident enough to say, "Yeah, I can outdo the system. I'll trust this other system." So it makes perfect sense that there'd be a connection with something like disagreeableness or extraversion or narcissism with crypto. That's exactly is what you'd predict.
- 5.90** I say this with love for everyone. If I look at a cryptocurrency conference, I'm seeing a lot of aggressive dudes. I mean, that's your market—it's a more aggressive, more individualistic, more independent-minded, more self-centered group of people in a community. It's not bad; it's that's what you naturally attract.
- 5.91** I mentioned dispositional gratitude, but I was going to talk for a second about dispositional greed because I'm keeping with the narcissism and entitlement theme. Dispositional greed is like a trait. It's like greed syndrome, but there's a scale that I like. Here are a few items: "No matter how much I have of something, I always want more." "One can never have enough." Again, I talk about greed syndrome—dispositional greed, being greedy all the time, is going to make you feel empty. It's not going to make you happy.
- 5.92** Then, a similar individual difference would be psychological entitlement. A sense of entitlement is that I'm entitled or deserving of more in my life or more things than others. Some entitlement is legitimate. You are certainly entitled to certain things in your life. If you have a house, you're entitled to use it. If you paid Social Security, you're entitled to it. That's why we call it an entitlement.
- 5.93** Entitlement isn't always bad, but a general, pervasive feeling that one is entitled to more in a life can lead to problems—financial unhappiness because you're like, "I deserve more, I'm not getting it." But like I mentioned before with agreeableness, sometimes people who are entitled end up getting a higher income because they ask for more money. They're more likely to go to their boss, and they're like, "Dude, I deserve more because I'm entitled."
- 5.94** Some items from the entitlement questionnaire, psychological entitlement scale: "I deserve more things in my life." "I deserve the best because I'm worth it." "If I were on the Titanic, I'd be on the first lifeboat." "People like me deserve an extra break now and again," things like that. I don't like—I built this scale with some other people 30 years

ago, and I never studied entitlement because I don't really like it. I don't mind narcissists at all. I just don't really like straight entitlement. I'm like, "Put on a show for me. Do some show and some car, and then you can be entitled. But don't just do entitled."

- 5.95** Okay, what about IQ or intelligence? One of the questions people give you a lot in academia is, "If you're so smart, why aren't you rich?" The answer is, "Because I'm not that smart and I picked the wrong job." But I don't say that. Really, what they're asking is, "Does intelligence predict wealth? Are smart people getting rich?" The answer is, "Yeah, but kind of; it's not a huge effect."
- 5.96** When you look at the data, if you look at the raw correlation between wealth and intelligence or IQ, it's going to be a bunch of dots that look like a big cloud of dots or a cloud of mosquitoes that's maybe pushing a little bit up to the right. It's just going to be really messy. There's some not-so-bright people making lots of money or have millions of dollars. There's some geniuses that have no money at all that are working in garages and places doing nothing. It's complicated.
- 5.97** I looked at lots of—I was trying to look at different studies on this. The one I found that used a lot of good control—I'm trying to think how to estimate what this effect size is. I found one study in the U.S. with lots of good controls, like a control for inheritance things and age. They found the correlation with IQ and income. So income, how much you make, is about a correlation of about 0.3. As a personality psychologist, which I am, 0.3 is great. That's really useful for doing research. But what that means in real life is about 10%, or really 9% of your income is predicted by intelligence. Okay, that gives me 91% to play with. So it helps, but it's not going to get you rich. You need more than intelligence for sure. That's just not a huge effect. It's an effect, though.
- 5.98** What about intelligence and wealth? That correlation is 0.16. Again, I'm a psychologist. That's theoretically interesting. In real life, what that means is about 4.5% —I hope I'm doing the math right because I'm just winging it—about 4.5% of your wealth is predicted by your intelligence. That leaves 95% that's not. Yeah, intelligence matters. I mean, I'd want my kids to be smarter or more. I'd like to be smarter. If somebody's like, "You want to buy some intelligence?" I'm like, "I'd buy intelligence right now. I love it." But it's not the only predictor of wealth, and it's not even the best one. It's a little bit of a predictor.
- 5.99** I find this interesting because the way they set up life is you've got to get educated, you've got to be smart, do all this stuff, and then you'll be rich. It didn't quite work that way. Sorry. I think my wealthiest friend dropped out and started a surf brand in the '80s and then retired to the Caribbean. He was the one baller. The last time I saw him—one of the last times I remember seeing him as a kid, we were listening to the Meat Puppets, and then we went surfing in Santa Monica. He was like a punk rocker guy. Anyway, we always got in fights. I was like, "I don't hang out with punk rockers. These guys always fight."

- 5.100** Okay, so conclusion—how do you find balance between personality and wealth? I always like to say there isn't a single wealth personality. There's not just one way to be. I think there's lots of ways to skin the cat, and everything comes with strengths and weaknesses. Everything is a trade-off. So I always like to start there because you can get in trouble in all sorts of ways in life, and often that middle path is the best. That said, there's something about conscientiousness: hard work, discipline over time, that seems to be helpful for success in general, including financial success. I think that goes for everything. Disciplined work over time works.
- 5.101** One thing I think is useful for people—and I've given this advice to my own children—is to learn their own personality. You can take a Big Five—I think Jordan Peterson has one online. You can take a Big Five exam— you learn about yourself, and you see your strengths and weaknesses, and then you figure out how to balance that. Personally, my problem—I don't think my problem is, but the way I'm wired is I'm a bit of a risk-taker. I take risks. Some of those risks are dumb. Sometimes I need people, and I have people I hire and I work with who look me in the eye and just say, "You can't do that. You're dumb." So I try to build a system up, like a tough love system, where people are like, "You can't do that. That's irresponsible, et cetera." I make a balance because I don't want to destroy myself because I have people who depend on me. If I were single, I would have died so long ago.
- 5.102** Lots of academics—I'm a little weird—lots of academics are risk-averse. They don't like risk. They're a little financially risk-averse. What they could use is someone who says, "Hey, man, you've got a 30-year time horizon here. Let's take a little more risk." So sometimes you need more risk. Some people are so good at saving money, they become all about saving money, and "I'm going to save all this money forever." They don't have any fun. So they end up sacrificing wealth for fun because they think wealth is more important. So all of this stuff can be conflicted.
- 5.103** And I think it's very much, again, about finding balance between your personality, how you engage with the financial world, and how to maximize your wealth, but also your happiness, freedom, independence, and all that, not become a victim of your own wealth. Hiring people that are good can help you with this. Thank you very much.
- 5.104** I don't know, but there seems to be a link between conscientiousness and compound interest in a way. I'm curious if you can expand on that or not.
- 5.105** I think many things in life, the way success looks, is you start doing something and nothing happens and nothing happens and nothing happens and a little bit happens, a little bit happens, and then it starts to grow and pretty soon it happens. And then they say, "You were an overnight success." And somebody goes, "Yeah, 20 years to be an overnight success." So what you don't see, is you don't see the exponential growth. You don't see the Beatles playing rock and roll in Germany for whatever many years. You don't see that. All you see is when they land in New York. So effort towards a goal

shows no results for a long time, and then it starts to compound. That's generally how things work.

- 5.106** So if I wanted to become a TikTok influencer, because everyone says how great it is. I go on TikTok and no one would look at anything, and I just keep doing it. And after six months or seven months, people start to look. And then, I'd have some followers. And pretty soon—you know what I'm saying?— it would start to grow, and then pretty soon, I'm the next Mr. Beastman or whatever. That is conscientiousness and conscientious compounding.
- 5.107** Now, take that same mindset and say, "You know what? Every week, I'm going to take 50 bucks, and I'm going to put it in an S&P fund. I'm going to look at that fund, and it's not going to change—It'll be 50 bucks, 100 bucks, nothing, nothing, nothing. 20 years later, I'm not buying a yacht, I'm buying a little motorboat to cruise around." It's that long-term discipline. When it's compounding, the compounding will start to emerge 10, 20 years later.
- 5.108** The problem is that not everything works. So how do you know if I should—a lot of people are like, "I want to be an influencer. I want to be an actor. I want to do this. I want to be a musician. I have a lot of musician friends." That sounds like a hard business. When do you give up? I don't know. But the problem or the challenge—I don't want to say a problem—one of the real challenges is you don't see that growth for a long time with compounding interest. But then, when it takes off, it's like a rocket ship. And I think that applies to careers and everything else.
- 5.109** So we learned all the different personality traits on how to gain wealth or most likely. But do you think there's a shift in personality traits once you have wealth or even generally in life, as age or whatnot, different factors—
- 5.110** Yeah. Thank you for asking that, because I literally have never sat around and thought of that question other than people—what I said earlier: is it possible that wealth is reducing neuroticism by taking away some of the stress? I've never thought about wealth-thriving conscientious. I've only thought about it with neuroticism. I haven't thought about it with conscientiousness or openness. You could see that. Maybe you get more wealth and you become more open?
- 5.111** My best guess on that is the effect going the other way is mostly going to be on trait neuroticism, but it could be some other things as well. I love that question. I'm a little embarrassed right now because I should have had a really good answer for that. But thank you. But other than the neuroticism, yeah. Because we have this tendency—I mean, we in the field—have a tendency to think of personality: it's a little bit genetic, you develop it, and by the time you're 20, you've got it. So we think about personality as being more of a driving variable for these outcomes.
- 5.112** But the truth is, we have a lot of new research coming out on personality change, that personality can change. Neuroticism, we change a lot. That's what therapy is for. That's

what SSRIs are for. Taking psychedelics reduces neuroticism sometimes. So I think that's the big variable. But I do think those other ones are important. I think I should do the research. I think it's a great question. Thanks.

Lecture 6: Shared Wealth

At a glance — Shared wealth — the social dimension, in the closing lecture.

- 6.1 All right, we're finishing up. We're here for the last lecture.
- 6.2 At the beginning of this course, I was focused mostly on individual psychology. As I said in the beginning, the way wealth flows through our culture is it flows through couples and families. So you get married, wealth is flowing from spouse to spouse. You have children, it's flowing to the children, and it ends up flowing generationally, like a river with different stops and things. So I wanted to end up discussing more of the relational aspect of wealth and talking about some of the interesting findings here.
- 6.3 The first thing I'm going to talk about is the potential conflicts and opportunities of wealth in couples. I'm going to start with couples and then talk a little bit about families, and then talk about some of the intergenerational transmission of wealth. I'm veering into sociology and economics a little bit here, which I said I wouldn't do, but I have to touch on some of those things, even though I'm a psychologist.
- 6.4 As I've said probably 18 times here, money is the last taboo. It's very hard to discuss, even in couples. People go, "I'm going to get married. It's going to be fun. I love you. It's great. Maybe we'll talk about kids before we get married." People very often don't sit down and discuss financial arrangements. Some people are starting to, but it's not the first thing you want to talk about when you fall in love with somebody. It's like, "How are we going to run a bank account?"
- 6.5 I remember when I got married in the Catholic Church, we went through this Pre-Cana process with my wife, and they tried to get someone to talk about money with us. I'm like, "We don't have any money." But they were trying. They were trying to bring it up and have these discussions. So it's something we don't talk about.
- 6.6 But what's really neat about being a couple is that financially, it can be very beneficial. It can be economically very efficient to live that way. If you have two people together, what you can do is divide labor. You go like, "Okay, you go shop groceries, and I'll cook. I'll do the outdoor stuff and you do the indoor stuff. I'll do this and you do that." You can divide it up—divide and conquer strategy. And you can share expenses. You can buy one house. You could buy one car if you wanted. Then you'd be fighting about it, but whatever. Or you can do other things.
- 6.7 So having couples together can be really beneficial for financial outcomes. It can also drive conflict, and a lot of that conflict can be cultural. It can be based on norms of who's supposed to do what in a family. Some people come in norms, like childcare norms, like, "Man, I'm not changing diapers"—wait till you have kids; you're going to—but that might be where you're coming into the marriage, or it might be, "My job is to do this, mechanical stuff, but not do other stuff," and that's going to lead to conflict.

There's conflict in this decision. But once you work out that division of labor, it can be really effective to be in a relationship.

- 6.8 There's lots of research questions that have come up around this. I want to highlight a few of them that I think are interesting. One issue that comes up is in the situation when one partner is making more of the money or all of the money in the relationship, and the other partner is not making money. One's bringing home the bacon and one's cooking the bacon, if that's even the same. What happens?
- 6.9 They talk about this in the literature as "the power of the purse." Some of us hear the power of the purse strings, but usually it's the power of the purse. The person who makes the money has the power of the purse. Basically, they have the potential to financially control the relationship. Potentially, they can tell their partner, "I'm bringing in this money, the check is going into my account, and we're going to do what I say." Does that happen?
- 6.10 When you look at the research, it's pretty complicated. Sometimes you do find that. Sometimes you find the one person making money is saying, "I control everything, everyone is basically an employee of me, and has to do what I say." But you also find a division of labor where you have one person bringing in money, who's the working spouse, and then the non-working spouse is basically running the household. So they become the chief operations officer of the household, and the other person is the breadwinner coming in. And that works really well.
- 6.11 So there's different ways to divide it up. The key is that you can always do better dividing things up than you can by being independent, because of that benefit of division of labor, as long as you reduce conflict and discuss conflicts that come up. It's pretty easy to work as a couple, pretty much. Some people have problems, but generally, it's pretty easy to work as a couple.
- 6.12 Do attitudes matter in couples? Yes, they do. In terms of financial attitudes, the first thing is that we generally find that if people's attitudes align in relationships, meaning they share similar attitudes—they can have different personalities a little more—but to the extent their attitudes are similar, then couples tend to get along better. This applies to all attitudes: people who have the same religious attitudes, political attitudes, moral attitudes, all those attitudes. To the extent attitudes align, people align better. This is a fundamental psychological thing. We called it balance theory in social psychology back in the day. But that's a basic thing.
- 6.13 There's also been research on motives or values around money as well. There's some recent studies on this. I found one from last year where they looked at different money motives in couples, and they found that couples— and you can divide these things up differently, but what they found were two different sets of motives in couples.
- 6.14 One set of couples had what they called more integrated money motives—I don't know why it's integrated; I guess it's more psychologically healthy is why they use that term

—but people who look at money as being associated with pride, they feel good about being financially successful. It's associated with freedom. It's associated with leisure goals. So a couple is like, "Hey, we're a couple. We're making money. We feel good about it. This is going to allow us to do the things we want as a couple and maybe take a trip to the Bahamas," or something. So some leisure goals. And that seems to be pretty healthy in couples.

- 6.15** And then you get these more non-integrated money motives that seem a little bit less adaptive or less healthy. "We're making money as a couple to overcome self-doubts. We don't feel good about ourselves. We don't really feel like we fit in with the community, but if we have enough money, we'll fit in. We'll be able to keep up." Or, "We do a lot of impulse spending as a couple." That's never going to be good. Or, "We use money to show off. We use money to be a big deal."
- 6.16** I was looking at my friends when they're driving new cars and stuff, and you see people, and you're like, "How did you afford that? I don't understand." And you see other people like, "Dude, I know you could afford more than that." People have different value on showing off wealth, and that can be something that's good or bad. If you have this more non-integrated couple motive and you've got to display wealth, it's going to be expensive. So there does seem to be some issues with couples as well.
- 6.17** There's also a lot of these classic couple wealth conflicts that come up I thought I would talk about. You see it with attitudes and things. So you can imagine a couple where one person is wired or grew up to be a saver—they're like, "I'm into saving money. I'm not into spending. Save, save, save." They talk about these kids now like the fire movement: "I'm going to save"—what is it? 'Financial Independence, Retire Early' movement?—"I'm going to save a bunch of money and then retire when I'm 40." So you get people like that. And then you get people who are spenders. "You've got to live; you've got to have fun. What's money for? Come on, man. What's it for? Let's go have some fun."
- 6.18** Both of those things are great. But you imagine a couple—and I was thinking about this—imagine you've got two couples, they're both German, but one grew up in Germany in the '60s when they were very high saving culture, low inflation culture. The other migrated to Argentina and grew up with 110% inflation. If you're in a low-inflation country, the thing you do is save money because your money doesn't lose its value. So you're like, "I'm going to keep my money to use it wisely." If you're in a high inflation country—it means my dollar is going to be worth 75 cents next year—the smart thing to do is spend it as quickly as you can. So the smart thing to do is be like, "Hey, I got my paycheck. I'm going to go buy some more tires for my car. I'm going to go buy a new fishing rod." That's smart.
- 6.19** So you can have two people with very different backgrounds and end up with spenders and savers. That's going to lead to conflict about this thing. It's going to lead to conflict. That is one of those things you've got to work out. That's literally a classic, "We need to

talk to somebody or talk to ourselves and figure out how we're going to do this and balance it out," because those are easy things to work out—or not easy, but can be worked out.

- 6.20** Another classic one you see is a risk-taker and a safety-seeker in a relationship. So you've got one person in the couple, who's like, "We've got to take risk. I'm going to start a business. I'm going to do this. I'm going to do this." And another person in the family, who's like, "Oh, no. We've got to save. We've got to be smart. We can't take these risks. It's too dangerous. It's too dangerous." How do you handle that? Well, what's going to happen is the risk-taker is not going to buy that one—he's going to say, "I want to buy this, this, this, this, and this,"—I say he; it doesn't have to be "he," but it is more—and one of those is going to work. And then, for 20 years, he's like, "You didn't let me buy a green goblin coin, and we could have retired by now." And the wife's like, "Dude, you were going to buy four things before that. We would have been bankrupt ten times over." But he doesn't remember that. So it can lead to antagonism.
- 6.21** I'm not saying this is a solution, but one possible solution to this is to use mental accounting. When we talked about that you can put money in different mental buckets and say, "Hey, here's our risk bucket. We'll take a small amount of money that we have, a small amount of our wealth, we'll put it in this bucket, and go crazy. Go buy your crazy things, invest in your dot-com pet company, do whatever speculation you want, buy a gold mine in Guatemala. Who cares? Just go for it. If we lose it all, I'm not going to die." So you have risk to be a limited part of your portfolio and then have everything else to be rational. That's just one—there are different solutions. That's a reasonable solution.
- 6.22** Another classic couple money conflict: one comes from a wealthy childhood, one comes from a more working-class background. Well, both those backgrounds are good. We need the working class, we need the wealthy class—it's great. But there are different attitudes towards money. One thing you see—the difference between the working class and the upper class is attitudes towards debt. The working class is often anti-debt for very good reasons. You get too much debt, you get too much car loans, you get too much credit card debt, it'll wipe you out. So there's a huge concern with paying down debt and not getting debt.
- 6.23** Wealthy people are more comfortable using debt as a tool. They don't mind debt. They're like, "The economy is going back. I'm going to pull a bunch of credit lines and put the money in the bank." "I'm going to buy that house where I only need to put 10% down, and I'm going to go borrow the rest from the bank." So they look at debt as a weapon or a financial instrument itself, and they're comfortable with it. It's not a bad thing.
- 6.24** So you can end up with conflicts like, "What are we doing with that debt?" You're like, "Well, that debt is connected to an asset, and that asset is going to go faster than the debt, and so we're going to be rich." They're like, "But that's bad." So that's one of

those things where you just have to sit down and work it out, financial plan. Again, it's just a comfort level with those things.

- 6.25** One of the old classic challenges—and I talked about the self-serving bias when I talked about ego challenges or ego and investing—the self-serving bias is also really important in couples, and it's a little different how it works. Here's what happens: I'm married, I do the dishes, I feed the dogs, I make the bed, and I watch myself do all those things. My wife cleans the dishes, and she cooks the dinner, and she does the kids' wash, and she sees herself do all that. I don't see her doing that. I only see me doing stuff. And she doesn't see me doing anything. She only sees herself doing stuff.
- 6.26** So based on raw cognition and availability heuristic—remember that—just based on that, if I say who does more for the couple, I'm going to say, "I do" because I remember putting away the dishes, I remember walking the dog. I don't remember my wife doing anything." You ask my wife, and she's going to be like, "I do everything. I remember doing the laundry, and I remember doing the dishes that time. My husband, I never see him do anything." It's not that bad. This is just for effect, but this is just a natural thing that happens in couples because of egocentricity. We see what we do; we don't see what our partner does. It's hard to value our partner because we're not walking with them all the time.
- 6.27** The solution to this is adapting a communal mindset, which I'm going to talk about on the next slide a little bit, or it's one solution to this. The general solution—again, I'm going to talk about a little more communal mindset because I think it's really important. But with all financial conflicts in couples, literally, these things are resolvable. They're not that hard. They're not like, "I don't love you. I'm not attracted to you. You're an immoral person." They're like, "We operate differently with money." So getting some professional help to maybe talk it out, or even sitting over a cup of coffee and talking it out can be helpful. I think this stuff is resolvable.
- 6.28** What do I mean by communal orientation? This is a very core issue in distributing resources, all resources in relationships. This idea is that relationships can have exchange or communal qualities—sometimes we talk about communal versus exchange relationships, where it goes back to Margaret Clarke in psychology, but it really comes from old-school anthropology—what does that mean? In communal relationships, when you share resources, you're not really keeping score. I'm sharing resources.
- 6.29** So back to your capitalism question. When I run my family—or my wife and I run my family, or my wife runs the family, whoever, maybe she's running it—and my kids are like, "Dad, I want some money. Dad, I'm hungry." I don't have a secret spreadsheet where I have written down every dollar I've given my kids, and I'm not going to hit them up when they turn 25, like, "Hey, guess what, guys? Here's your spreadsheet. I was really sweet. I put in 2% interest that you owe me, and just write me a check at

your convenience." I don't do that. Or if my wife's like, "Yeah, I'm doing this." I'm not like, "Oh, I've got to take that off."

- 6.30** I don't go to the market and figure out what everybody's buying and saying, "Well, you wanted that special water, and so you're not going to get dinner on Thursday" because I'm a freaking communist in my family. We're like a socialist family; we just share everything. I don't keep track of stuff. Other than the general, like trying to treat the kids fairly so they don't kill each other. Beyond that, that's really normal in a relationship.
- 6.31** The other pole of relationships would be exchange relationships. Exchange relationships are about scorekeeping: I love going to dinner at my favorite restaurant, Zee Zee's. My wife and I go. We go have dinner, we watch people, and it's great. I go order dinner and they give me my dinner, and then I pay for them, give them a tip, and we're all best friends. We have this great relationship. I always love going there, and the servers are great.
- 6.32** But if I went in there once, "Hey, guys, how are you doing? How's dinner? Great. Here's your check." And I'm like, "No, it's cool. Thanks. I'm not going to pay. We're bros." They'd call the cops. I'd be like, "What do you mean? We're friends. I've been hanging out with you guys. I've been coming here for a year. We're best buddies." They're like, "Yeah, but we have an exchange relationship. I give you food and you give me money. That's how we do things. You've tried to change it into a communal relationship, but we're not married. You've got to pay me for the chicken parm. That's just how it works, or I call the cops. I'm like, "Well, you're right."
- 6.33** That's the difference. Exchange relationships are wonderful, but those are more business relationships or commercial relationships where you're trading things for each other. Communal relationships are better in families where you're not doing scorekeeping. What's a good example of looking at communal versus exchange relationship that we could actually get our hands on as researchers and study?
- 6.34** Well, one thing that happens very often in a marriage is you have two people come together, they both have separate bank accounts, they get married, and they go, "What are we going to do? Are we going to have one bank account where we put all the money in, and then we both can spend from it? Or are we going to keep separate bank accounts?" Some couples like to keep separate bank accounts, some couples prefer shared bank accounts, and some couples have three bank accounts or four, because they just make it even more complicated.
- 6.35** The idea, theoretically, would be that a shared bank account would promote more communal relationship focus, and that might be better. Researchers looked at this experimentally. This is interesting. They basically had newlyweds come in—not come in. They had newlyweds. They didn't marry them in the lab—they identified newlyweds, and they put them into two conditions: either you guys share a bank account or you

have separate bank accounts. They followed them for a couple of years, and they watched what happened. This is 2023, Olson.

- 6.36** What they found was that shared bank accounts predicted higher relationship satisfaction over time. It's an interesting example of how wealth is leading into greater—I mean, how wealth via being shared communally is leading to greater satisfaction. I imagine these effects aren't enormous, but they're real. When you ask, "Why is sharing a bank account associated or actually leading to greater relational satisfaction?" One thing they find is that it enforces these communal norms. It's like, "We're a couple. Everything goes into the kiddie together; we share it. We're not separate people fighting each other. We're on one team."
- 6.37** The second thing it does is promote financial goal alignment. If you have one bank account and you need to spend as a couple, you need to have a discussion about what you're spending to do it right. It forces you to get on the same page about your finances. And then the final, psychological or self-concept trick, is it makes people think they're good with money because they've talked about it, they've worked out a system to spend money together, and they start feeling good about how they handle money. On average—and this, again, not everything is for everybody— but, on average, it looks like sharing bank accounts as one example of communal approach to relationships seems to be beneficial for marriage.
- 6.38** When we talk about wealth in couples, it's easy because, as I said, you do have those economic benefits from sharing costs and dividing labor, which makes sense. But what happens when you add children into the mix? So you have a couple, and now, all of a sudden, you've got a couple of kids. What happens? Kids are really freaking expensive. Not when they're little babies— little babies aren't that bad. The diapers are, but little babies aren't that bad. Daycare—when I sent my kids to daycare, it cost more than an undergrad tuition. Not joking. I was like, "Could I just sign them up as freshmen? It would be cheaper."
- 6.39** What's happened is that kids have gone from being a source of labor, like they would have been in an agrarian economy—I think my grandfather had 12 brothers and sisters, which was really normal. They lived on a farm, and every kid you had was another worker. If you had five kids, the first one could pretty soon start controlling the second one, like a sergeant. So you could start building a little army of kids. You'd have your worker army. Kids were a good thing. They were a labor source; they were a source of wealth.
- 6.40** When people urbanized and we got rid of our agrarian economy, kids became a cost center. They don't bring any income in—I mean, maybe you've got your kids, Britney Spears or something, I don't know—but generally, kids are costing you money. A college degree now is about \$300,000. I remember my daughter getting into the school, and they're like, "Hey,"—I got this postcard from Yale—"it's only \$72,000 a year." I was like, "Okay, \$300,000. Let's apply the Rule of 72." Imagine I took that

\$300,000 and instead of giving it to an Ivy League school, I gave it to a money manager for my daughter. \$300,000 when she's 20, \$600,000 when she's 30, \$1.2 million when she's 40, \$2.4 million when she's 50, \$4.8 millions—is that right? 4.4?—\$4.8 million when she's 60? Is that right? Holy God.

- 6.41 What I did was I said, "Hey, sweetheart, you could have 5 million bucks to retire and spend your life as a surf instructor in Australia, or you could get this fancy Ivy League degree and go work for some hedge fund and work 80 hours a week and never end up with 5 million bucks unless you get really lucky. What do you want to do?" It's crazy.
- 6.42 But no one knows how to do exponential growth because it's the eighth wonder of the world, and no one can do that math. But when you do that math, it's mind-blowing, and that's if you've got a real rate of return. So college is hugely expensive, and that's just one expense. Everything is expensive with kids.
- 6.43 It's also true that, because everything is complicated and feeds back on itself, the kids drive the desire to build wealth. So if you're a guy, a lot of guys are just doing their stuff. As soon as you have kids, this switch turns on, and you're like, "I must bring home the bacon. I must work hard, cannot have kids die." So it does seem to be a motivational force for bringing some of that wealth, but still, it's very hard. So it makes things complicated.
- 6.44 So the question is: how is our culture addressing this challenge of bringing kids into families, given the situation of wealth? Here's how they're addressing: people stopped having kids. That's essentially what's happened. Fertility rates are collapsing around the world. It's not only because of the expense of kids, a lot of it's urbanization in general, a lot of it's people not getting married, a lot of it's lack of couple formation. It's happening in the U.S., it's happening in Europe, it's happening in Africa, it's happening in the Middle East, it's happening in Asia.
- 6.45 I think some of the worst, the biggest collapses are in places like South Korea, where for every two parents, you're having an average of 0.75 kids. In lots of places in Asia, it's like one kid for every two people. So you imagine your population is getting cut in half every generation. In the U.S., I think it's 1.7. I'm making that up a little bit. But what you need for a population to stay stable is something like 2.1 kids per couple, like your total fertility rate of 2.1 or 2.2.
- 6.46 So what's happening is people aren't having children. We're collapsing around the world in terms of a population base. This is going to have all sorts of interesting psychological effects. One effect you've probably noticed is that companies that traditionally sold things to children have now moved their market to adults. Things like Legos sell to adults. Things like Disney market to adults. That's why we have Disney adults, because we're wiping out the next generation of children and the smart people in business, the capitalists, are like, "No worries, we don't need the kids. We'll get the

adults to go to Disney and make money. It'll be fine." So that's one thing that's happened.

- 6.47** There's also the question of: what about individual wealth and fertility? Is that related to it? When you look at it, it's really interesting. You see a little bit of what's a U-shaped curve. You see that the people having the most kids tend to be on the higher end of wealth or on the lower end of wealth. It's this U. The people that are more in the middle, the working class, the middle class, trying to get ahead, they're the ones not reproducing as much.
- 6.48** My hunch—I remember suggesting this in my post-doc to Jean Twenge. I was like, "Jean, I think rich people are having more kids as a status symbol." She was like, "No way." She's always right on everything. I think this is the only time I disagreed with her and have been right. I think kids are becoming a status symbol. Wealthy people are now having four kids because they can afford it. So it's a little bit of a flex: "I pay for four private school tuitions. Can you do that?" I'm like, "Dude, I can't." So that's one of the issues that's happening is that we're having this collapse in birth rates because of fertility. But people with wealth seem to be buffering against that. People with wealth are still having kids more than people with less.
- 6.49** So that brings the question: Does wealth last over time? Does wealth in family—this is getting a little sociological—does wealth in families move across generations? Can I create wealth and give it to my great-grandchildren, my great, great-grandchildren? How does that happen? There's lots of interest in this. There's a couple of different models or a couple of different ways of thinking about this question.
- 6.50** The first way to think about it is that wealth itself is really a multi-generational project. Often, a story you'll get in the U.S., especially, you'll get the first person who comes here, they've got to do something hard, because they don't have a degree, they've got to work, they stress, they scrape stuff together. The next generation, they get them educated, they get a leg up, they get a professional career, they start making money. They're in the system. The third generation, you go, "Okay, you now got it. You can go get a good college degree, get a professional job. You're going to be fine." So often, it looks like a multi-generational project to get people in the U.S. from more working class to more upper class or upper middle class. That's the positive model.
- 6.51** The other model that you hear—and "you hear," meaning my mom would say this all the time. I still don't know what the heck it means, but she said it so many times, I'm going to say it to you—is, "Shirt sleeves to shirt sleeves in three generations." I have no idea what that means because I don't know what "shirt sleeves" mean. But here's what it sort of means. It means that wealth lasts three generations. That's what she was telling me.
- 6.52** The first generation, you get some guy or some woman who's willing to go for it, work hard, dig it out of the dirt, make a bunch of money. The second generation keeps it;

they're doing okay. They keep the money. The third generation is soft as the Pillsbury Doughboy, grew up in the school of no knocks and pillows, and then they just spend it all and it's gone. That's the three-generation model of wealth.

- 6.53** I think shirt sleeves to shirt sleeves means that when you started, you couldn't afford a suit, and at the end, you couldn't afford a suit. That's my guess with what shirt sleeves to shirt sleeves mean. But they're basically saying wealth is a short-term thing in a family because there's a life cycle to it, because the kids get soft once they have it and then they lose it.
- 6.54** You can think about different examples. In America, you think about great wealthy families like the Rockefellers versus the Vanderbilts. These are both families we know. They both have universities. The Rockefeller University—people don't know that as well because it's more of a grad STEM school. Vanderbilt, everybody knows. They even call it Vandy. Both are very rich.
- 6.55** John D. Rockefeller made all his money in Standard Oil. What he did with his family was set up a bunch of trusts in family offices and legal structures so the family couldn't lose the money. Essentially, they built—the term family office is essentially like a family-owned financial unit that controls the resources. The Rockefeller family, they still have Rockefeller Center; I think they still own that in New York. They're incredibly wealthy family still, even after all those generations. They managed to keep it.
- 6.56** What about the Vanderbilts? The Vanderbilts were started by Cornelius Vanderbilt. They called him Commodore. I think he was a tough guy and a little bit aggressive. He made his money in shipping. If you're in the shipping industry, I don't think you can be soft. I mean, you can't work the dockyards and be a softy. The Vanderbilts lost most of their money. They made some bad decisions, some bad marriages. You think of somebody like Anderson Cooper's a Vanderbilt. It's not like they're a bunch of poor people living on the streets. It's just that they don't have a big pool of wealth like the Rockefellers. Again, these things can go either way. You can either do stuff to keep the money or you spend the money. Sometimes it lasts, sometimes it doesn't.
- 6.57** When people look at this historically—and again, this is the sociological analysis. I was trying to pull a bunch of economic work just to see—it looks to me like wealth stays within families to some extent over very long periods of time. It's not completely stable at all, but it looks like that. One really interesting study called *The Son Also Rises*, S-O-N—because academics love puns more than anything, and especially a literary pun like that—looked at wealth in the U.S., China, and Sweden over the years, following wealth and surnames. This is hard. It's like economic history work; it must be really hard to do. But they found general stability.
- 6.58** What I found really interesting was in places like China, what happened during the Cultural Revolution is that you had an agrarian society, you had certain groups of people that were successful. You had successful peasants, and then you had this

landlord class—and I apologize, I'm forgetting the name. When the Cultural Revolution came, it was like, "We're going to bring everybody to the same level." Those more successful landlords and peasants often lost their land, were put into a little bit of reeducation, got with the program and brought back. But when you follow those families, the Cultural Revolution in the '60s, when you follow those families to today, they're getting their wealth back. It's interesting. They had wealth, they lost it, and then it's coming back. So there's something in it that's keeping it. So I think that's cool.

- 6.59** There was another study in China from 1300 to 1900 that found more evidence for wealth mobility, especially after 1700—again, sociology's history is not my field. That's why I like it; it's interesting—but there was mobility, especially when they started adding a lot of—China used a lot of testing to pick people to work for the government. When they started doing systems like that, you saw more wealth mobility. So you're seeing some stability in wealth, even with big cultural changes, but it's not perfect stability by any way. Some rich people are becoming poor, poor families are becoming rich over time.
- 6.60** The latest paper I found, which was probably two weeks ago, was a working paper from the National Bureau of Economic Research. They looked at two and a half million great-grandchildren and great-grandfathers in the U.S. It's a huge sample based on surnames from 1850 to 1940. I love these big data sets. They're trying to see how much wealth remained from great-grandparents to grandchildren. I didn't know my great-grandparents or my great-grandfathers. I don't even know who they are, which is really sad. I never knew my grandfathers. But it's interesting that they still have a financial impact on me even though I never knew them. That's just how it is.
- 6.61** They found that something like 50% of great-grandparent wealth remained in great-grandchildren. It's complicated. This is the U.S. It was done pre-Civil War. If you look at Black-white differences, there is a difference. In a white-only sample, that's about 33%, so it's a little less. What you're seeing is a reasonable wealth retention over generations. It's not complete, but there's certainly something going on where wealth isn't just [random]. It's not like every generation's wealth is randomly distributed again. It seems to stay in channels, but there's still movement within those channels.
- 6.62** To the extent that wealth lasts in families, that you can build a family and keep wealth in there, why is that happening? There seems to be a lot of factors people have identified. There are some sociological factors and psychological factors, so I'll talk about some of those.
- 6.63** First, if you're wealthy, your kids have more opportunities to wealth. The simplest example of that is nepotism, which is basically you hire your kids or get your rich buddies to hire your kids. If you look at the actors in Hollywood, you go, "That's interesting. Every single one of them's parents is an actor. I wonder how that happened. They must have picked the best person for the job every time—that was a joke. There's just lots of nepotism. It's okay. I don't blame anybody. If I were Will Smith,

my kid would be acting in every movie, too—and maybe he's really talented, no judgment, nothing but love. Okay, so you have more opportunities. If you have money, you have more opportunities for your kids.

6.64 You have more training for your kids, like dinner table discussions. You're sitting around the dinner table like in *Succession*, or whatever that show is on HBO about that wealthy family. People are talking about money all the time. They're talking about business all the time. They're talking about the current economic situation all the time. And kids are picking up stuff. They're learning stuff all the time. If you're living in a family without that, you don't have that opportunity. It's an opportunity that's available to people, and it's like the water they're swimming in. They're around it all the time. Even if they don't mean to pick it up, they're picking it up. That's what happens—you pick up whatever's around you in relationships. So you get more training.

6.65 There's more strategies for keeping wealth. You can do legal, economic, and financial things to maintain wealth. Things like setting up trusts—you can set up trusts in different financials— not my area, but if you have the money, you can do this and you can avoid a lot of taxes, or defer a lot of taxes and save money, and also set things up so your kids can't blow the money. For example, I have my ne'er-do-well son who's a great guy, the nicest kid, just has a little bit of a challenge with cocaine. But other than that, absolutely salt of the Earth. And so what I'm going to do is definitely give him all his money. I'm going to put in the trust that he gets as soon as he turns 55 and passes three drug tests. If I were rich, I could do that. I'm rich, "Dude, you're doing the coke, it doesn't happen." So you can set things up like that to protect.

6.66 You also, generationally, have shared temperament and personality. People are similar. If my great-grandfather were John D. Rockefeller, I'd have some of his traits left, and some of those traits are related to wealth. Some of them are probably related to beating people in the head when they're not looking and being a horrible monster—I don't know, maybe he's a great guy. I don't know, but a lot of those traits are being passed on. Also, intelligence, even though that's not a huge predictor, it's being passed on. But if you imagine, you're passing on conscientiousness, you're passing on knowledge of wealth, you're passing on a little intelligence, that's all going to be beneficial.

6.67 And then, what wealthy families can afford to do that most other people can't do is they can invest in their children's education and training and opportunities. I can afford to send my kid to the best private schools if I'm really wealthy. Then I can afford to send them to internships. If I want them to be an athlete, I can hire all those million-dollar athlete training programs the kids do. I can send them to a private university that costs a lot, where they're going to meet a lot of people. Basically, I'm investing in my kids like an investment that's going to yield just like any other investment will yield. So that's a huge advantage wealthy families have that other families don't.

- 6.68** On the other side, you've got a wealthy kid—they're not scared, they're soft, they're not hungry, they're like, "I'm eating chocolate bars every night. I'm not that motivated." So maybe this is all going to fail anyway, and your kid's going to become a screw-up, but you have a better shot with wealth to go from wealth.
- 6.69** So thinking about this, there's a few questions I wanted to end with in terms of wealth and families that I thought I'd talk through. The first question I have is: What is enough wealth? And then the second question is: what do you want to be when you have all that wealth? I talk to people, everyone, this is America, everyone wants to be rich. I'm like, "Awesome. What are you going to do? What are you going to do with all that money?" The number one answer people say is, "I'm going to travel." "Great. After you do that, what are you going to do?" "That's it; that's my plan." I'm not joking. I've asked lots of people this question. It's like, "That's a plan." My plan would be to get a giant blimp. I'd have a party blimp and just cruise the world. I think that'd be cool. Those are the questions I wanted to think about a little bit.
- 6.70** When I was thinking about this—this topic that we're talking about, these courses, this is just emerging in the zeitgeist. I see research all the time. I read a paper last night that was just published in Proceedings of the National Academy of Sciences, looking at the question if individuals find excessive wealth immoral. How much wealth is enough? The question is—and academics have actually looked at, "Do people think that too much wealth is immoral?"
- 6.71** They looked across 20 countries, sampling people. They found that most people are okay with excess wealth. It didn't seem to be a huge issue for people, which is funny; the academics are not asking, "How awesome would it be to be rich?" Like, "How bad, how immoral is wealth?" See, that's why you're poor. Sorry. They found that general pattern, but you do find that in certain societies— societies where there's a little more equality, or at least the classic European ones, like Switzerland and Belgium—they found that people found that more wealth was problematic.
- 6.72** In some societies, there's a concern about inequality, and also people talk about purity concerns. Remember, I mentioned wealth and impurity? There are people who're like, "Too much wealth is impure. We don't want that in terms of a moral system." People are generally happy with wealth, but there is some thought that, "Yeah, too much is bad news. It's morally bad. We're going to get suspicious if we have too much." So more is good. Maybe 10% more would be good, but 500% more might be a little greedy. It's a challenge for people.
- 6.73** To answer this question, there's a couple of ways to think about it, a more economic answer and a more psychological answer, I think. The economic answer to how much wealth you need is mathematical. What you do is you figure out the lifestyle you want. You go, "This is my life. I'm happy; I'm happy with this life. This life costs me this much money a year. How much money a year do I need to pay for this lifestyle then?" The

way to figure out how much wealth you need is you take how much money you spend each year and you multiply it by about 25. That's how you get wealth.

- 6.74** The reason for that is, you can imagine, "Okay, I've got a million dollars. How much money can I withdraw from that every year and not lose my principal?" The answer that most financial planners will tell you is about 4%. That's the number they give you. It might not be the right number, it could change, but about 4%, that's your heuristic, your rule of thumb, for how much money you could take.
- 6.75** You go, "If I needed \$100,000 a year to live on, then I need about \$2.5 million. If I did the math right— which I might not have because I never double-check anymore because I don't want people to think I'm AI— I need \$2.5 million. If I divide \$2.5 million, I can pull about 4% of that a year. That's \$100,000. I could do that forever, or until I die if I'm not a vampire. So that's the easy answer.
- 6.76** The challenge with that is you go, "Okay, here's where I'm happy." And then you go, "But my friends now have got a new Porsche, and my other friends are going to a river cruise in Myanmar, and I'm just living my lifestyle that I'm over it. I want to, quote, 'Keep up with the Joneses.'" This natural process of 'Keeping up with the Joneses', this process of social comparison, this process of FOMO or fear of missing out, whatever we want to call it, there's this process of wanting to keep up with people. And also, as I mentioned, we get used to what we have. We habituate to it. It's the hedonic treadmill.
- 6.77** So the economic answer to the question of what is enough is to figure out what feels good and just say, "This is my life, lock it in, and I need 25 times that number." It's not going to be—again, rule of thumb. I'm not a financial planner, but that's how to think about it mathematically.
- 6.78** How do you think about it psychologically? How do you make the psychology work? When I started asking these questions, I always try to think of the old-school stuff, and I started thinking about Nietzsche's Genealogy of Morals, but I hadn't read that—I think I read that in 1985 or something, and I can't really remember it. But I remember something is important in there—and then I started thinking about the concept of magnanimity, which is a very interesting concept.
- 6.79** Magnanimity comes from the root of magnus animus, which means "great soul"—magnus, as in Magnum, P.I. That's how you think of magnum, right? Magnum P.I. And animus, like soul, as in animate or whatever, animation. This idea of magnanimity is an interesting term because it has to do with greatness, but it also has to do with generosity. If I describe somebody as magnanimus, what I'm saying is that is a really great person, a powerful person, but they're also a generous person.
- 6.80** There's some interesting work in evolutionary psychology on this as well. I was like, "Dude, I got to read Aristotle," which is always hard for me because it's so hard for me to read the Greeks because I read too much TikTok. So it turns out Aristotle thought about this a lot. And he said, "What does it mean to have a great soul? What is a great-

souled man"—or woman; I'm saying "man" because that's what he's saying—"What does that look like?" And the question is: "Can I be great enough that it will turn off my desire to have more and lord it over people?" That's what I'm wondering. Is there a natural shut-off valve to greed? That's what I'm thinking about.

- 6.81** I'm quoting Aristotle here a little bit to go back to primary sources. So Aristotle says, "A person is thought to be great-souled if he claims much and deserves much." That's pretty interesting. What that means is you've got a great soul, is if you claim much, you say you're a big deal, but here's the catch: you actually are. So you claim it; it's not narcissism. It's not like, "I'm a big deal," but I'm not. It's like, "I'm a big deal, and I really am a big deal." It's this interesting thing.
- 6.82** When we think "big deal," in the U.S., we're thinking—I'm thinking, I'm not saying you're thinking—I'm thinking "big deal" means I have a lot of money. When Aristotle is saying, "I deserve much," it's not that I'm rich; it's that I'm moral. I have these moral systems. "And inasmuch as the great-souled man deserves most, he must be the best of men; for the better a man is the more he deserves, and he that is the best deserves most. Therefore, the truly great-souled man must be a good man. Indeed, greatness in each of the virtues would seem to go with greatness of soul." Wow.
- 6.83** So what he's saying is that anyone who's great is also good. That's interesting because we don't really think that way. We're like, "Yeah, Napoleon's great. I don't know if he's good." We have a lot of great people—Genghis Khan was a great leader, but he doesn't seem so good. I don't know. There's always that debate about greatness and goodness. They're saying that it's the same thing. It's the same thing. And what happens is when people have these high levels of moral virtues on the different virtues, that turns into an overall greatness of soul.
- 6.84** Now, when you think about the Greek virtues, they're not necessarily the same as ours. It's going to be things like courage, temperance, justice is a big one. Often, the Greek virtues are means, like courage is a balance between rashness and cowardice. Justice itself is a general—people who care about justice are good in general. So it's a little different ethical system. But he's saying that people who are ethical are going to have great souls and also be good people. I like that idea.
- 6.85** Then it goes on to the generosity piece. He is fond of conferring benefits, but ashamed to receive them because the former is a mark of superiority and the latter of inferiority. So somebody who is great-souled, somebody who's magnanimous, loves to benefit people. "I like to be generous. I like to help people. I don't want to receive benefits from people. I don't want people helping me." Why? Because if I'm helping people, that means I'm great. Because I'm great, I'm helping them. I'm superior. Because only a superior can help somebody inferior. So it's a sign of greatness to help people. But if I accept help, that's a sign of weakness. It's a sign of not being great.

- 6.86** So people who are great-souled don't want to take help so much or only do it reluctantly—I think that's a quote—but they do like to give it. "It is also characteristic of the great-souled man never to ask for help from others or only with reluctance, but to render aid willingly; and to be haughty towards men of position and fortune, but courteous towards those of moderate station, because it is difficult and distinguished to be superior to the great, but easy to outdo the lowly, and to adopt a high manner with the former is not ill-bred, but it is vulgar to lord over humble people: it is like putting forth one's strength against the weak."
- 6.87** What he's saying is, if you're great, nothing wrong with being a haughty, arrogant guy with other haughty, arrogant people. That's fine. You're battling in your same lane. But if you're haughty to people below you, if you're not generous, if you're ill-mannered, that's pathetic loser stuff. So why would you do that? It's like putting your strength against the weak. Like great people don't beat up weak people—that's for bullies.
- 6.88** So magnanimity is this really interesting psychological set that involves very high self-confidence, high self-use, that's tempered by morality and naturally forms to generosity for those below you. But that generosity supports your greatness, because if you weren't generous, you wouldn't be great. You'd be selfish. And if you're mean to people below you, you're pathetic.
- 6.89** So in Aristotle's mind, it's interesting: greatness and goodness go together, and that goes with independence. You're socially independent. You don't have to suck up to the rich guys. You can be kind to the other people. You can have all that success—I'm saying wealth—but without becoming acquisitive, greedy, without spiraling into that self-centeredness because your own greatness keeps you from doing it.
- 6.90** I don't know. I think this is an interesting model of how a person's desire to acquire more could shut off. There are other models, too. It could be that you go into generativity and mentoring or other phases. But I like this magnanimity idea, and I like the term magnanimity.
- 6.91** To wrap the course up—that wraps up the family stuff, but to wrap the course up—wealth is something we can all potentially obtain, or at least if we can't, our kids can or our grandkids can. It might take a few generations, but it's something that seems reasonable. We have data across cultures and across centuries that show that people can move up the wealth ladder. It's hard.
- 6.92** Gaining wealth takes some combination of effort—it's conscientiousness, discipline, dutifulness, whatever—but on top of that, you also need risk. It's very hard to play it safe and follow the rules and then beat everybody. If you play it safe and follow the rules, you're going to end up where everybody else ends up. You also need patience. The only people who get rich overnight are taking huge risks, and they're very likely not to have that wealth for a long time. Usually, wealth takes lots and lots of patience, and that's cool. You're looking at 20 years, 30 years, maybe the next generation.

- 6.93** Finally, a big component is luck. Remember, we were looking at a Pareto distribution. You take 25 billionaires, they all work just as hard. But one guy's got 400 billion and one's got a billion. The one guy with one billion is closer to you than the guy with 40 billion, which is so weird to think about. There's a lot of luck involved in wealth; there's a lot of luck. When I talked to you about how much we can predict things, I'm like, "Yeah, we can predict 10% of this and 10% of this." There's a lot that's out there in the noisy soup of the world.
- 6.94** Wealth generally means taking more risk over a long period of time: investing in something risky, diversifying appropriately, waiting, and being patient until it happens. That's the main game. The flip side of that is poverty; it's the opposite: less risk and a short-term time horizon.
- 6.95** I've said this now 87 times, but wealth is a multiplier, psychologically. Again, sometimes people say that it's bad. Some people think that it's a savior. I look at it as a multiplier, a magnifier. It can bring out the best in you; it can magnify that. But it can bring out the worst. If you're a good person and you, all of a sudden, have money, what could you do for students with a whole thing of money? Or what could you do for your family if you all of a sudden had your money? I see these people get rich, and they're like, "I bought my mom a house." I'm like, "Dude, that's awesome. That's cool. That's neat." So it can bring out good stuff, but it can bring out terrible stuff, too. The acquisitiveness, the drugs, whatever, all sorts of horrible things: greed, materialism, entitlement, all that stuff.
- 6.96** When you pursue wealth, consider the type of wealthy person you want to be. That's something when people run for money. I'm like, "Who do you want to be when you have that money? Do you want to be somebody everyone admires? Do you want to have a great soul? Do you want people to ever think, 'Man, that dude's the coolest guy I ever met. I really like him. He's generous.' People celebrate you. You're a good person. Or do you want to be a greedy, paranoid control freak that likes to control people?" We have lots of those people in the world. We've got lots of both types. If you go in there, think about who you want to be. I'd go for the moral side, but I don't tell anybody what to do.
- 6.97** That's it. Thank you very much.